Paris, 11 June 2026

BNP PARIBAS

The bank for a changing world

EcoFlash

ECB: An adjustment, but not necessarily the start of a tightening cycle

As expected, the European Central Bank raised its key interest rates by 25 basis points, bringing the deposit facility rate to 2.25%. This decision, taken unanimously, reflects the Governing Council's conviction that the persistence of the energy shock warrants a monetary policy response. The ECB revised its inflation outlook upward more significantly than its growth forecasts downward. It also updated its alternative scenarios relative to the central scenario (one more favorable, two adverse). Christine Lagarde emphasized that today's decision was "robust" across all scenarios.

The persistence of inflation at the heart of the ECB's concerns. During the Q&A session, Christine Lagarde confirmed that the decision to raise rates was unanimous, unconditional, and that no alternative proposal was discussed during the meeting. The ECB President reiterated that future decisions will be made "meeting by meeting," based on available data and without a pre-set rate path. A new favorable scenario ("mild"), deemed unlikely, was added alongside the existing three scenarios (central, adverse, and severe). The severe scenario, in which inflation would deviate significantly and durably from the target, would call for an "appropriate and decisive" response. The communication framework has clearly evolved since the April meeting, with a stronger focus on the persistence of the inflationary shock rather than solely on the levels reached. Nevertheless, as Lagarde noted, long-term inflation expectations remain broadly well anchored around the 2% target – a reassuring signal for the ECB.

Upward revisions to inflation projections, with more persistent pressures. The ECB's new inflation projections for 2026 now sit midway between the central and adverse scenarios outlined in March. They reflect a combination of durably higher energy prices and more pronounced second-round effects, largely confined to food and industrial goods (excluding energy). The headline HICP inflation forecast has been raised to 3.0% (from 2.6%) for 2026 and to 2.3% (from 2.0%) for 2027. Core inflation is expected at 2.5% for both 2026 and 2027 (compared to 2.3% and 2.2% respectively). While our own forecasts for 2026–2027 incorporate a rise in core inflation in line with the ECB's projections, we anticipate more persistent pressures on agricultural and energy prices in 2027 (particularly gas/TTF prices). These translate into a higher total inflation forecast of 3.3% for 2027.

More limited growth revisions against a backdrop of resilience. The ECB's downward revisions to GDP growth are modest (-0.1 pp for both 2026 and 2027, to 0.8% and 1.2% respectively). The ECB expects some resilience in growth, supported notably by investment efforts in infrastructure, digital, and defence – the same pillars underpinning our recovery profile for activity in 2027 (1.6%).

Another rate hike expected, likely in September. At this stage, forward-looking price indicators (European Commission surveys and PMIs) confirm a gradual transmission of the energy shock to other sectors. However, the transmission remains less significant than what was observed in 2022 and still only marginally affects finished goods. The emergence of a price-wage spiral appears, for now, unlikely, as wage pressures should remain contained in 2026. The ECB anticipates a slowdown in compensation per employee growth to 3.2% in 2026, followed by stabilization at that level in 2027–2028, consistent with the 2% inflation target. In this context, we maintain our scenario of one additional 25 bp rate hike, most likely in September, followed by a plateau in 2027.

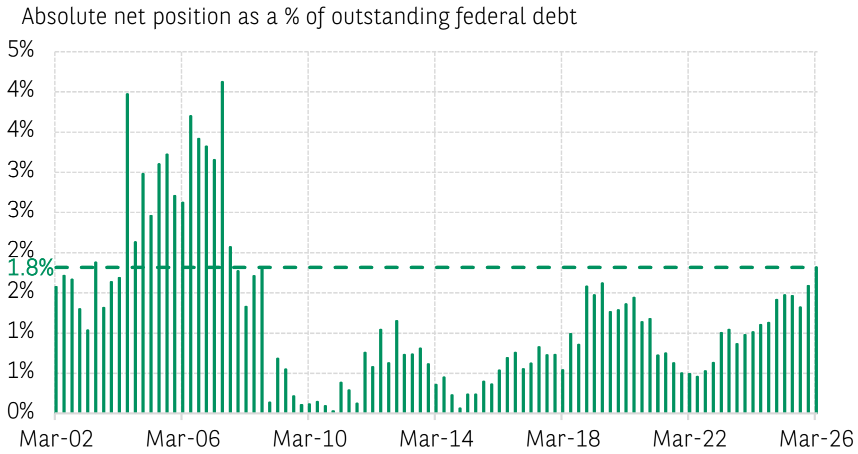
Article completed on June 11, 2026

Guillaume Derrien
Senior Economist, Eurozone
guillaume.a.derrien@bnpparibas.com

THE US REGULATORY EASING OFFERS LIMITED SUPPORT TO THE TREASURIES MARKET

Céline Choulet

Primary dealers' Treasury inventories reach their highest level since 2008



SOURCE: FEDERAL RESERVE BANK OF NEW YORK, BNP PARIBAS

A relaxation in regulations that supports Treasury market intermediation

Last year, the need to recalibrate the enhanced supplementary leverage ratio (eSLR) imposed on global systemically important banks (G-SIBs) rose to the top of American regulators' agenda[1]. The leverage constraint was on the verge of becoming more binding than risk-weighted capital requirements. It risked preventing – or even discouraging – major banks from fulfilling their role as intermediaries in the Treasury market, an undesirable situation in normal times and even more so during periods of stress. Under the new formula in effect[2], the eSLR requirements for the eight US G-SIBs now range from 3.5% to 4.25% as of 1st January[3], compared to the previous uniform 5% requirement[4].

As regulators had hoped, this easing has improved intermediation conditions in the Treasury market. Amid heightened uncertainty driven by the Iran conflict, it has enabled major banks to absorb some of the Treasuries without buyers. This is evidenced by higher net positions among primary dealers – most of which are G-SIB subsidiaries – which reached 1.8% of outstanding federal debt in March and April, the highest level since the 2008 financial crisis. In conjunction with the Federal Reserve's Reserve Management Purchases and the Treasury's buyback programmes, the easing of leverage requirements has helped to preserve liquidity in the Treasury market and contributed to lower interest rates in the repurchase agreement markets.

However the capacity to absorb federal debt is still limited

Conversely, the eSLR easing has not triggered the expected surge in demand for these securities. While G-SIBs' trading portfolios – hosting securities held by their broker-dealer subsidiaries – have expanded, their Treasury investment portfolios (held-to-maturity or available-for-sale) have remained virtually unchanged. Multiple constraints have thwarted the Secretary of the Treasury's hoped-for surge in demand, including the eSLR requirement itself. It is still binding, or near-binding, for major G-SIB depository subsidiaries. Yet, G-SIBs' Treasury investment portfolios are predominantly booked on the balance sheets of these subsidiaries. The proposed reform of G-SIB capital surcharges (still under consideration) may further support Treasury market liquidity, but it will not fully alleviate balance sheet constraints[5].

celine.choulet@bnpparibas.com

1 A leverage ratio is a non-risk-weighted capital requirement designed to ensure that a bank's size – regardless of its risk profile – does not exceed a certain multiple of its capital. See Bensaidani, A. and Choulet, C. (2025), The US Treasuries Market, An Idol with Feet of Clay – Oiling the Wheels, EcoInsight, BNP Paribas.
2 The new eSLR requirement has been aligned with the Basel recommendation, set at 3% plus a buffer equal to 50% of the G-SIB surcharge calculated under the Financial Stability Board's method.
3 The effective date of the new eSLR rule was set for 1st April 2026, but banks were permitted to adopt it early as of 1st January 2026.
4 The buffer for their depository institution subsidiaries is capped at 1%, so their eSLR requirement cannot exceed 4% (down from the previous 6% requirement).
5 See Choulet C. (2026), *A drop of oil in the Treasuries market's gears*, forthcoming in EcoInsight.

GROUP ECONOMIC RESEARCH

ECOINSIGHT
Structural or thematic topics

ECOPERSPECTIVES
Analyses and forecasts with a focus on developed and emerging economies.

ECOFLASH
Data releases, major economic events

ECOWEEK
Recent economic and policy developments, data comments, economic calendar, forecasts

ECOCHARTS
Easy-to-read monthly overview of inflation dynamics

ECOATLAS
The key economic figures for France and major European economies

CHART OF THE WEEK
A weekly chart highlighting points of interest in the world economy

ECOTV
What is the key event of the month?
You will find the answer in our economy broadcast.

MACROWAVES
Our economic podcast

HOW TO RECEIVE OUR PUBLICATIONS

SUBSCRIBE ON OUR WEBSITE
see the Economic Research website
&
FOLLOW US ON LINKEDIN
see the Economic Research linkedin page
OR TWITTER
see the Economic Research Twitter page

Published by BNP PARIBAS Economic Research
Head office: 16 boulevard des Italiens – 75009 Paris France / Phone : +33 (0) 1.42.98.12.34
Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com
Head of publication : Jean Lemierre / Chief editor: Isabelle Mateos y Lago
Copyright image : Alejo Bernal

Subscribe to our publications:
ECONOMIC RESEARCH

BNP PARIBAS

The bank
for a changing
world

EUROPE'S QUIET METAMORPHOSIS, POWERED BY FIVE UNDERAPPRECIATED BOOSTERS

Out of the spotlight, Europe is quietly preparing to emerge from its post-pandemic underwater years like a nymph turns into a stunning dragonfly. The turmoil of the last year and a half has brought about "Europe's moment" in more ways than is being recognized. Europe isn't just emerging as the alternative safe haven of choice. It can count on five powerful boosters: rebounding industrial strength, established services dominance, tech acceleration, a governance sea-change, and favorable geopolitical winds.

Over the past year, it has become impossible to ignore that the world is in the midst of a profound, multidimensional rewiring. Much of what we took for granted for decades about geopolitics, technology, economic policies, and the very fabric of globalization (trade and capital flows) is being upended[1]. And the epicenter of this whirlwind is none other than the architect and implicit leader of the previously prevailing global economic order: the United States of America.

All this turmoil has already made Europe look more attractive, as a haven of stability. Last week, the ECB's annual report on The International Role of the Euro revealed that the euro is catching up as the world's safe asset of choice. On multiple occasions, during recent episodes of market turmoil, the euro behaved more like a safe asset than the US dollar. In a world where stable inflation, responsible fiscal policy, predictable and stable structural policies, and level playing field can no longer be taken for granted, Europe stands out. Financial markets have noticed: the so-called convenience yield[2] on German bunds rose threefold from 30 bps to 90 over 2023-25. To the extent that all other bonds (sovereign and private) in euros are priced off German bunds, this benefits the entire Eurozone economy.

Europe can also count on five lesser-known boosters to surprise on the upside.

1. REPORTS OF THE DEATH OF EUROPEAN INDUSTRY ARE GREATLY EXAGGERATED

After growing at a faster clip than the United States for most of the last ten years, the EU's industry was dealt a severe blow by the energy shock of 2022, which hit it twice as hard as the US (in terms of energy expenditure relative to GDP). Industrial production fell by 6% from peak to trough—but it has been bouncing back since early 2025 above its pre-Covid level. Europe remains a net exporter of industrial goods, albeit it now has a deficit with China. Even against China, Europe retains competitive advantages in aerospace, pharmaceuticals, and a range of cutting-edge industrial equipment— most notably advanced semiconductor manufacturing and its supply chain including optics[3]. And while energy-intensive industries continue to struggle, EU industry is gradually shifting toward dynamic sectors.

Moreover, sectors such as defense, infrastructure (for clean energy, artificial intelligence, and single market connectivity), as well as sovereignty are also benefiting from strong tailwinds from public spending programmes due to span over the medium term, as well as a more pro-growth agenda of reforms at the EU level (*see point 4 below*).

2. EUROPE IS A SERVICES EXPORT SUPERPOWER

Europe's industrial legacy obscures a crucial fact: the European Union is a services export giant. In 2025, EU services exports reached USD 1.8 trillion, making Europe the world's largest exporter, far ahead of the United States by roughly 70%.

This sector generates a USD173.5 billion surplus—the largest in the world. And contrary to cliché, this is not mainly a tourism story. Tourism, at 13% of total services exports, does not even rank among the top three categories. Europe's strength lies above all in business services, telecoms and IT, and transport—precisely the kinds of activities that signal depth, scale, and competitiveness in a modern economy.

3. EUROPE IS NOT A TECH DWARF. IT IS A FAST-MOVING CATCH-UP STORY

Europe is often portrayed as lagging the US and China in tech, but the reality is more nuanced. The continent hosts many world-class firms, even if its share of the market capitalisation of the top 1,000 global tech companies remains well below its weight in global GDP and its start-ups are still too few and too small.

What matters, though, is the direction of travel—and Europe is improving fast. Over the past decade, the tech sector has expanded from 4% to 15% of GDP. Since early 2020, it has been the leading source of job creation, with high tech alone accounting for 23% of new jobs, or 1.6 million positions.[4]

The financing picture tells the same story. Venture capital investment in European start-ups nearly quadrupled between 2015 and 2025 and now exceeds China's. In green tech and quantum technologies, European start-ups are even raising more capital than their US counterparts. France is also emerging as a major hub in AI and cloud computing, with USD 110 bn committed in the past week to new data centers.

Talent flows are shifting too. As of last year, more tech talent is now moving from the United States to Europe than the other way around.

Europe has some catch up to do, but it now has the momentum to do it.

4. EUROPE IS FINALLY TREATING STRATEGIC AUTONOMY AND GROWTH AS URGENT POLICY PRIORITIES

The succession of unimaginable shocks that occurred since last Spring has done what Mario Draghi and his celebrated September 2024 report could not: it has jolted Europe out of complacency and refocused policymakers' minds on key must-haves—notably strategic autonomy and, in order to afford it, growth— while de-prioritizing the nice-to-haves.

1 See our editorial: IMF Spring Meetings: Coming to terms with multiple regime changes with Realism, Resilience and Rewiring, 20 April 2026.
2 This reflects the premium financial markets are prepared to pay for the convenience of holding a safe and liquid asset. It reduces the issuer's borrowing costs compared to what macroeconomic fundamentals would suggest.
3 See our editorial: Up against China's industrial surge, Europe has strengths but is seeking a strategy, 18 May 2026.
4 See also Job creation in the technology sector is a driver of the Eurozone's labour market, BNP Paribas chart of the week, 19 November 2025.

The new tech sovereignty package, unveiled last week, is a good example. It strikes a clever balance between preserving the benefits of openness and incumbent know-how while building domestic alternatives and helping them scale more quickly, including with public money and contracts. A month earlier came the Industrial Accelerator Act—"Made with Europe"—signaling the same shift in tone away from the dogma of previous decades that shunned state support and restrictions to open trade.

This follows a broader outbreak of pragmatism over the past year: delays to regulations on ESG, artificial intelligence, and bank capital rules, a consultation by the European Commission on banking competitiveness, a review of the ultra-restrictive merger guidelines, and a new "one Europe, one market" playbook with ambitious deadlines. Competitiveness is no longer secondary; it is becoming a central policy objective.

Even more encouragingly, member states have rediscovered the virtues of what Mario Draghi, in his recent *Karlspreis* acceptance speech, called "pragmatic federalism": allowing a subset of willing member states to move ahead while others join later instead of blocking progress. The much-delayed capital markets union may be the next beneficiary, with the six largest member states recently backing centralised market supervision. Europe is not moving fast, smoothly or uniformly—but it is moving.

5. THE WINDS OF GEOPOLITICS ARE TURNING MUCH MORE FAVORABLE, AT LAST

The final booster is geopolitical. After years of being buffeted by adverse external forces, Europe may at last be entering a more favourable environment. Following its recent change of leadership, Hungary is no longer the blocking factor it was in recent years. The war in Ukraine appears closer to an armistice than at any point since its full-scale invasion by Russia. Ten years after the Brexit referendum, political sentiment in the United Kingdom has shifted markedly, with a majority now seeing the decision to leave the EU as a mistake. And the two leading contenders to replace the current prime minister are openly in favour of rejoining the EU.

At the same time, Europe is building and extending its economic and political relationships. Within the European Political Community, it is deepening ties with neighbours and Canada while cultivating newer partnerships, including with the Gulf. The inaugural Europe Gulf Forum in Athens last month was one illustration, and Gulf sovereign wealth funds directed 28% of their investments toward Europe in the first nine months of 2025, the highest share in at least five years.

The trade agreements concluded with Mercosur, India and Australia earlier this year reinforce the point. They are not just economic arrangements; they are signals of political intent. These shifts suggest that Europe is no longer merely adjusting to a harsher world. It is showing agency and taking steps to benefit from the new map being drawn rather than being reduced to the proverbial grass on which the elephants—the US and China—fight.

*****

NONE OF THIS MEANS EUROPE'S PROBLEMS HAVE VANISHED

Growth remains too weak, fragmentation too real, and policy execution too slow for triumphalism. But the broader picture has changed more than many admit. The continent is entering this new era with more industrial resilience than assumed, genuine services firepower, more technological momentum than credited, and a policy and geopolitical backdrop that is becoming less of a handicap and more of an asset. Europe's moment may not arrive with a bang. But it has already begun.

Isabelle Mateos y Lago
isabelle.mateosylago@bnpparibas.com

Find out more in our scenario and forecasts

INTERNATIONAL

Global trade: New US Tariffs on the way. USTR has proposed new tariffs of 10% and 12.5% against all 60 countries investigated upon concluding a series of investigations under section 301 of the 1974 Trade Act, relating to forced labour. The EU would be subject to the 10% rate on grounds of failing to protect adequately against the use of forced labour (NB: USTR finds that Bangladesh and Pakistan do it better than Japan, Norway, or Switzerland and hence get the lower tariff). Existing exemptions would apply. It is likely though not certain that these tariffs would only come in if bilateral trade agreements became impaired. The proposal is now subject to a consultation period running up to 6 July. The results of another consultation under section 301 for excess capacities should be out soon.

ADVANCED ECONOMIES

UNITED STATES

United States. Blowout jobs report puts Fed hike back on the table. Nonfarm payrolls surged at 172,000 in May — roughly double the consensus forecast — and the prior two months were revised up by a combined 93,000. This brings 2026 YTD payroll growth to 569k vs. 116k for 2025 as a whole. The unemployment rate held steady at 4.3%. Gains were concentrated in leisure & hospitality, local government, and healthcare. The strong jobs print drove bonds to selloff, with markets now fully pricing in a 25bp Fed rate hike by year-end, with c. 60% odds of the move coming as early as October (we have changed our call from pause to expecting a hike in December). This, in turn, led to a 0.7% jump in the USD and a sharp fall in tech stocks. Earlier in the week, the ISM May activity gauge also surprised on the upside with the manufacturing ISM rising to 54.0 (+1.3pp), the highest since May 2022. However, the upbeat reading is at odds with qualitative responses that reveal strong concerns about prices, supply and uncertainty. The Services ISM also rose (54.5, +0.9pp).

EUROPEAN UNION

Flexibility and tech sovereignty. The European Commission (EC) is showing welcome **flexibility on two fronts: (i) Fiscal rules:** countries may deploy up to 0.3% of GDP annually (capped at 0.6% over 2025–2028) to support households/firms coping with energy price spikes—but only for fossil fuel phase-out measures, not subsidies for gas/petroleum. Member states could also use EU cohesion funds to offset energy cost pressures; and **(ii) Capital requirements for investment banking activities**, with time-limited amendments that will neutralize the capital impact of the new FRTB rules for three years from 1st January 2027 and thereby keep a level-playing field with the US, UK and other jurisdictions. The EC also published an ambitious package of measures to bolster the EU's digital autonomy through a (US-style) combination of public funding, procurement, and regulatory incentives: **(i) The CHIPS Act 2.0**, aims to reduce overreliance on external suppliers for critical semiconductor technology by strengthening research, innovation, and skills development across the semiconductor ecosystem. It aims to stimulate demand and industrial uptake; increasing the use of procurement to boost demand, notably for European-based startups & scaleups and their technologies; Designating Strategic projects to unlock EU funding and co-invest with Member States and industry in projects of strategic importance and added value for the EU; **(ii) The Cloud and AI Development Act (CADA)** aims to make it easier and faster to deploy sustainable cloud and data centre infrastructure, and ensure that Europe accelerates the rollout of cloud and AI for critical sectors, aiming for at least tripling the EU's data centre capacity within the next 5–7 year; and **(iii) A Strategic Roadmap for Digitalisation and Artificial Intelligence in Energy**, to make sure energy production and usage are consistent with the growing needs of the tech sector.

EUROZONE

Inflation accelerates, activity remains resilient. Inflation in May accelerated to 3.2%, with core (2.5%) and services (3.5%, +0.5pp vs. April) exceeding expectations. April producer Prices recorded their biggest increase since March 2023: +4.9% y/y after +2.0% in March. May PMIs showed input prices rising at the fastest pace since May 2022, while output prices saw their inflation rate rebound to a 3.5 year high. More encouragingly, household medium-term inflation expectations stabilized in April. Meanwhile, Eurostat revised Q1 2026 GDP to -0.2% QoQ (from an initial +0.1%), but this was driven an unprecedented downward restatement of Irish GDP, which collapsed 12.1% (vs. the initial -2% estimate) due to multinational distortions. Excluding Ireland, Eurozone GDP growth grew at around +0.2% q/q. Comfortingly, all final May PMIs were revised up from the flash estimates: composite (48.5) – down for a 2nd month, hitting the lowest since Nov. 2024, driven by services (47.7), while manufacturing continues to expand (51.6). The unemployment rate was stable at 6.3% in April— broadly unchanged across most countries. Retail sales grew by +1.0% y/y in April (vs. +2.1% in March), its lowest since July 2024.

France. Activity improving, public deficit growing. Manufacturing production grew in April at a post-Covid high pace, driven mainly by aeronautics (+0.4% m/m +2.5% y/y). Goods exports increased by 10% y/y in April (+5% y/y) mainly driven by aeronautics, electronic and electrical equipment, pharmaceuticals, and defence. Exports to EU destinations increased the most: +12% y/y in April, esp. Germany (+15% y/y in April). Car passenger sales were dynamic as well +3.5% y/y in may, with strong EV momentum (29% vs. 27% in Q1 and 20% in 2025). Housing starts are on the rise: +39% y/y in April (YtD +37% y/y). Building permits decreased in April (-17% y/y) but still increased YtD (+12% y/y). Final May PMIs, while confirming the deterioration across all sectors seen in the flash estimates, were revised up slightly. "Choose France" 2026 led to record investment pledges: EUR 93 bn, mainly in data centres, across 71 projects, expected to create 15600 jobs. Less positively, the state budget deficit was EUR 69.9 bn in Jan-Apr 26 (vs. 69.3 in Jan-Apr 25). It should continue to deteriorate in the months ahead. This is mostly driven by higher spending on debt service and defence, and to a lesser extent by lower gasoline consumption reducing tax revenues.

Germany. Sluggish. The final composite PMI was revised slightly higher to 48.8 in May. Manufacturing remained in expansion for a 4th consecutive month at 50.1, but new orders dropped for the 1st time in 2026. Input costs surged to their highest level since June 2022 and selling prices remained elevated but stabilized (producers cautious due to weak demand). Services fell to 48.1 but new orders shrank less than in April, and firms are slightly more optimistic, while inflationary pressures remained high but stable. Retail sales fell by 0.3% y/y in April (after -0.2% in March) the worst print since August 2025. Key driver: fuel purchases at gas stations. Factory orders remained robust in April (+1.5% y/y, +6.4% 6m/6m), despite a monthly dip (-3.8%). Growth is driven by aerospace and computer/electronics/optical sectors. The report on the usage of the SVIK (infrastructure) Fund in 2025 revealed that it added 0.5pp to GDP growth — without it, the economy would have stagnated for another year. It left €13.3bn underutilized (vs. budget) in 2025. Spending is set to accelerate in 2026 thanks to regulatory simplification measures.

Find out more in our scenario and forecasts

Italy: Activity expanding at steady pace. Composite PMI at 50.4, almost unchanged from the previous month (-0.1 pt). Manufacturing is expanding at a faster pace (highest since April 2022), compensating for the contraction in services. Input price inflation reached its highest level in more than three years. Retail sales increased 1.6% y/y in April, unchanged m/m.

Spain. Activity rebound. The May composite PMI rose to 50.2 (up from 48.7 in April). Manufacturing is still in expansion but losing momentum. The Services PMI rose to 50.1 in May, moving back into expansion after a sharp contraction to 47.9 in April. Input-cost pressure rose at the fastest pace in four years.

JAPAN

Imminent rate hike, weak consumption. BoJ governor Ueda gave the clearest signal yet that he thinks conditions require a rate hike at the June 15-16 BOJ meeting. He warned that "substantial rate hikes" could be warranted later if the central bank delays action. Despite a 4-month streak of real wage growth (+1.9% y/y in April) after 12 months of contraction in 2025, real household spending contracted in April for a 5th straight month albeit at a lower pace (-0.5% y/y, up 1.4pp. USD/JPY has remained above 160 despite record FX intervention in May.

UNITED KINGDOM

Weak construction, even higher price expectations. Construction activity shrank at its fastest pace since 2020 in May, with the PMI falling to 38.2. Firms surveyed by the BOE expect their own-price growth to increase by 4.0% over the next year (+0.2 pp m/m).

EMERGING ECONOMIES

PMIs: Gulf improving, Europe steady, LatAm mixed. Non-oil activity rebounded in the GCC, with KSA and UAE in expansion. In Central Europe, PMIs were little changed. In Latam, Brazil saw a sharp deterioration while Mexico and Colombia improved.

ASIA

China: Industrial subsidies champion. According to the OECD, China stands out as the economy that provides the most industrial subsidies to its firms: between 2005 and 2024, they received, on average, 3 to 8 times more government support than firms in OECD countries (as a % of annual firm revenue), in the form of direct subsidies, tax concessions, and loans at below-market rates.

India: Growth beat, efforts to stem rupee depreciation. Real GDP growth for FY2025/2026 (ended in March 2026) reached 7.7% (vs. 7.1% in FY2024/2025), above expectations. The RBI revised its growth projection to 6.6% (from 6.9%) for the current fiscal year. After the rupee fell to a record low (having depreciated by 4.7% vs. USD since the onset of the Iran war), the central bank adopted several measures to support the currency and increase foreign portfolio investment: it kept its policy rate stable at 5.25%; expanded foreign access to Indian government bonds via a broader Fully Accessible Route (FAR) especially for long-dated issues; introduced a temporary facility (through Sep 2026) under which authorised dealer banks will receive support to bear the full hedging cost for raising fresh FCNR(B) deposits with maturities of three to five year; and relaxed regulatory barriers to make Indian debt markets more attractive to capital inflows.

Indonesia: Rupiah depreciation accelerates. Despite the rise in policy rates by 50bp two weeks ago, the rupiah's depreciation accentuated further. The stock market has lost more than 35% since the start of the year.

EMERGING EUROPE

Poland: Monetary policy on hold. As expected, the central bank maintained its policy rate at 3.75% for the third consecutive month. In May, inflation even edged down to 3.1% y/y (April: 3.2% y/y). Going forward, the central bank should retain a wait-and-see stance, though a rate hike is not ruled out this year.

LATIN AMERICA

Peru: The second round of the election took place on Sunday 7th June. The final result is not yet known. Regardless of the outcome, the highly fragmented political landscape suggests a term marked by tensions and likely significant difficulties in implementing economic reforms.

COMMODITIES

US oil stocks under pressure from record exports: Strategic Petroleum Reserve (SPR) of crude oil fell by 8 mb/d between the week of the 22nd of May and the 29th of May (close to an all-time high). Total US stocks of crude oil and petroleum products (commercial and SPR) have now dropped to their lowest level since 2004, at 1.573 million barrels. US distillate fuel oils stocks are close to their lowest level since 2003 (at 102 million barrels during the week of 29 May). The OPEC+ members have agreed to increase their production quotas by 0,188 mb/d in July (this decision is symbolic as navigation through the Strait of Hormuz remains minimal).

TO WATCH NEXT WEEK

US. May CPI (Weds) and PPI (Thu), U. Mich survey of consumer sentiment (Fri).

Europe. ECB policy meeting (Thu); German factory orders (Mon) and industrial prod (Tue); Banque de France monthly business survey (Wed), May CPIs (Fri); UK GDP and industrial prod, inflation.

Japan. Q1 GDP (Sun).

EM. Türkiye CBRT meeting (Thu); China inflation (Wed) and trade balance (Tue)

Other. EIA short term energy outlook (Tue).

MARKETS OVERVIEW

Bond Markets

	in %	in bps			
	05/06/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2.69	+21.2	+7.0	+60.3	+81.4
Bund 5Y	2.77	+13.4	+1.7	+30.2	+63.2
Bund 10Y	3.04	+11.7	+0.0	+17.5	+44.9
OAT 10Y	3.68	+18.5	+1.7	+18.4	+41.7
BTP 10Y	3.80	+14.9	-5.9	+30.1	+24.7
BONO 10Y	3.48	+10.8	-3.7	+23.2	+30.4
Treasuries 2Y	4.16	+6.0	+24.0	+67.9	+19.9
Treasuries 5Y	4.29	+2.9	+21.1	+56.2	+29.3
Treasuries 10Y	4.54	-1.2	+12.1	+37.7	+3.2
Gilt 2Y	4.35	+1.5	-16.9	+59.6	+32.9
Treasuries 5Y	4.47	-0.2	-12.2	+62.4	+34.4
Gilt 10Y	4.91	-3.9	-15.4	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	05/06/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.16	-0.7	-1.3	-1.6	+0.9
GBP/USD	1.34	-0.9	-1.3	-0.5	-1.5
USD/JPY	160.26	+0.8	+1.6	+2.2	+11.7
DXY	100.07	+0.8	+1.7	+1.8	-0.2
EUR/GBP	0.86	+0.1	+0.1	-1.1	+2.4
EUR/CHF	0.92	+0.7	+0.3	-1.3	-2.3
EUR/JPY	185.25	+0.1	+0.4	+0.6	+12.7
Oil, Brent ($/bbl)	93.20	-10.2	-15.1	+53.2	+42.5
Gold ($/ounce)	4354	-4.7	-5.0	+0.7	+29.3

Equity Indices

	Level	Change, %			
	05/06/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World ($)	4756	-1.3	+1.7	+7.3	+22.3
North America					
S&P500	7384	-1.2	+1.7	+7.9	+24.3
Dow Jones	50867	+0.6	+3.2	+5.8	+20.2
Nasdaq composite	25709	-2.4	+1.5	+10.6	+33.2
Europe					
CAC 40	8218	-0.5	+1.9	+0.8	+5.5
DAX 30	24759	-2.5	+1.5	+1.1	+1.8
EuroStoxx50	6062	-1.2	+3.3	+4.7	+12.0
FTSE100	10368	-0.9	+1.5	+4.4	+17.7
Asia					
MSCI, loc.	1893	-0.1	+4.1	+12.1	+31.1
Nikkei 225	66588	+2.2	+11.9	+32.3	+77.3
Emerging					
MSCI Emerging ($)	1717	+0.3	+4.2	+22.2	+45.2
China	75	-1.6	-4.0	-8.8	+1.3
India	925	-2.2	-1.8	-12.6	-12.0
Brazil	1753	-7.1	-13.9	+6.5	+25.7

Performance by sector

Eurostoxx600

Year 2026 to 5-6, €

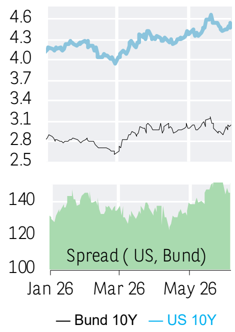
+30.6%	Oil & Gas
+26.1%	Commodities
+22.6%	Telecoms
+22.2%	Technology
+11.4%	Utilities
+9.4%	Chemical
+6.4%	Industry
+5.1%	**Eurostoxx600**
+4.1%	Banks
+0.9%	Financial services
-0.1%	Construction
-0.5%	Food industry
-2.1%	Retail
-2.6%	Health
-3.2%	Travel & leisure
-4.3%	Real Estate
-5.5%	Insurance
-8.3%	Media
-10.7%	Consumption Goods

S&P500

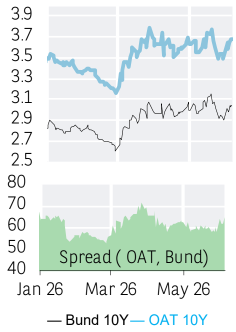
Year 2026 to 5-6, $

+33.1%	Semiconductors
+27.5%	Tech. Hardware & Equip.
+27.4%	Energy
+15.7%	Capital Goods
+9.9%	Materials
+9.2%	Food, Beverage & Tobacco
+8.4%	Retail
+7.9%	**S&P500**
+5.6%	Media
+3.3%	Utilities
+2.9%	Consumer Discretionary
+2.2%	Pharmaceuticals
-1.0%	Bank
-4.0%	Insurance
-4.3%	Telecoms
-6.2%	Consumer Services
-7.3%	Healthcare
-11.2%	Automobiles
-11.4%	Commercial & Pro. Services
-30.3%	Real Estate

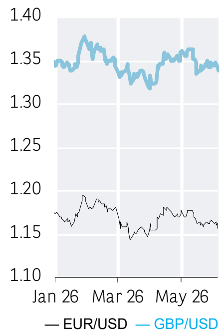
Bund 10Y & US Treas. 10Y



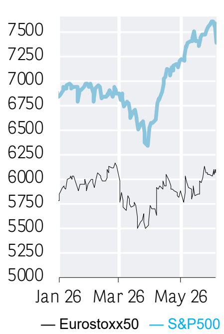
Bund 10Y & OAT 10Y



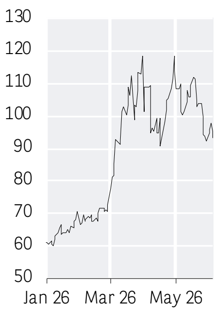
EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500



Oil, Brent ($/bbl)



Gold ($/ounce)

MSCI World ($)

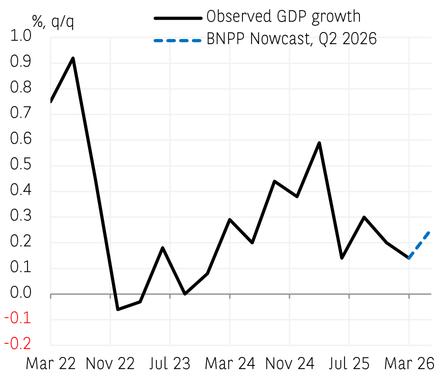
MSCI Emerging ($)

SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

The scenario, forecasts and nowcasts of the Economic Research – 8 June 2026

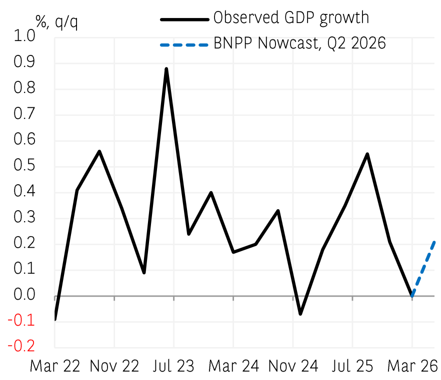
NOWCASTS OF THE ECONOMIC RESEARCH

Eurozone



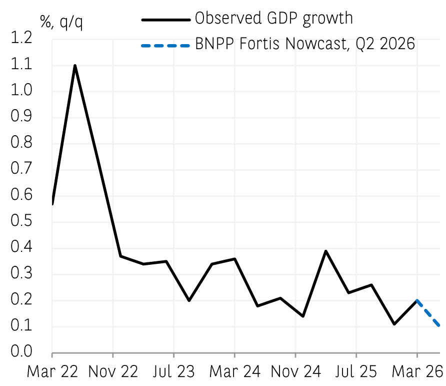
Source: Refinitiv, BNP Paribas

France



Source: Refinitiv, BNP Paribas

Belgium



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth has been revised downward due to the deterioration in confidence surveys (PMI, consumer confidence). It still points to a 0.2% q/q increase in activity in Q2, against a forecast of 0.3% q/q.

Our *nowcast* for French GDP growth suggests a recovery in Q2 2026, at +0.2% q/q, driven by the one-off factors that weighed on Q1 GDP (aeronautics exports and construction output).

Our *nowcast* for Q2 Belgium GDP growth suggests a low figure (0.1% q/q), driven by the propagation of energy price shock throughout the economy, with 40% of construction and manufacturing firms announcing selling price hikes in the next 3 months.

Read the Nowcast methodology
Tarik.rharrab@bnpparibas.com

ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

	GDP Growth				Inflation			
%	2024	2025	2026 e	2027 e	2024	2025	2026 e	2027 e
United States	2.8	2.1	2.4	2.3	2.9	2.7	3.7	2.8
Japan	-0.2	1.1	0.5	0.7	2.7	3.1	2.3	3.1
United Kingdom	1.0	1.4	0.7	1.2	2.5	3.4	3.4	3.2
Euro Area	0.9	1.5	0.6	1.6	2.4	2.1	3.0	3.3
Germany	-0.5	0.3	0.8	1.1	2.5	2.2	3.2	3.5
France	1.1	0.9	0.8	1.1	2.3	1.0	2.2	1.6
Italy	0.6	0.7	0.8	0.8	1.1	1.7	3.1	3.7
Spain	3.5	2.8	2.3	2.2	2.8	2.7	3.3	3.1
China	5.0	5.0	4.6	4.5	0.2	0.0	1.3	1.4
India*	7.1	7.7	6.6	6.8	4.6	2.1	5.1	4.2
Brazil	3.4	2.3	2.3	1.4	4.4	5.0	4.7	5.1

Source : BNP Paribas (e: Estimates & forecasts)
Last update: 08/06/2026
* Fiscal year from April 1 of year N to March 31 of year N+1

Contacts

Stephane.colliac@bnpparibas.com
Tarik.rharrab@bnpparibas.com

Interest and exchange rates

Interest rates, %		2026				2027
End of period		Spot 29/05	Q2	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	4.00	4.50
	T-Note 10y	4.43	4.55	4.65	4.75	4.85
Eurozone	deposit rate	2.00	2.25	2.50	2.50	2.50
	Bund 10y	2.90	3.15	3.20	3.35	3.10
	OAT 10y	3.49	3.77	4.00	4.17	3.60
	BTP 10y	3.66	3.85	3.95	4.10	3.60
	BONO 10y	3.36	3.57	3.64	3.79	3.42
UK	Base rate	3.75	3.75	4.25	4.25	3.50
	Gilts 10y	4.82	4.70	4.60	4.50	4.30
Japan	BoJ Rate	0.75	1.00	1.00	1.25	2.00
	JGB 10y	2.63	2.70	2.85	2.85	3.10

Exchange Rates		2026				2027
End of period		Spot 29/05	Q2	Q3	Q4	Q4
USD	EUR / USD	1.17	1.19	1.20	1.21	1.25
	USD / JPY	159	159	159	160	160
	GBP / USD	1.35	1.35	1.35	1.35	1.36
EUR	EUR / GBP	0.87	0.88	0.89	0.90	0.92
	EUR / JPY	186	189	191	194	200

Brent		2026				2027
Quarter Average		Spot 29/05	Q2	Q3	Q4	Q4
Brent	USD/bbl	94	110	90	85	83

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 08/06/2026

UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.3%, a yearly improvement (up from 2.1% in 2025). This apparent resilience to energy, uncertainty and tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.7% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, we expect the FOMC to implement one rate hike (+25pb) and bring the Fed Funds target range at 3.75% - 4.0% by year-end.

CHINA

Economic growth accelerated to +5.0% y/y in Q1 2026, vs. +4.5% in Q4 2025. It stood at 5% in 2025 as a whole and it is expected to slow moderately in 2026. Growth remains characterized by a K-shaped trajectory. On the one hand, exports are still dynamic, and Chinese goods are likely to remain competitive in the short term. On the other hand, domestic demand remains sluggish. It rebounded in the first two months of 2026 but has weakened significantly since March. The crisis in the property sector continues and confidence of households and private investors remains low. The authorities will maintain supportive fiscal and monetary policies, but their measures may continue to be modest, even in a less supportive global environment. Deflationary pressures are expected to decline in 2026, notably thanks to higher global energy prices and anti-involution measures implemented by the authorities.

EUROZONE

Eurozone growth would slow in 2026 due to spillovers from the Middle East conflict. In Q1 2026, GDP growth contracted 0.2% q/q mainly due to the volatility of Ireland's GDP data, but growth in the rest of the Eurozone remained resilient (+0.2% q/q). In 2026, consumption would be held back by falling real wages. GDP growth, which reached 1.5% in 2025, would slow down to 0.6% in 2026, before rebounding at 1.6% in 2027, while inflation would rebound to 3.0% in 2026 and 3.3% in 2027 (compared to 2.1% in 2025). Activity would nevertheless withstand the energy shock, supported by investment in defence, AI, and electrification, which should continue to boost intra-EU trade. As inflation rebounds, two 25-basis-point hikes in the ECB's policy rate would take place in 2026 – with the first hike expected in June – pushing the deposit facility rate to 2.5%. As inflation rebounds, two 25-basis-point hikes in the ECB's policy rate would take place in 2026 – with the first hike expected in June – pushing the deposit facility rate to 2.5%.

FRANCE

GDP growth deteriorated to -0.1% q/q in Q1 (after 0.2% q/q in Q4) as a result of one-off factors, including low aeronautics exports (-20% q/q despite an increase of the output) and construction output (-1.5% q/q). From Q2 2026, growth should be affected by the impact of higher oil prices on inflation (2.4% in 2026, after 1% in 2025) and household purchasing power (with a likely impact on their consumption). In 2026, GDP growth should reach 0.8% in 2026 (after 0.9% in 2025), driven by public spending and private investment in AI. Higher inflation (2.2% in 2026, after 1% in 2025) would weigh on GDP growth.

UNITED KINGDOM

Economic activity is expected to slow down in 2026, with growth limited to 0.7% after 1.4% in 2025; following +0.4% q/q in Q1, the average quarterly pace would fall to around +0.1%. This slowdown would occur against a backdrop of renewed inflationary pressures triggered by the war in Iran: inflation would reach 3.4% y/y before easing only gradually to 3.23% y/y in 2027, remaining well above BoE's target. In this context, and contrary to the initially envisaged easing scenario, monetary policy would shift toward a tightening of 50 basis points in 2026. 10y gilt yields will remain elevated in 2026, before falling to 4.30% in 2027 on reduced net supply, a decline in political risk premia and a market starting to eye BoE rate cuts.

JAPAN

The energy shock is set to impact the strong momentum of the Japanese economy negatively. We expect annual GDP growth to stand at 0.5% in 2026, down from 1.1% in 2025. Higher inflation and production costs are expected to weigh on the economy's overall performance. On the other hand, the latter is still tempered by structural supply constraints and supported by fiscal policy and wage growth. Inflation has generally overshot the 2% y/y target since 2022 and is expected to stay there through at least 2028. Accordingly, the Bank of Japan initiated a process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 0.75% so far (previously negative). We expect the process to extend, including one hike (25pb) in Q2 2026, until a 2.0% terminal rate in end-2027. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

In our base-case scenario (gradual normalisation of the Middle East situation with persistent price tensions), we expect the USD depreciation against the EUR to resume, albeit very gradually, amid broader diversification away from the dollar. We forecast EUR/USD to reach 1.21 by Q4 2026 and 1.25 by Q4 2027. We anticipate stabilisation of the yen and the GBP against the dollar in 2026 (USD/JPY 160 and GBP/USD 1.35 by Q4 2026) and 2027.

IN LATIN AMERICA, THE ENERGY CRISIS IS EXPECTED TO HAVE A MODERATE IMPACT ON PUBLIC FINANCES

Lucas Plé

Latin America is not exposed to the risk of a disruption in hydrocarbon supplies due to the conflict in the Middle East. However, the rise in international energy prices is exerting pressure on the region's public finances. In Brazil, Mexico and Colombia, fuel subsidies are increasing the risk of fiscal slippage; however, this risk is somewhat mitigated by the projected rise in oil-related fiscal revenues. In Chile and Peru, the lack of subsidies points to a significant inflationary impact that could result in a monetary tightening. This would increase the interest burden on public debt, but the moderate fiscal deficits in these countries should enable them to absorb the shock. Furthermore, governments in the region are expected to manage any tightening of international financial conditions with relative ease.

The energy shock poses moderate risks to public finances in Latin America

	Brazil	Colombia	Mexico	Chile	Peru
Fiscal deficit 2025, % GDP	8.1	5.7	4.9	2.8	2.4
Interest payments on debt 2025, % government revenue	19.5	8.4	24.4	3.3	7.4
Government debt, % GDP	75.2	64.3	47.8	43.5	28.8
Share of debt held by non-resident investors, % total	12.0	28.8	25.7	34.2	12.4
Share of foreign-currency debt, % total	3.4	28.3	15.7	34.0	41.6

Note: Sovereigns are ranked according to their level of risk exposure, ranging from green (low exposure) to red (high exposure).

SOURCES : IMF, WORLD BANK, NATIONAL INSTITUTES OF STATISTICS, BNP PARIBAS

The impact of the energy shock on primary fiscal balances is expected to be limited, but the risks of slippage should be closely monitored

The governments of Chile and Peru have not introduced any fuel subsidies. Consequently, gasoline and diesel prices have risen by 31% and 60% respectively in Chile, and by 43% and 65% in Peru since the start of the conflict in the Middle East. The inflationary impact of rising energy prices in these countries will be significant[1], as transport accounts for 12-13% of the consumer price index.

In Brazil, the cost of the subsidies introduced since March (BRL 7.5 billion per month) is expected to be entirely offset by the rise in oil revenues (BRL +8.5 billion per month). However, given the electoral context, these subsidies could be increased. In such a scenario, the energy shock could result in a negative net cost for public finances.

In Mexico and Colombia, fuel prices are set by the government, which increases the risk of fiscal slippage. The difference between international and domestic prices is an indirect subsidy financed by the state. Since late February, gasoline and diesel prices have risen slightly in Mexico (+10.6% and +4.1% respectively) while remaining virtually unchanged in Colombia (+1.9% and +2.7% respectively). The cost of subsidies could therefore be significant and may not be fully offset by the increase in fiscal revenue from oil.

Chile and Peru have the fiscal leeway to absorb higher rates in the event of a monetary tightening.

So far, the monetary *status quo* expected prior to the energy shock has been preserved in Chile and Peru; however, given the inflationary impact of the energy shock, an increase in key interest rates is likely. Monetary tightening is expected to result in a higher interest burden on debt, yet these countries have the fiscal leeway to absorb this additional cost. Fiscal deficits were below 3% of GDP in 2025, and interest payments did not exceed 8% of fiscal revenue (*Heatmap, lines 1 and 2*).

Other central banks in the region are not expected to react to the energy shock. In Brazil and Mexico, they have cut their key interest rates since the start of the conflict, in reaction to disinflation (in Brazil) and slowing growth (in Mexico). In contrast, the Colombian central bank has raised its key interest rate in response to domestic inflationary pressures that existed prior to the conflict in the Middle East. In Colombia, the rise in debt interest payments in 2026 will further reduce fiscal space, which has already been diminished by the government's expansionary fiscal policy.

1 Year-on-year, inflation rose from 2.2% in February to 3.9% in May in Peru. In Chile, it rose from 2.4% in February to 4% in April.

The risks associated with a tightening of global financial conditions are limited in the short term

Latin American sovereigns appear vulnerable to a tightening of international financial conditions (Heatmap, lines 4 and 5), which raises risks of capital outflows and downward pressure on currencies. This vulnerability arises from the significant shares of debt denominated in foreign currency (Peru, Chile, Colombia) and debt held by foreign investors (Chile, Colombia, Mexico). Only Brazil has limited exposure to these risks.

However, certain factors help to mitigate the risks for the most vulnerable countries. In Chile and Peru, the governments can manage an increase in debt servicing costs due to their comfortable fiscal buffers. Besides, the depreciation of exchange rates against the US dollar since the start of the conflict has been modest (-3.3% in Chile and -1.7% in Peru). Colombia and Mexico, being oil-producing countries, have thus far avoided the financial volatility resulting from the energy shock – Colombia's energy trade balance shows a healthy surplus, while Mexico's shows a moderate deficit[2].

In conclusion, similar to Asia[3], the energy shock poses moderate risks to Latin America's public finances, which should remain manageable if the conflict in the Middle East is resolved soon. Despite the fact that Colombia and Mexico are oil-producing countries, the deterioration of public finances in these countries is expected to continue.

lucas.ple@bnpparibas.com

2 See also: Latin America: more exposed to inflationary pressures than to disruptions in hydrocarbon supplies.
3 See also: The impact of the energy crisis on public finances in emerging Asia.

GROUP ECONOMIC RESEARCH

ECOINSIGHT
Structural or thematic topics

ECOPERSPECTIVES
Analyses and forecasts with a focus on developed and emerging economies.

ECOFLASH
Data releases, major economic events

ECOWEEK
Recent economic and policy developments, data comments, economic calendar, forecasts

ECOCHARTS
Monthly barometer of key economic indicators of the main OECD countries.

ECOTV
What is the key event of the month?
You will find the answer in our economy broadcast.

MACROWAVES
Our economic podcast

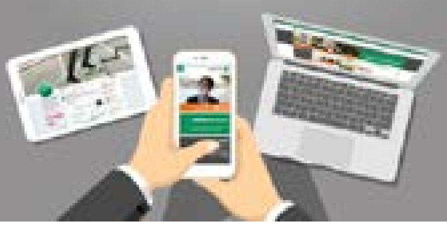
HOW TO RECEIVE OUR PUBLICATIONS

SUBSCRIBE ON OUR WEBSITE
see the Economic Research website

&

FOLLOW US ON LINKEDIN
see the Economic Research linkedin page

OR TWITTER
see the Economic Research Twitter page



Published by BNP PARIBAS Economic Research

Head office: 16 boulevard des Italiens – 75009 Paris France / Phone : +33 (0) 1.42.98.12.34
Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com

Head of publication : Jean Lemierre

Chief editor: Isabelle Mateos y Lago

Subscribe to our publications:
ECONOMIC RESEARCH

BNP PARIBAS

The bank
for a changing
world

ECOPERSPECTIVES

1er trimestre 2026

Avril 2026

2026-2027 Economic Outlook:
Advanced Economies Facing the Risk of Stagflation

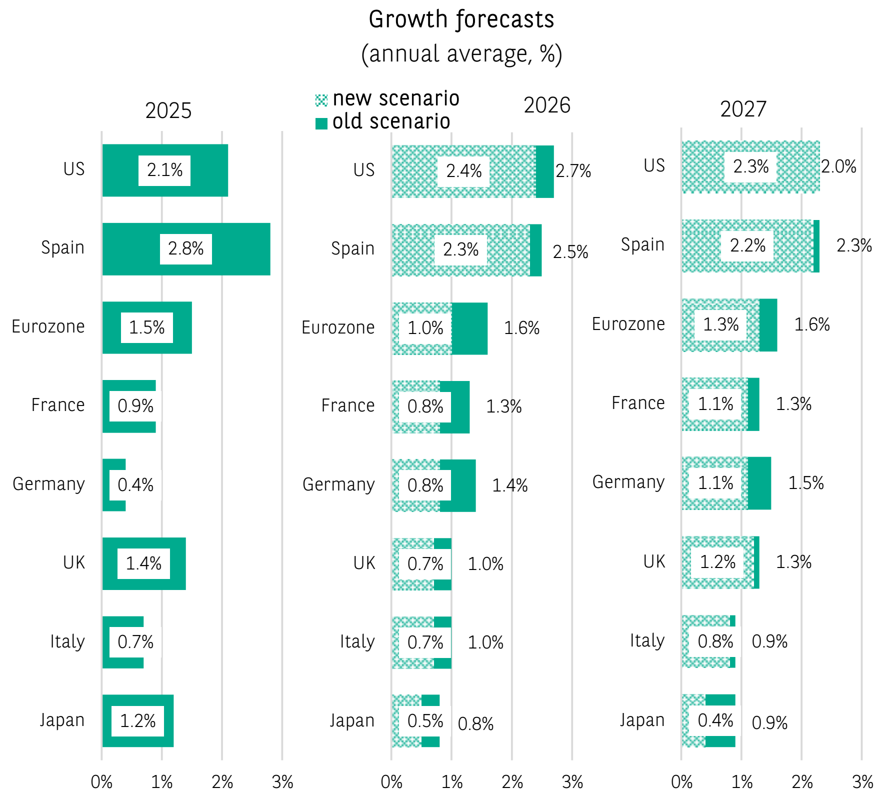
By Lucie Barette, Anis Bensaidani, Maëlys Biot, Stéphane Colliac, Guillaume Derrien and Marianne Mueller (Advanced Economies Team) and Hélène Baudchon (Deputy Chief Economist)

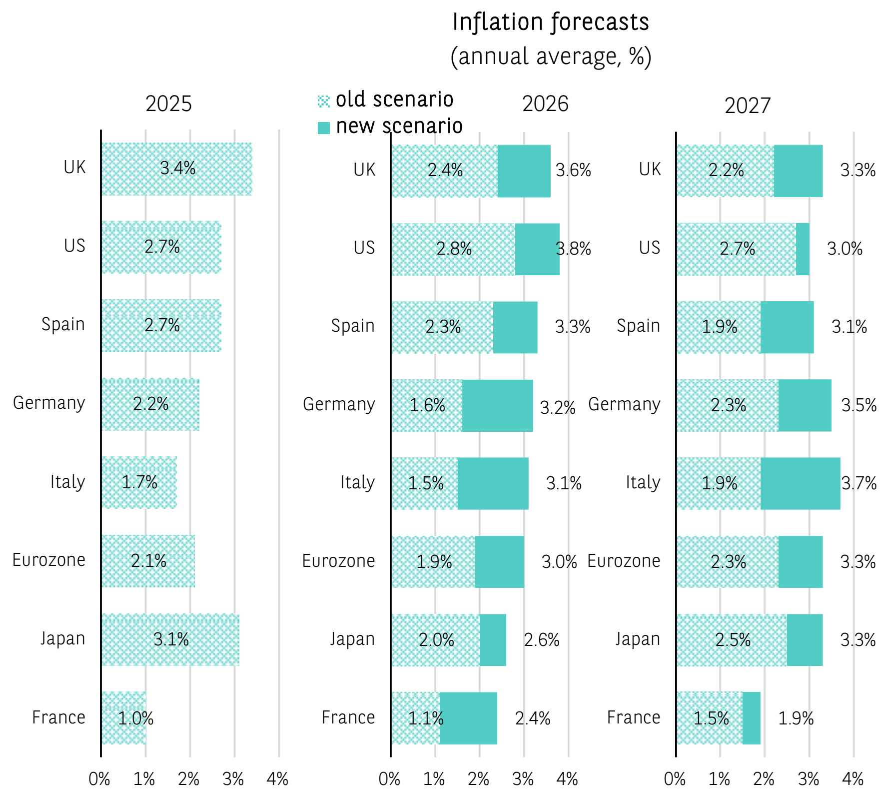
ECONOMIC RESEARCH by BNP PARIBAS

BNP PARIBAS

The bank for a changing world

2026-2027 Economic Outlook (as of 27 May 2026)

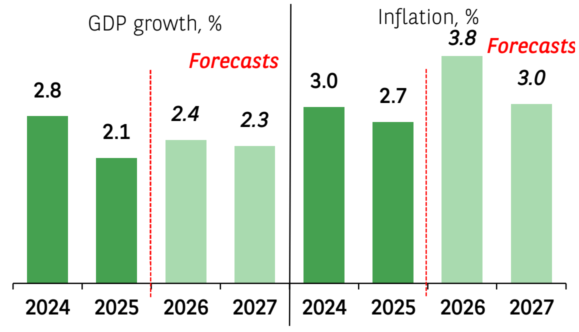




Source: National, BNP Paribas

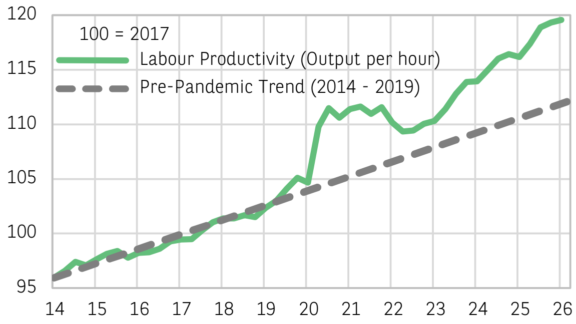
United States: Growth and Full Employment Tested by Uncertainty

Growth above potential, inflation above target



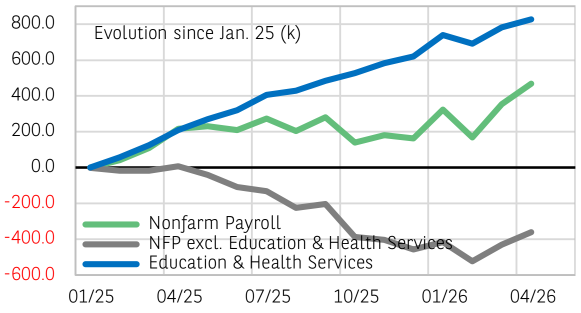
Source: BNP Paribas Global Markets

Above-trend productivity underpins growth



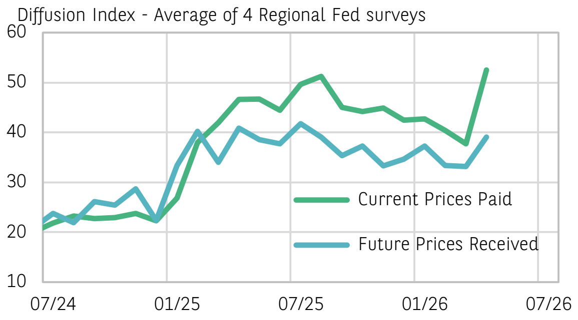
Source: BEA, BNP Paribas

Slow payroll growth supported by healthcare



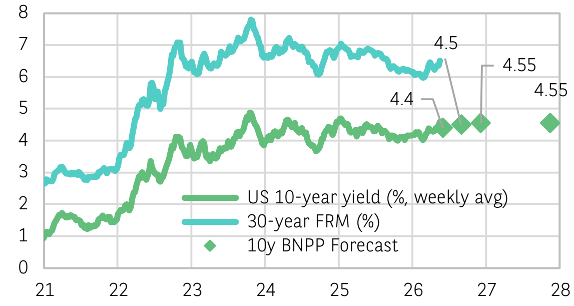
Source: BLS, BNP Paribas

Prices: One shock follows another



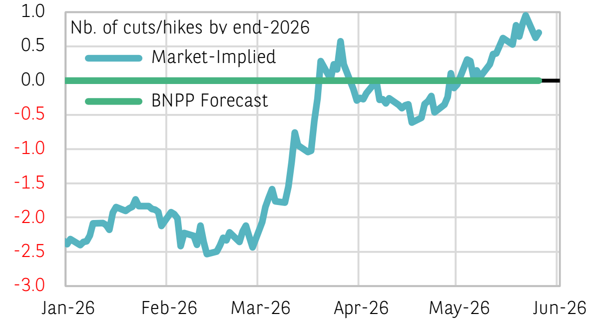
Source: Dallas Fed, Kansas Fed, New York Fed, Philly Fed

Mortgage Rates: A short-lived relief?



Source: Freddie Mac, Macrobond, BNP Paribas

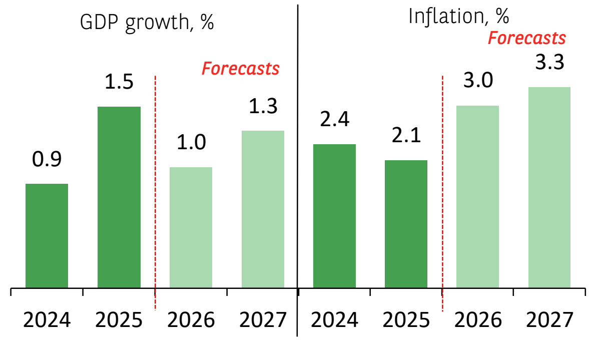
FOMC to hold through end-2026 with a less-dovish stance priced-in by markets



Source: Bloomberg (WIRP), BNP Paribas

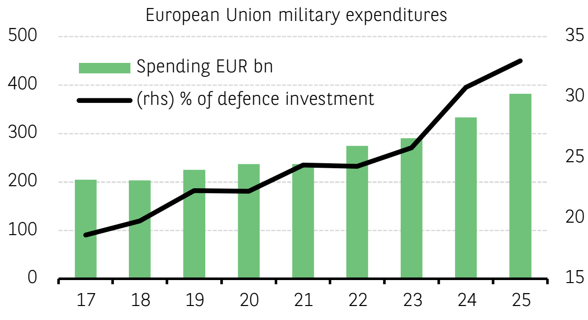
Euro area: Recovery fragile but not in doubt

Growth hindered but structural strengths preserved



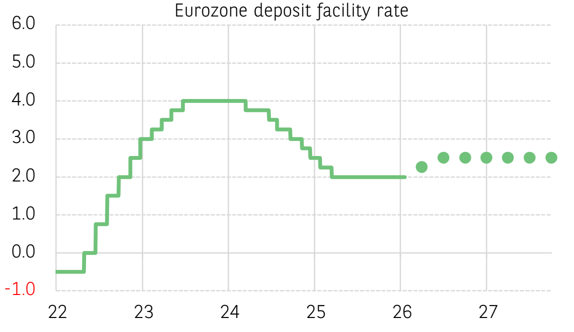
Source: BNP Paribas Global Markets

Structural factors supporting the recovery remain intact



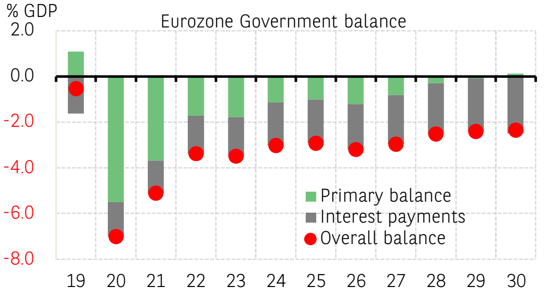
Source: European Defence Agency, BNP Paribas

Interest rate rises brought forward to 2026



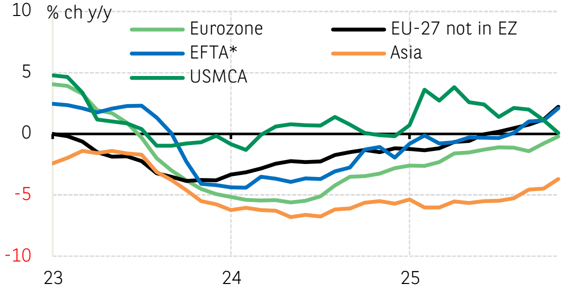
Source: BNP Paribas

Moderate deterioration in public finances expected



Source: Eurostat, BNP Paribas

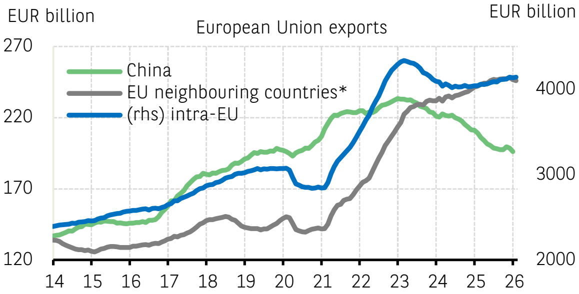
Intra-EU trade expected to gain further momentum



* Iceland, Liechtenstein, Norway, Switzerland

Source: Eurostat, BNP Paribas

The reorganization of export flows will continue

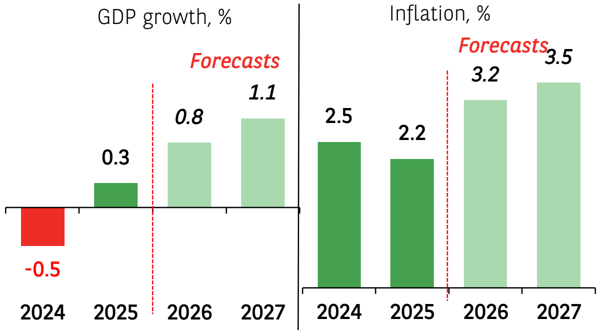


* Türkiye, Ukraine, Morocco, Balkans

Source: Eurostat, BNP Paribas

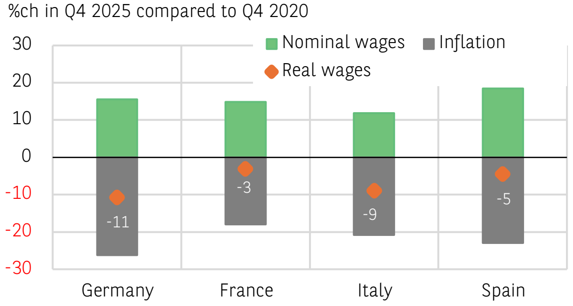
Germany: A modest recovery, but one that is expected to take hold

In 2026, the growth recovery should strengthen but inflation increase



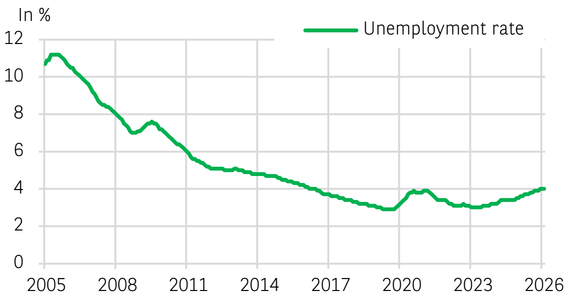
Source: BNP Paribas Global Markets

German wages have recovered less than in other countries to their pre-Covid inflationary crisis levels



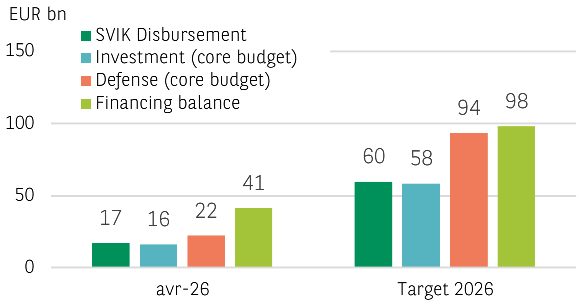
Source: Eurostat, national statistics, BNPP calculations

The labour market remains historically strong



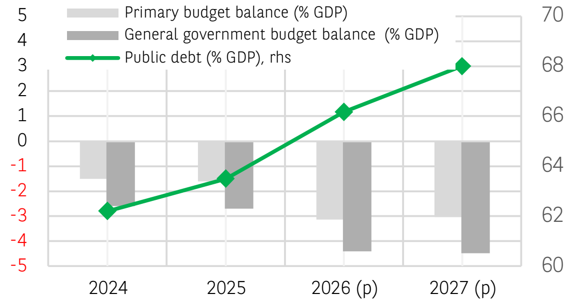
Source: Destatis

Domestic demand should stay the main growth driver



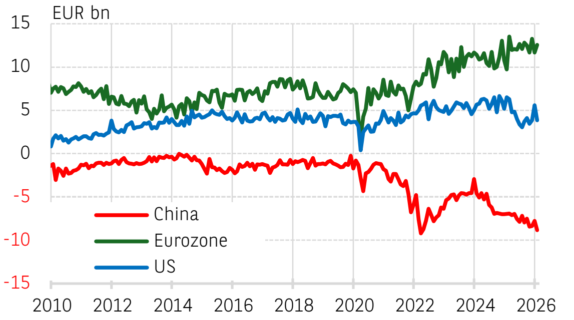
Source: Ministry of Finance, BNPP calculations

A fiscal trajectory largely unchanged at this stage



Source: Destatis, BNPP calculations

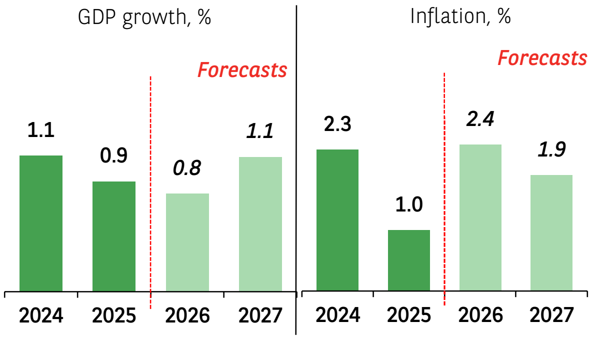
A rebalancing of foreign trade in underway



Source: Destatis

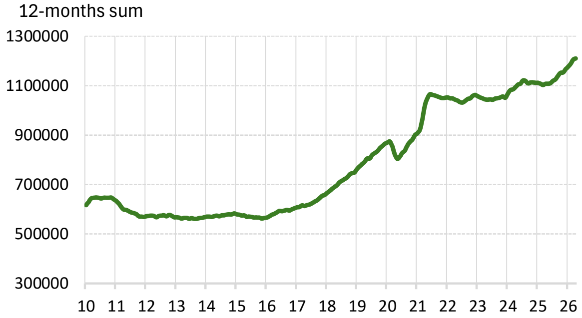
France: growth and public finance to stay on track despite the inflation shock

GDP Growth to be resilient despite the inflation shock



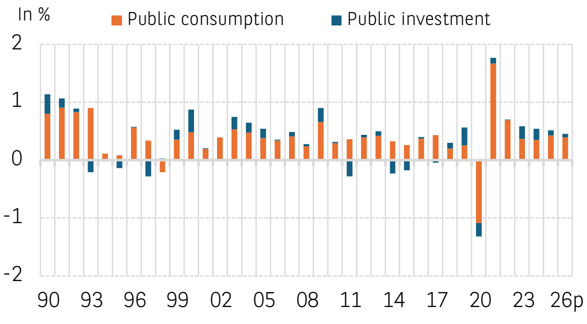
Source: BNP Paribas Global Markets

Business creations: a new wave (AI driven)



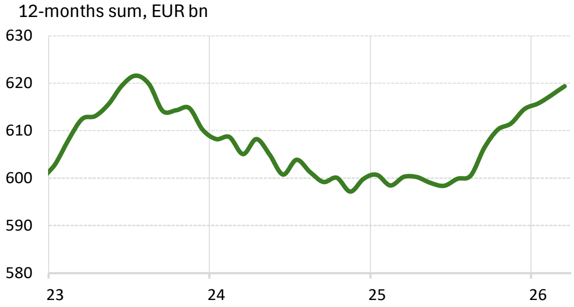
Source: Insee, BNP Paribas

Military and social spending are boosting public contribution to GDP growth



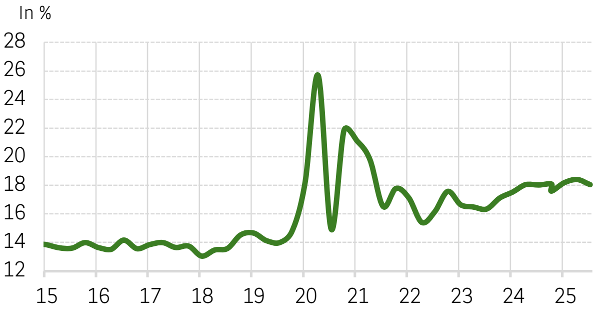
Source: Insee, BNP Paribas Forecasts

French exports are boosted by increased AI, military and aeronautics



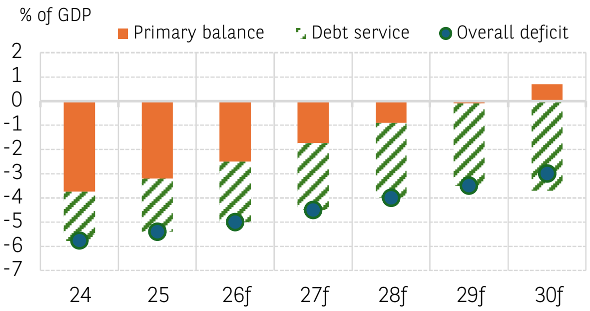
Source: Customs, BNP Paribas

Household savings to remain high as a result of purchasing power pressures



Source: Insee, BNP Paribas

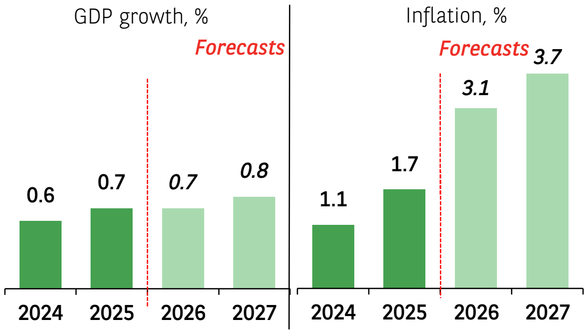
Fiscal consolidation should be increasingly constrained by the debt service



Source: Insee, BNP Paribas forecasts

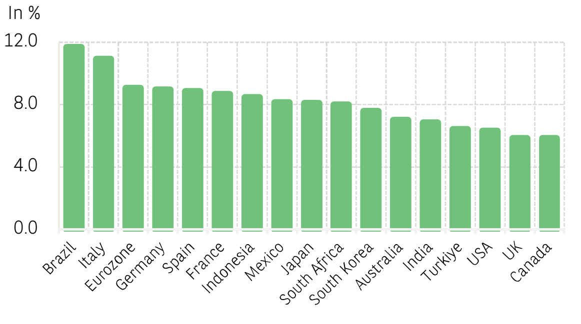
Italy: Navigating energy vulnerability, resilient trade and limited fiscal capacity

Growth is expected to stagnate while inflation surges



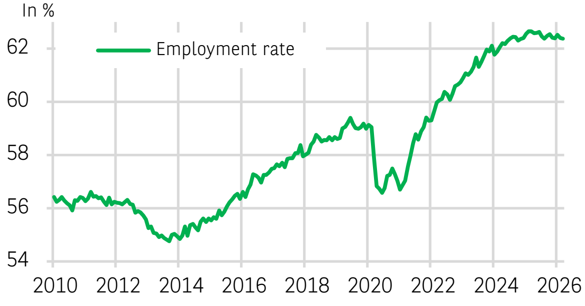
Source: BNP Paribas Global Markets

Energy accounts for a significant proportion of the consumer basket



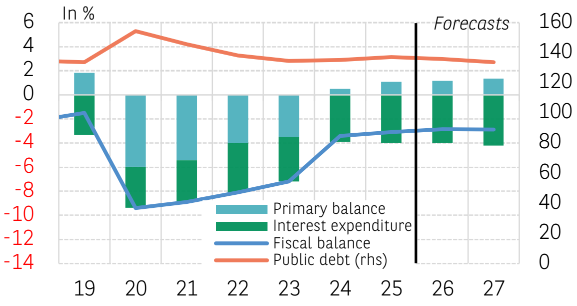
Source: OCSE, BNL Economic Research

The employment growth is beginning to run out of steam



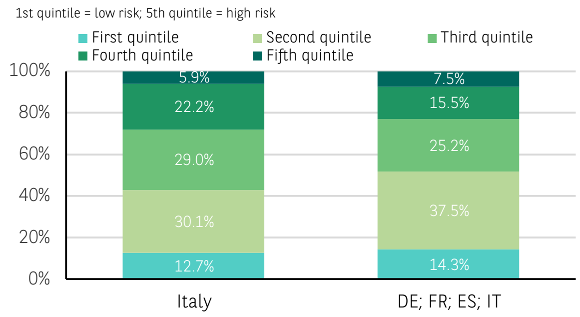
Source: Istat

Public finances: real progress, thin margins



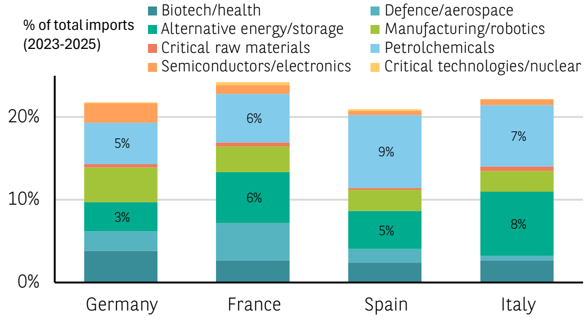
Source: Eurostat, BNP Paribas

Italy's strategic imports originate from countries that are politically riskier than its eurozone peers



Source: Istat

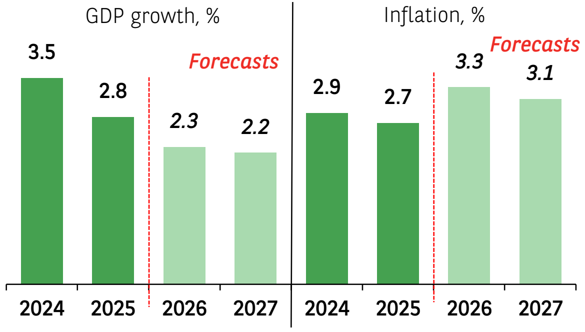
The import side remains vulnerable to potential disruptions in the supply of strategic goods



Source: Istat

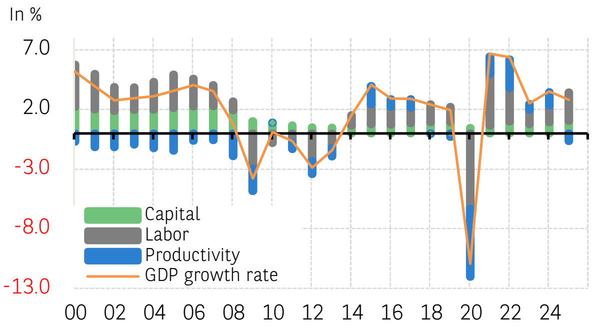
Spain: Domestic demand is expected to continue to drive growth

Growth is expected to remain strong and inflation is set to rise



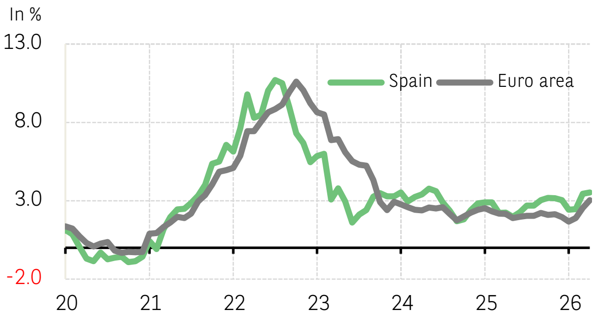
Source: BNP Paribas Global Markets

Growth driven by employment and held back by productivity



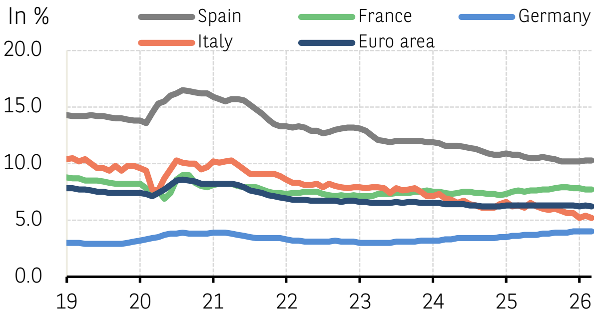
Source: Conference Board –TED), BNP Paribas

Inflation remains higher than in the eurozone

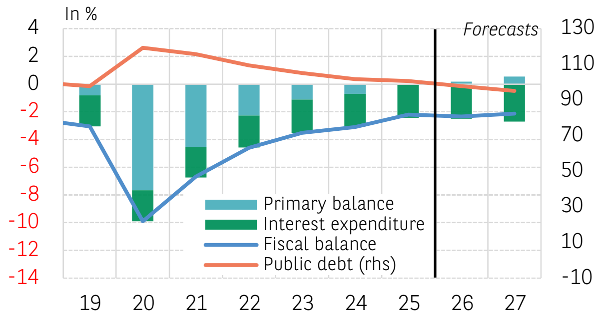


Source: Eurostat, INE, BNP Paribas

The unemployment rate remains above the Eurozone average

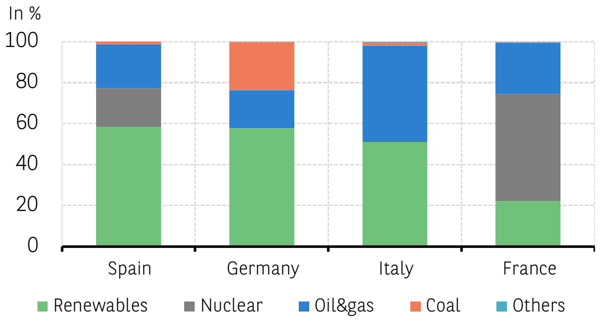


Strong nominal growth will reduce public debt



Source: DG ECFIN AMECO, Eurostat, BNP Paribas Forecasts

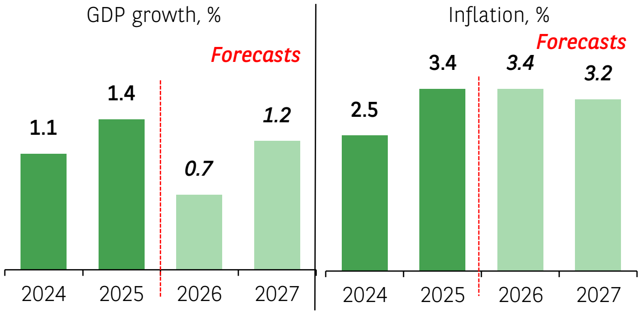
Renewable energy accounts for more than half of Spain's electricity generation



Source: IEA (2024), BNP Paribas

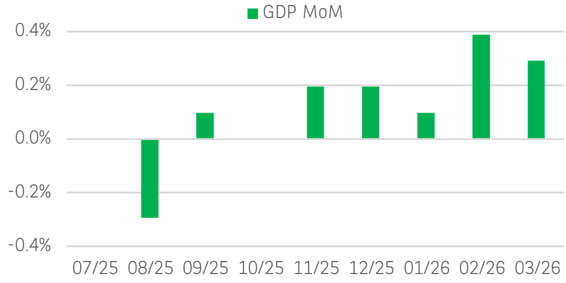
United Kingdom: Risk of stagflation

Significant growth slowdown, inflation rebound



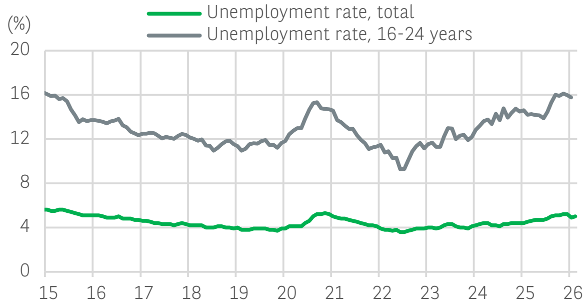
Source: BNP Paribas Global Markets

Strong early-year momentum is expected to offset weaker quarters later on, weighed down by private domestic demand



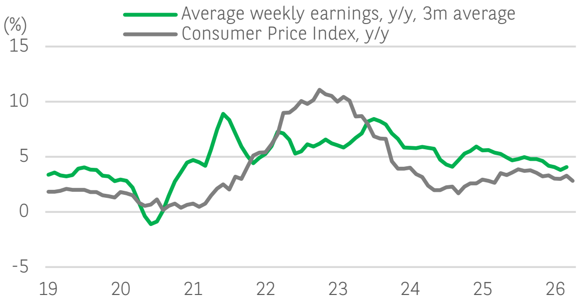
Source: ONS, BNP Paribas

Labour market stabilised at the start of the year after several months of deterioration, but is expected to weaken slightly



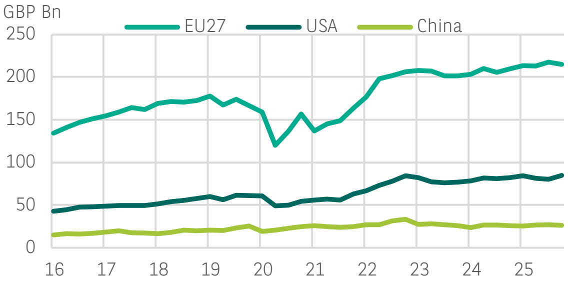
Source: ONS, BNP Paribas

As labour market conditions have loosen, nominal wage growth has been decelerating and could undershoot inflation



Source: ONS, BNP Paribas

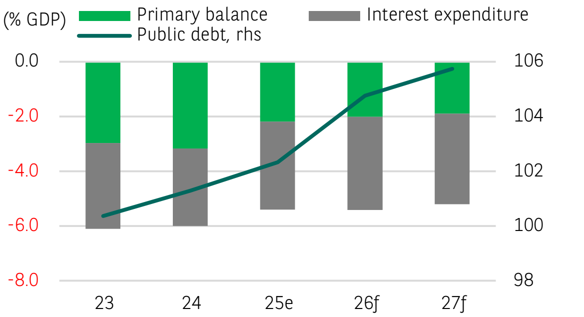
Trade intensity (exports and imports of goods and services) underscores realignment with the EU



Note: Sum of quarterly imports and exports of goods and services

Source: ONS, BNP Paribas

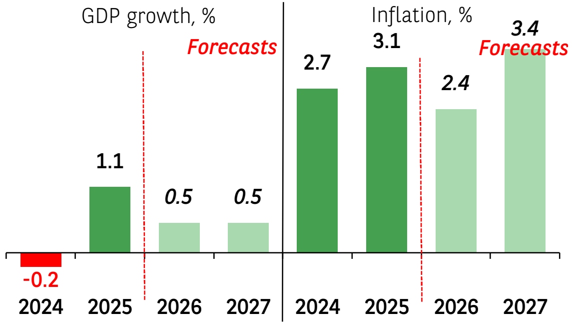
Limited fiscal room for manoeuvre constrains the government's ability to respond to new shocks



Source: ONS, BNP Paribas

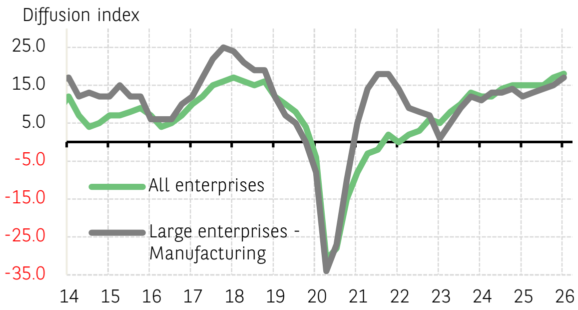
Japan: Strong momentum, already under threat

Energy shock weighting on the outlook



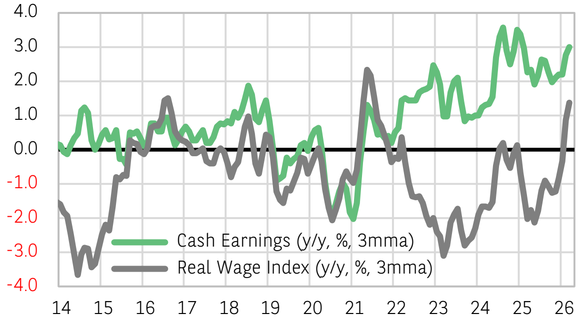
Source: BNP Paribas Global Markets

A sustained improvement in the business climate, undeterred by the tariff shock



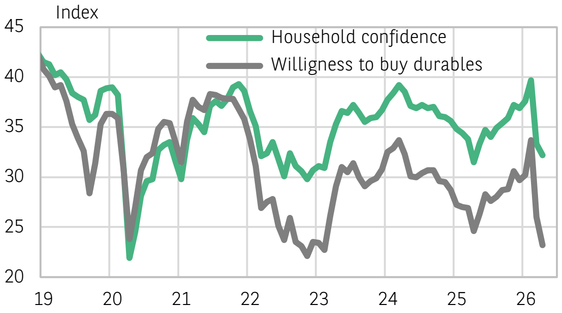
Source: BoJ, BNP Paribas

Real wages are struggling to move into positive territory



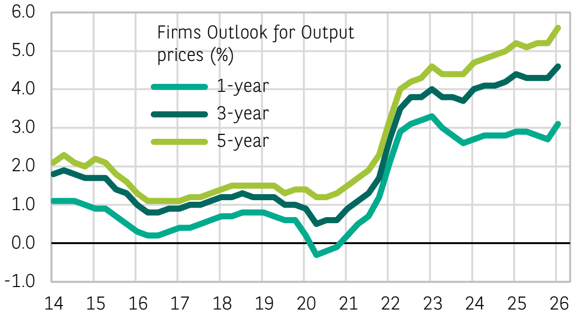
Source: Japanese Ministry of Health, Labour and Welfare, BNP Paribas

Abrupt change in consumer confidence



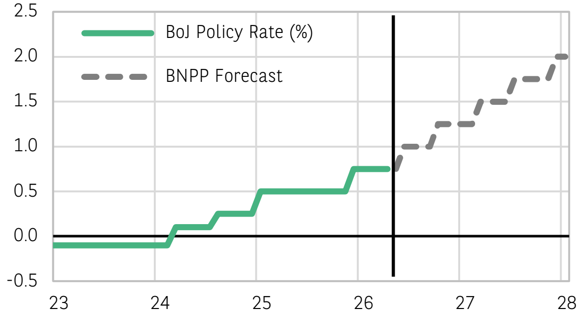
Source: Cabinet Office, BNP Paribas

Shift in firms' price-Setting behavior



Source: BoJ, BNP Paribas

A cautious adjustment of the degree of monetary accommodation

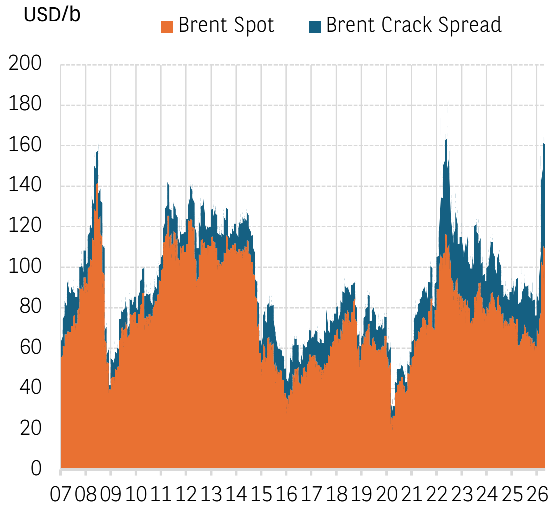


Source: Bank of Japan, BNP Paribas Global Markets

Oil prices: a significant rise, but one that should be put into perspective

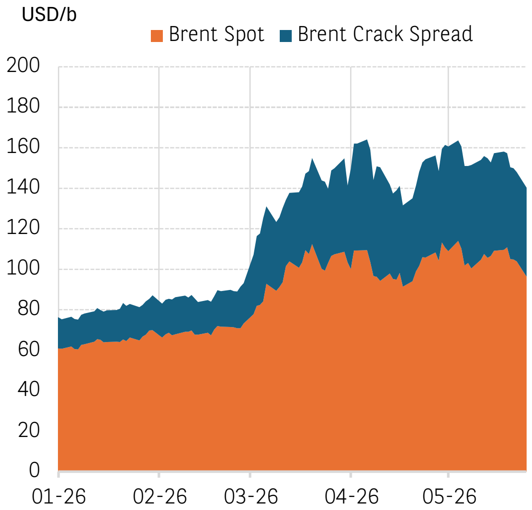
Will the shock have the same impact as it did in 2022? – Energy shock: Dashboard 2026 vs. 2022

When the crack spread is added to the spot oil price, the total approaches the highs reached in 2008 and 2022



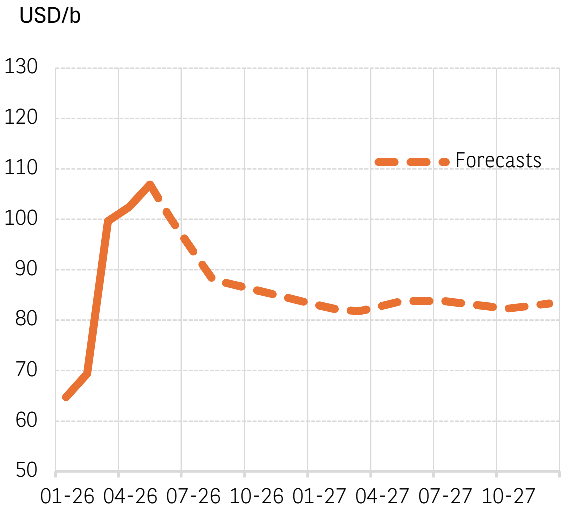
Source: ICE, Macrobond, BNP Paribas

In 2026, for consumers, the rise in oil prices is driven more by the crack spread than by the increase in spot prices



Source: ICE, Macrobond, BNP Paribas

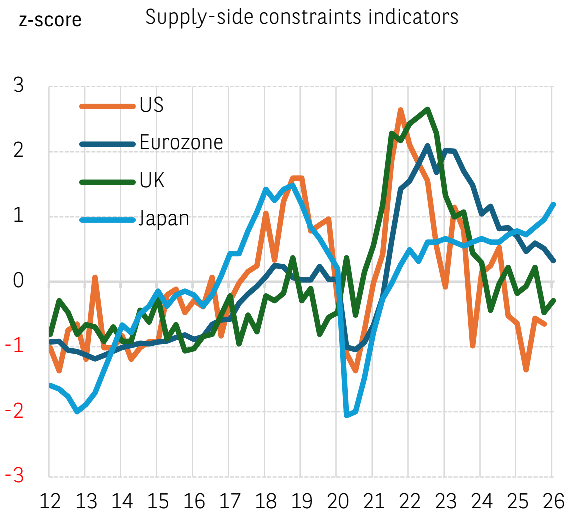
Our baseline scenario for Brent prices does not anticipate any easing of tensions before the end of the second quarter



Source: BNP Paribas

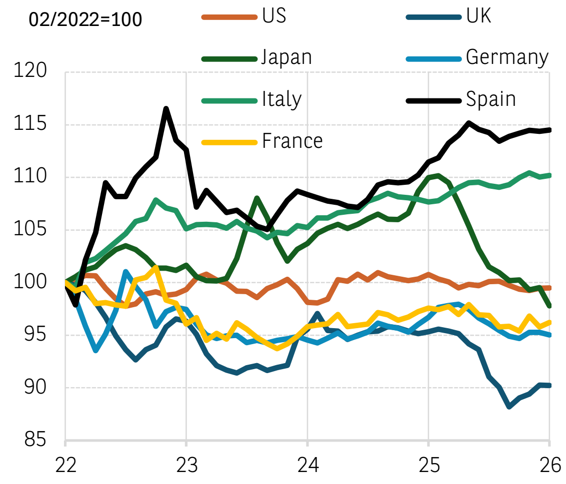
The impact of the shock will be different from 2022

Supply constraints are limited except in Japan



Source: National statistics, BNP Paribas

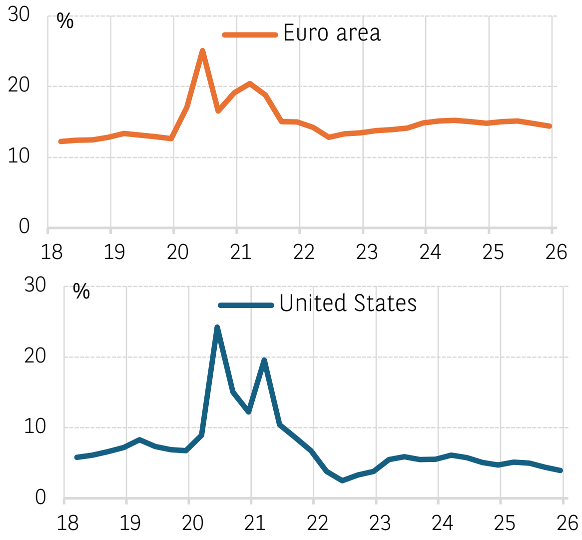
The decline in fuel consumption took some time to materialize following the 2022 energy crisis



Note: Data smoothed over a three-month period

Source: National statistics, Macrobond, BNP Paribas

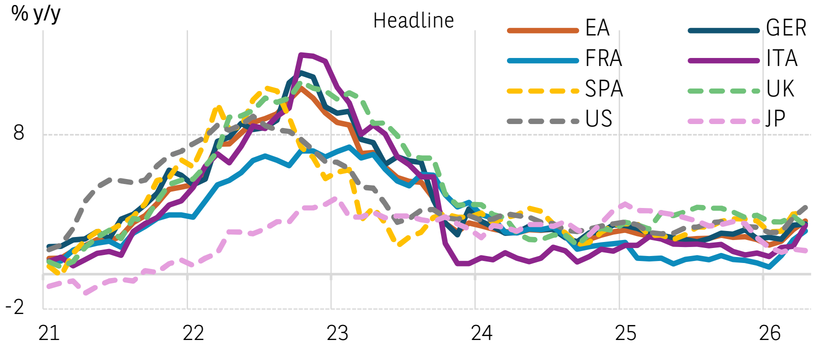
The household savings rate is higher than pre-Covid levels in the Eurozone and significantly lower than that level in the United States

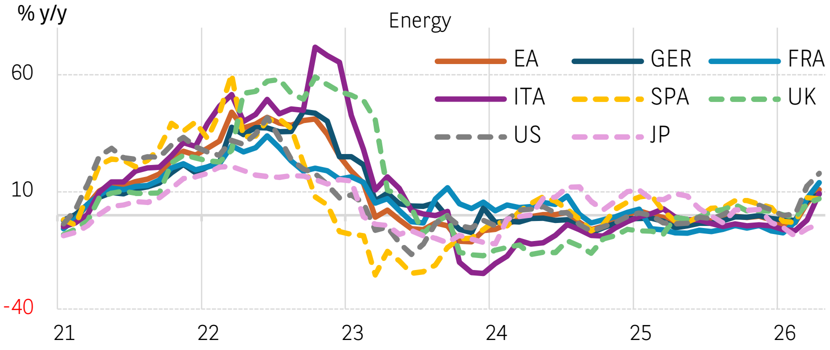


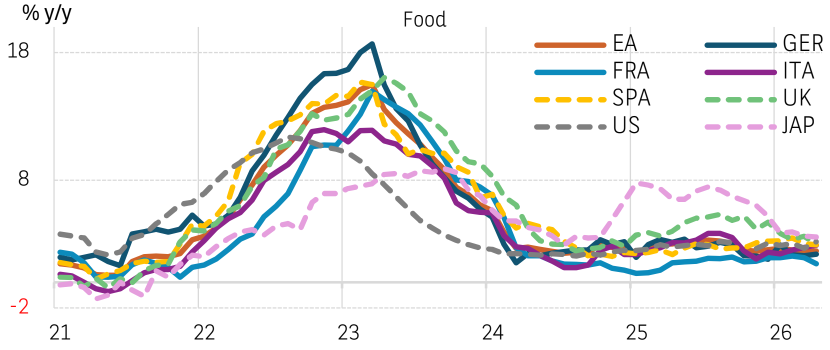
Source: BEA, Eurostat, BNP Paribas

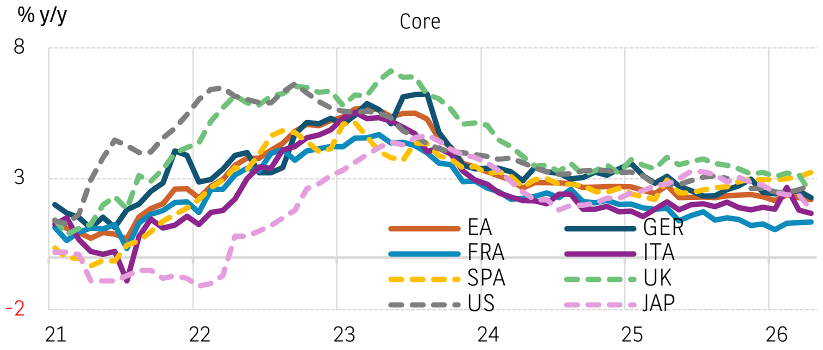
An impact on inflation limited for now

Energy inflation is just beginning to pick up, while inflation in other categories shows no signs of accelerating at this stage





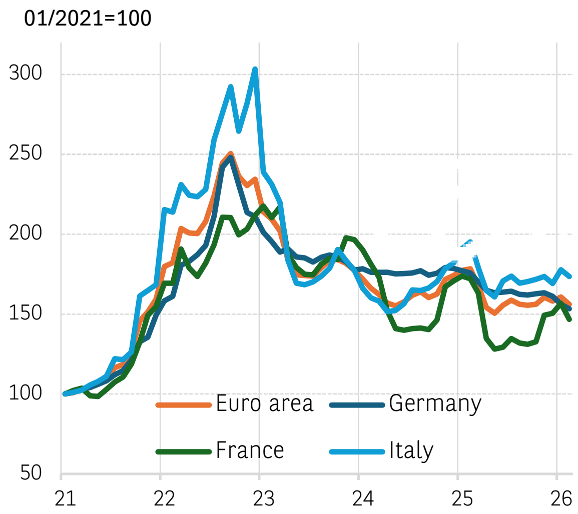




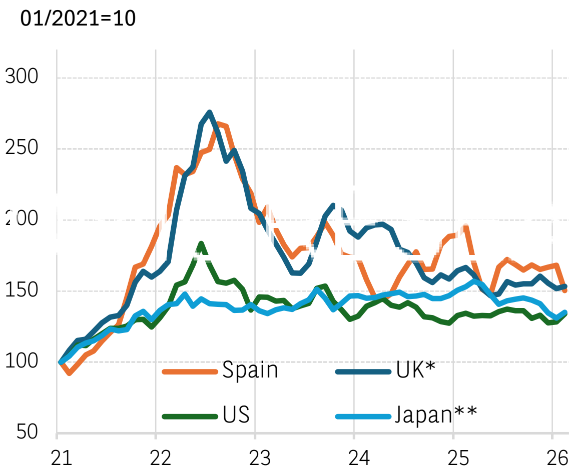
Source: National statistics, BNP Paribas

A low impact for the time being on energy producer prices and a boost for electrification

After peaking in 2022, energy producer prices have stabilized



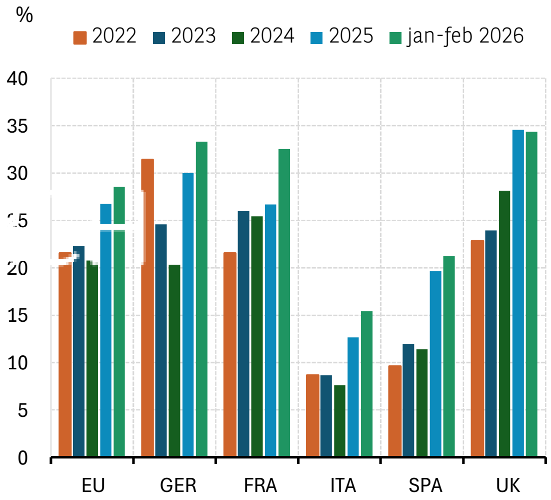
Source: National statistics, BNP Paribas



*coke and refined petroleum products ** petroleum products and coal derivatives

Source: National statistics, BNP Paribas

New green transition measures are expected to boost the share of EVs in the automotive market



Source: ACEA, BNP Paribas

Group Economic Research - Publications

The information and opinions contained in this document have been obtained from, or are based on, public sources believed to be reliable, but there is no guarantee of the accuracy, completeness or fitness for any particular purpose of such information and such information may not have been independently verified by BNPP or by any person. None of BNPP, any of its subsidiary undertakings or affiliates or its members, directors, officers, agents or employees accepts any responsibility or liability whatsoever or makes any representation or warranty, express or implied, as to the accuracy and completeness of the information or any opinions based thereon and contained in this document and it should not be relied upon as such. This document does not constitute research, as defined under MIFID II, or form any part of any offer to sell or issue and is not a solicitation of any offer to purchase any financial instrument, nor shall it or any part of it nor the fact of its distribution form the basis of, or be relied on, in connection with any contract or investment decision. Information and opinions contained in this document are published for the information of recipients, but are not to be relied upon as authoritative or taken in substitution for the exercise of judgment by any recipient, are subject to change without notice. In providing this document, BNPP does not offer investment, financial, legal, tax or any other type of advice to, nor has any fiduciary duties towards, recipients. Any reference to past performance is not indicative of future performance, which may be better or worse than prior results. Any hypothetical, past performance simulations are the result of estimates made by BNPP, as of a given moment, on the basis of parameters, market conditions, and historical data selected by BNPP, and should not be used as guidance, in any way, of future performance. To the fullest extent permitted by law, no BNPP group company accepts any liability whatsoever (including in negligence) for any direct or consequential loss arising from any use of or reliance on material contained in this document even when advised of the possibility of such losses. All estimates and opinions included in this document are made as of the date of this document. Unless otherwise indicated in this document there is no intention to update this document. BNPP may make a market in, or may, as principal or agent, buy or sell securities of any issuer or person mentioned in this document or derivatives thereon. Prices, yields and other similar information included in this document are included for information purposes however numerous factors will affect market pricing at any particular time, such information may be subject to rapid change and there is no certainty that transactions could be executed at any specified price. BNPP may have a financial interest in any issuer or person mentioned in this document, including a long or short position in their securities and/or options, futures or other derivative instruments based thereon, or vice versa. BNPP, including its officers and employees may serve or have served as an officer, director or in an advisory capacity for any person mentioned in this document. BNPP may, from time to time, solicit, perform or have performed investment banking, underwriting or other services (including acting as adviser, manager, underwriter or lender) within the last 12 months for any person referred to in this document. BNPP may be a party to an agreement with any person relating to the production of this document. BNPP may to the extent permitted by law, have acted upon or used the information contained herein or in the document, or the analysis on which it was based, before the document was published. BNPP may receive or intend to seek compensation for investment banking services in the next three months from or in relation to any person mentioned in this document. Any person mentioned in this document may have been provided with relevant sections of this document prior to its publication in order to verify its factual accuracy.

This document was produced by a BNPP group company. This document is for the use of intended recipients and may not be reproduced (in whole or in part) or delivered or transmitted to any other person without the prior written consent of BNPP. By accepting or accessing this document you agree to this.

BNP Paribas is a société anonyme incorporated in France, licensed and supervised as a credit institution by the European Central Bank (ECB) and as an investment services provider by the Autorité de contrôle prudentiel et de résolution (ACPR) and Autorité des marchés financiers (AMF), and having its registered office at 16, boulevard des Italiens, 75009 Paris, France.
Some or all of the information contained in this document may already have been published on https://globalmarkets.bnpparibas.com.

For country-specific disclaimers (United States, Canada, United Kingdom, Germany, Belgium, Ireland, Italy, Netherlands, Portugal, Spain, Switzerland, Brazil, Turkey, Israel, Bahrain, South Africa, Australia, China, Hong Kong, India, Indonesia, Japan, Malaysia, Singapore, South Korea, Taiwan, Thailand, Vietnam) please type the following URL to access the applicable legal notices: https://globalmarkets.bnpparibas.com/gm/home/Markets_360_Country_Specific_Notices.pdf

COMPETITIVE BANKS FOR A SOVEREIGN EUROPE

Energy transition, reindustrialisation, digital transition, innovation, defence: these strategic priorities require annual funding flows far greater than those historically seen in the European Union (EU). The consultation conducted by the European Commission on the competitiveness of the banking sector, which concluded on 19 April, highlights the need for a banking system that can finance these ambitions.

As banks provide nearly three-quarters of financing in the EU, their competitiveness is a key determinant of European sovereignty. Without a robust banking sector capable of increasing its financing supply and competing with major international players within its own market, the EU would be exposed to increased reliance on non-European financing. In various segments of investment banking, non-European institutions — particularly American ones — have strengthened their presence. Nevertheless, these challenges call for a broader understanding of banking competitiveness than the microeconomic focus on profitability or market share: it is essential to consider the banking sector's ability to respond effectively to the unprecedented rise in financing needs.[1]

Significant progress has already been made: banking profitability has recovered strongly since 2022, and the prudential framework has been considerably strengthened over the past decade or so. However, several areas still require improvement, particularly in adapting prudential requirements to new challenges and increasing the integration of capital markets, as highlighted in the Letta and Draghi reports.

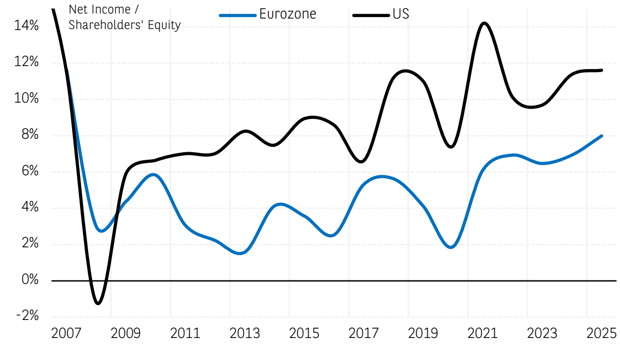
THE RECOVERY IN BANK PROFITABILITY: A NECESSARY YET INSUFFICIENT CONDITION

Following an extended period characterised by low or negative interest rates, the normalisation of rates since 2022 has bolstered the profitability of major European banks (*see Chart 1*). However, the disparity with their US counterparts remains. This is mainly due to structural factors. In a US financial system that is more reliant on markets, financing generates more commission income for banks while consuming minimal capital, a combination conducive to higher profitability.

This disparity is not neutral: by generating more equity organically, US banks have a greater ability to absorb an increase in their risk-weighted assets (RWAs). Consequently, they can more readily expand their lending and invest in new activities, further strengthening their competitive advantage.

In light of improved financial profitability, the average price-to-book ratio (P/B) of major European banks has recovered and, for the first time since 2010, exceeded the 1 threshold in 2025, suggesting that expected returns now cover the cost of capital required by investors (*see Chart 2*). However, US banks continue to benefit from more favourable valuations. These enable them to finance their acquisitions through share issuances or exchanges, including within the new technology sector. European banks, on the other hand, are more reliant on cash, which is inherently more constrained.

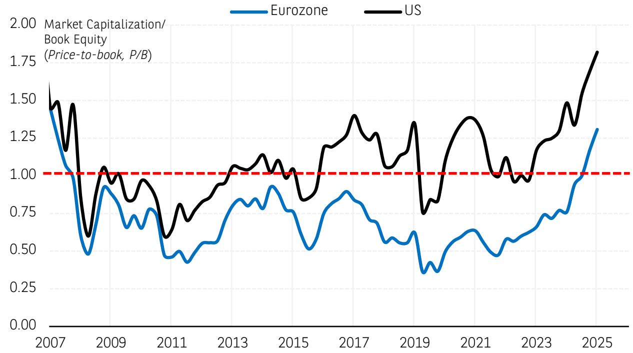
COMPARATIVE PROFITABILITY OF MAJOR EUROPEAN BANKS AND U.S. BANKS*



* Top 10 Banking Groups by Tier One Capital (The Banker Ranking, July 2025). Consolidated Group Data, Shareholders' Equity-Weighted Average.

CHART 1 SOURCE: BNP PARIBAS CALCULATIONS FROM S&P CAPITAL IQ DATA

COMPARATIVE EQUITY VALUATIONS OF MAJOR EUROPEAN AND U.S. BANKS*



*Publicly Listed Entities of the Top 10 Banking Groups by the Tier One Capital (The Banking Ranking, July 2025). Shareholders' Equity-weighted average.

CHART 2 SOURCE: BNP PARIBAS CALCULATIONS FROM DATASTREAM

1 The European Commission estimates that the additional funding required for the energy and digital transitions alone will amount to EUR 600 billion per year until 2030, representing a 74% increase compared with the EUR 810 billion allocated annually to these sectors between 2011 and 2020 (see ECB (2024), 'Massive investment needs to meet EU green and digital targets', published as part of 'Financial Integration and Structure in the Euro Area 2024'). Additionally, the initiative to boost defence spending has recently been revised upwards to EUR 1,200 billion per year, see Speech by Prof. Dr Mario Draghi at the Charlemagne Prize ceremony in Aachen, Germany, 14 May 2026. See also Derrien G., Quignon L. (2025), "EU: Rearmament, energy and digital transitions, the scale of the effort", Chart of the week, BNP PARIBAS, 10 April.

In its broadest sense, banking competitiveness refers to the banking system's ability to support economic activities, to operate effectively within an integrated market and contend with its international competitors[2]. Moreover, it is significantly shaped by the prudential environment and the structure of the market.

PRUDENTIAL FRAMEWORK: RECOGNISING THE PROGRESS MADE AND STRIKING THE RIGHT BALANCE

Since the financial crisis, the EU has significantly strengthened its prudential framework: transposition of Basel III, standardisation of internal models (TRIM, EBA guidelines), followed by the adoption of the final Basel III package (CRR3/CRD VI), with the output floor[3] (applicable from 2025) being the most prominent feature. Although European banks are among the best-capitalised and most closely supervised institutions, the gradual incorporation of climate risks could further increase capital requirements in the coming years.

While the objective is commendable, the issue of optimal calibration arises. The BIS's work indicates that, beyond current levels, the gains in financial stability associated with a further increase in capital requirements are modest, whereas the costs in terms of financing capacity remain considerable[4]. Striking the right balance is now crucial to maintain the soundness of the European banking system without hampering potential growth or the sector's ability to support the transformation of the economy.

REDUCING FRAGMENTATION AND SIMPLIFYING THE FRAMEWORK: STRATEGIES TO BOOST COMPETITIVENESS

European banking competitiveness continues to be hampered by the incomplete status of the Banking Union. While the European Deposit Insurance Scheme (EDIS) faces political hurdles, the real missing link is a European liquidity framework for resolution — an essential tool for effectively managing banking challenges. This gap must not lead to inaction: alternative strategies are available to reduce fragmentation and facilitate the flow of capital.

The absence of a genuinely integrated market limits economies of scale, increases the cost of funding, hinders cross-border consolidation and restricts the optimal flow of capital and liquidity within European banking groups. This fragmentation results in differences in financing conditions between countries and, in times of stress, can accentuate discrepancies in the transmission of monetary policy. Ultimately, it impacts the cost of corporate financing and, by extension, affects investment and productivity. The Draghi and Letta reports have highlighted the importance of a more integrated internal market and a financial sector that can effectively support European investment.

Greater integration of capital markets would also allow for increased risk-sharing between countries, thereby improving the ability to absorb asymmetric shocks and bolster financial stability.

The resurgence of securitisation, launched in 2025, is a key driver of this. By enabling banks to transfer part of the credit risk to the markets, more effective securitisation would free up equity capital and increase their capacity to finance new loans. While the intention to simplify due diligence requirements for investors is welcome, the proposed introduction of disproportionate financial penalties risks limiting its scope.

The second constraint that could be eased slightly relates to the complexity of the regulatory framework. The aim is not so much to relax it as to make it more consistent: reducing national options, improving coordination of macroprudential buffers, and providing greater clarity. A more predictable framework would reduce regulatory uncertainty and the implicit market demand for capital that exceeds prudential requirements.

STRENGTHENING THE POSITION OF EUROPEAN BANKS IN INVESTMENT BANKING

The financing of the European economy will increasingly depend on banking intermediation rather than capital markets. However, greater integration of the latter — central to the savings and investments union initiative — would boost the availability of finance by improving the allocation of savings within the EU.

In this regard, it is crucial to uphold the competitiveness of the market activities of major European banks. However, data from the European Banking Authority show a decline in their market share across various segments of investment and market banking. Consequently, institutions from non-EU countries represent the majority of commissions on commodities (65% in 2024) and nearly half in fiduciary transactions (48%). Their influence is also notable in services to collective investment undertakings (30%), corporate finance (29%), securities custody (24%) and foreign exchange transactions (19%). In certain fund-related services, over half of the assets are now managed by three groups whose parent companies are based in the US.

The rise of banking groups headquartered outside the EU illustrates, if proof were needed, the fierce international competition that major European banks face on their own turf. By postponing, in June 2025, the implementation of the FRTB to 1st January 2027, the European Commission has, however, taken care not to introduce a competitive disadvantage, as this overhaul of capital requirements relating to the trading book is not yet enforced by either the United States or the United Kingdom.

CONCLUSION: STRENGTHENING BANKING COMPETITIVENESS FOR EUROPEAN SOVEREIGNTY

Completing the Banking Union, advancing capital market integration, and ensuring a balanced prudential framework: this is the EU's strategy for creating a resilient and competitive banking system, capable of sustainably financing the growing needs of the European economy while safeguarding its sovereignty. In an economy where financing relies heavily on banks, maintaining the banking sector's competitiveness is vital to ensure sufficient profitability, support the investments needed for the green, digital and industrial transitions, and strengthen the European Union's ability to influence international economic dynamics.

Laurent Quignon
laurent.quignon@bnpparibas.com

2 European Commission, Targeted consultation on the competitiveness of the EU banking sector, 11 February 2026.

3 The output floor serves as a regulatory minimum, requiring that a bank's total risk-weighted assets (RWA) – whether derived from internal models or the standardised approach – must not fall below a specific percentage (50% in 2025 and increasing to 72.5% by 2030) of the RWA calculated using the standardised approach alone. See Humblot T. (2026), 'Credit in the Eurozone: towards a tightening of lending criteria targeted at households but limited in scope', Chart of the Week, BNP PARIBAS, 25 February.

4 See Quignon L. (2016), "The diminishing returns of prudential regulation", Revue Banque No. 795.

Find out more in our scenario and forecasts

ADVANCED ECONOMIES

UNITED STATES

Inflation rises while growth disappoints. In April, PCE inflation reached 3.8% y/y (+0.9pp since February), primarily due to rising fuel prices (+29% y/y). Core PCE inflation, which is the preferred measure of the FOMC, stands at +3.3% y/y (+0.3pp since February), with significant increases for digital products, transportation services and financial services. According to the Dallas Fed's Trimmed Mean PCE measure, which is favoured by Kevin Warsh, inflation stands at 2.35% y/y. Several FOMC members have expressed views ranging from a wait-and-see approach to being "ready to tighten". Underlying orders for durable goods, excluding transportation, were strong in April (+1.1% m/m, +0.6pp compared to March), driven by defence and civil aeronautics. Conversely, consumer spending is slowing down (+0.5% m/m, -0.5pp). Q1 2026 growth has been revised downwards (+1.6% AR *vs* +2.0% previously) due to an adjustment on inventory changes. *Coming up: ISM manufacturing (Monday) and non-manufacturing (Wednesday), JOLTS & Beige Book (Wednesday), employment survey (Friday).*

EUROPEAN UNION

A step forward on capital markets and a firmer stance towards China. The six largest economies have agreed on a plan for centralised oversight of capital markets, which Germany no longer opposes. Furthermore, five countries (France, Spain, Netherlands, Italy, Lithuania) have called for an increased use of tariffs and safeguard measures against Chinese exports. The Commission's proposals are set to be discussed at the G7 in Evian, then endorsed by the EU heads of state on 18 June.

EUROZONE

The likelihood of a rate hike as early as June is growing, with the business climate showing signs of stabilisation. Inflation has risen in three out of the four main economies in the area. This adds to the hawkish stance reflected in the minutes of the ECB's April meeting and the remarks made by ECB Executive Board members advocating for monetary tightening during the meeting scheduled for 11 June. The economic sentiment indicator (ESI) of the Commission (+0.3 m/m in May) has improved in industry and services, as well as consumer confidence, but continues to be adversely affected in the retail trade and construction sectors. New vehicle registrations continued to rise in April (+4.8 % y/y). In the first four months of the year, two-thirds of new registrations were for electric or hybrid vehicles. *Coming up: inflation (Tuesday), producer prices (Wednesday), retail sales and PMI (Thursday), Q1 GDP and employment (Friday).*

France: Inflation is spreading, consumer confidence is declining, while the housing market is improving. Q1 growth was revised to -0.1% q/q (previously reported at 0%), impacted by extraordinary factors such as low aeronautical deliveries prior to a significant increase in April and a temporary decline in construction activity, which has since recovered. Meanwhile, salaried employment remained stable. Inflation rose in May to 2.8% y/y (2.5% in April), mainly due to a 15% increase in gas prices. Production prices in industry rose by 2% year-on-year in April (0.2% in March). This inflation is spreading to intermediate goods (+2.9% y/y) in addition to refined products (+67% y/y), although it remains minimal in other areas. The household confidence index fell to 82 in May (-2 m/m; -9 in three months), but expectations regarding financial wealth and prices are stabilising. The opportunity to make significant purchases is diminishing (-5 m/m to -40), but there is a rebound in real estate and home improvement purchases intentions (9.5% and 24% of respondents, respectively, reflecting increases of +2pp and 1.5pp. This follows a Q1 that saw real estate transactions in the secondary market stabilise, as did prices (0.2% q/q and 0.1% y/y). *Coming up: Vehicle registrations (Tuesday); industrial production and foreign trade (Friday).*

Italy: Q1 growth revised upwards and inflation goes higher. GDP growth reached 0.3% q/q in Q1 (+0.1pp), driven by foreign trade, private consumption and investment. Inflation increased in May (3.3% y/y; +0.5pp m/m), driven by energy, transport and leisure. In April, production prices rose by 6.8% y/y, driven up by energy prices (+22.8%) and prices in the chemistry and metallurgy sectors. The ESI index remained stable in May (+0.1pt), bolstered by household confidence (+2.5 m/m), but adversely affected by services (-1.5 m/m). *Coming up: Composite PMI (Wednesday), retail sales (Friday).*

Germany: Inflation slowed in May (+2.7% y/y *vs* +2.9% in April) thanks to lower energy taxes. The unemployment rate remained stable at 3.8% according to Destatis (ILO definition, internationally comparable), while it fell slightly to 6.3% according to the national definition. *Coming up: Vehicle registrations (Thursday).*

Spain: Inflation is on the rise. Inflation (+3.6% y/y in May; +0.1pp m/m) was pushed up by transport and leisure, and down by clothing. Core inflation remains stable at +2.9%. In April, production prices rose by 8.3% y/y, with a notable increase in energy costs (+22.3%), which also impacted intermediate goods (3.8% y/y) and durable goods (2.9% y/y). *Coming up: Composite PMI (Wednesday).*

JAPAN

Improvement in economic indicators in April. The unemployment rate fell to 2.5% (-0.2 pp) in April, bolstered by employment (+610,000). The participation rate has reached its highest level in nearly thirty years (64.4%). Industrial production rose by 0.8% m/m (+2.3% y/y), while retail sales increased by 1.3% (+2.1% y/y), and consumer confidence improved (+1.4 m/m to 33.6). The BoJ Governor (K. Ueda) indicated that second-round effects on inflation are more likely in the current context, which is characterised by "already high" inflation expectations and "accelerating" wages. *Coming up: Wages and household spending (Friday).*

EMERGING ECONOMIES

AFRICA & MIDDLE EAST

South Africa: 25bp hike in the benchmark rate to 7%. The central bank revised its inflation forecast for 2026 upwards to 4.4% (previously 3.7%), and its growth forecasts for 2026 and 2027 downwards (1.2% and 1.7%). Other rate hikes are possible this year, while cuts were expected prior to the onset of the conflict in Iran. Moody's has changed its outlook from "stable" to "positive", and the rand has appreciated against the US dollar since 20 May, recovering almost all losses since the conflict began.

ASIA

Manufacturing PMI in industrialised Asia: Activity remains dynamic: The PMI index in South Korea, Taiwan and Vietnam surpassed the 50 mark and improved in May, driven by a global surge in demand for electronic goods. In China, both the NBS and RatingDog PMIs have seen slight declines but remain in expansion territory (at 50 and 51.8, respectively).

Find out more in our scenario and forecasts

China: A minor initiative to bolster household demand. The government has instructed local authorities to extend public services to all of their residents, even those without a "residence permit" (*Hukou*). This announcement will formalise practices already in place in a large number of cities and is not expected to result in significant changes. However, it can be seen as a measure, albeit modest, that supports the movement of people within China, the establishment of a cohesive national market (a goal outlined in the five-year plan), and the enhancement of private consumption. Furthermore, **Beijing has tightened controls on offshore stock transactions**: to better manage capital outflows, it now prohibits Chinese investors from engaging with foreign markets outside of officially authorised channels.

South Korea: Monetary status quo. The central bank kept its key rate unchanged at 2.5% in May (a rate that has remained on hold for a year). However, it will likely raise its policy rates in the coming months. Economic growth remains robust, driven by the semiconductor sector and the expansion of AI; it is expected to reach 2.6% in 2026 according to the latest forecast from the central bank (up from the previously expected 2%). Inflation, as measured by the CPI index, rose to 2.6% in April.

EMERGING EUROPE

Hungary: Current monetary policy remains on hold, but easing in the short-term is likely. The central bank kept its key rate unchanged at 6.25% on 26 May. However, the governor indicated that a cut in the benchmark rate was a topic of discussion. The appreciation of the forint since the latest elections in April (+6.0% against EUR and 5.4% against USD) provides some leeway. The rise in inflation remains contained so far (+1.6% y/y in February, +2.1% in March, +2.6% in April).

Poland: Inflation was stable in May. Preliminary estimates point to a 3.1% y/y print, after 3.2% in April and 3.0% in March (2.1% in February). The rate of inflation for food and non-alcoholic beverages has decreased, while fuel price inflation continues to rise. The Central Bank's target range is set at 2.5% ± 1%.

LATIN AMERICA

Brazil: Domestic demand driving a cyclical recovery. GDP growth rebounded in Q1 2026 (+1.1% q/q *vs* +0.3% in Q4 2025), driven by agriculture and construction on the supply side, and investment and household consumption on the demand side. The recovery, along with rising inflation and stimulus measures, is hindering the prospects for rapid monetary easing.

Colombia: The State Council upholds the independence of the Central Bank by temporarily lifting the requirement for the presence of the Finance Minister on the monetary policy committee. This alleviates concerns regarding the legitimacy of monetary policy decisions made in the absence of the minister. **In the first round of the presidential election, the far-right candidate Abelardo de la Espriella secured the lead with 43.7% of the votes, followed closely by the left-wing candidate Ivan Cepeda, who garnered 40.9%.** The right-wing candidate Paloma Valencia, with 6.9% of the votes, has urged support for Mr de la Espriella in the second round.

Mexico: GDP contraction in Q1 (-0.6% q/q). The dynamism of exports did not offset the weakness of domestic demand. Industrial production fell by more than 1% y/y in Q1, and retail sales slowed significantly. Despite the anticipated positive impact of the football World Cup on tourism, risks are tilted to the downside. In addition to the conflict in the Middle East, uncertainty over the USMCA review is weighing on investment and exports' outlook, with 83% of exports directed towards the US in 2025.

Following a series of discussions with the United States from 27 to 29 May, the Mexican Minister of Economy described the dialogue as "complex and difficult". The central bank downgraded its growth forecast for 2026 to 1.1% (1.6% in February). It considers the recent rise in inflation as temporary but believes that the cycle of monetary easing cycle is now over.

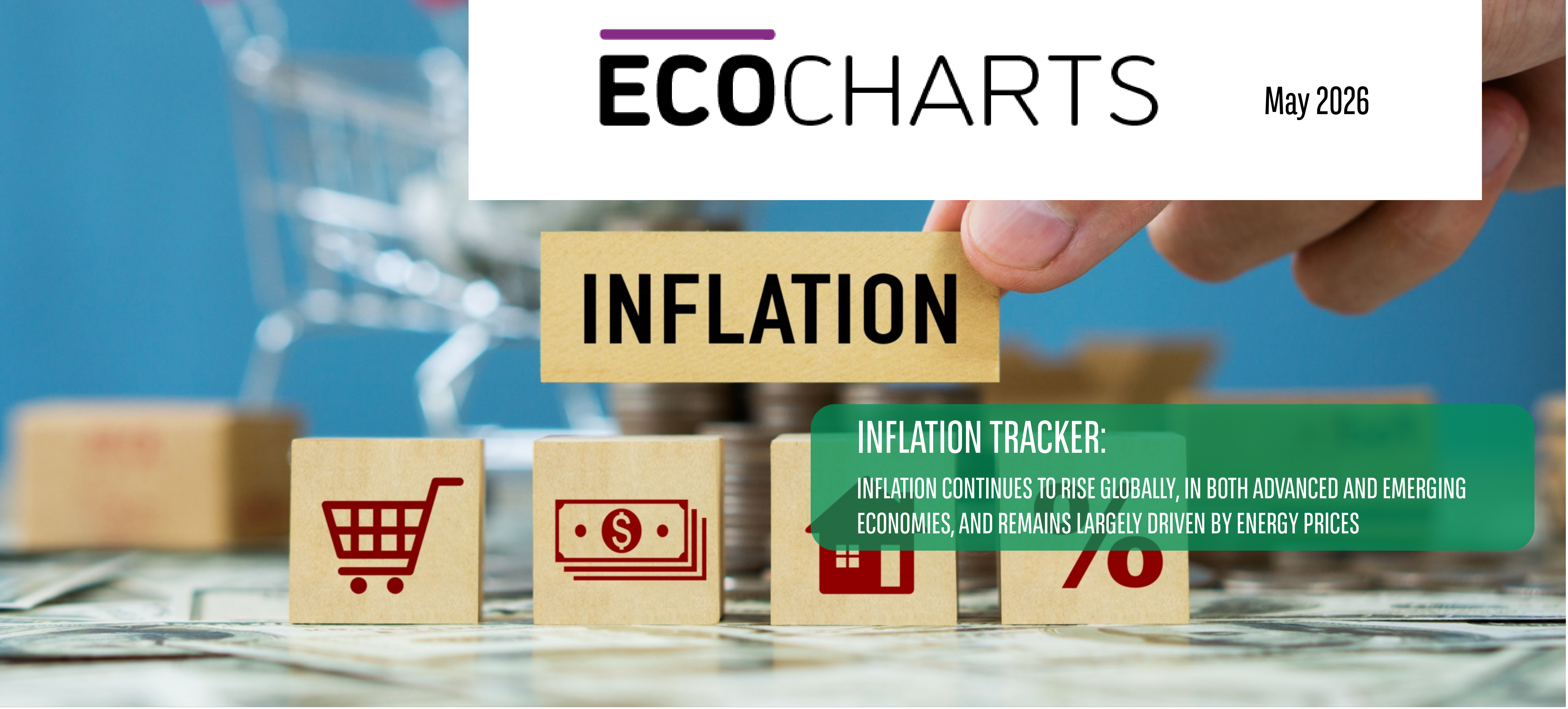
COMMODITIES

A preliminary agreement proposal between the US and Iran led to a decline in oil prices last week: -4.2% for the July 2026 Brent maturity (-15% over May at USD 92/b), -13% for the Dated Brent (-20.5% at USD 93.4/b). According to the draft agreement, Iran would gradually permit the movement of ships in the Strait of Hormuz, remove mines within a 30-day period, and suspend the transit fees applied to ships for a period of 60 days. In return, the United States may consider easing its sanctions, including the release of Iranian assets. However, ongoing insecurity has prevented the resumption of traffic for the time being.

The ability of US oil exports to ease tensions in markets is showing signs of weakening. Crude oil and petroleum product exports fell sharply last week (-4% w/w for crude and petroleum products combined, and -21% w/w specifically for crude). Nevertheless, the rate of reduction in the United States' Strategic Petroleum Reserve remains near its historical peak (recorded in the first half of May), with a decrease of 9.1 million barrels between the weeks of 15 May and 22 May, out of a total stock of 365 million.

ECOCHARTS

May 2026



INFLATION TRACKER:

INFLATION CONTINUES TO RISE GLOBALLY, IN BOTH ADVANCED AND EMERGING ECONOMIES, AND REMAINS LARGELY DRIVEN BY ENERGY PRICES

BNP PARIBAS

The bank for a changing world

Advanced economies

General dynamics of inflation:

Inflation continues to rise in the United States and the euro area, driven by energy prices, whilst temporary factors are causing it to fall slightly in the United Kingdom and Japan.

Inflation and survey data:

Indicators of price pressures continue to rise, with the increase being more pronounced on the input price side than on the output price side.

Inflation expectations (households, forecasters, markets):

Short-term inflation expectations continue to rise, whilst longer-term expectations remain stable.

Inflation-wage dynamics:

There are still no signs of a wage-price spiral taking hold.

Emerging economies:

The inflationary impact of the energy shock is spreading rapidly, though still moderately, across emerging economies.

Commodities:

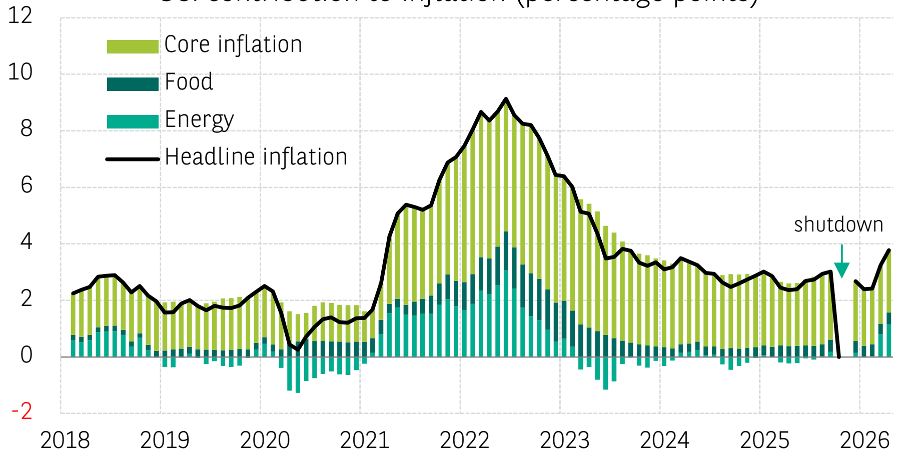
Commodity prices remain high, but are stabilising.

General dynamics of inflation:

Inflation continues to rise in the United States and the euro area, driven by energy prices, whilst temporary factors are causing it to fall slightly in the United Kingdom and Japan.

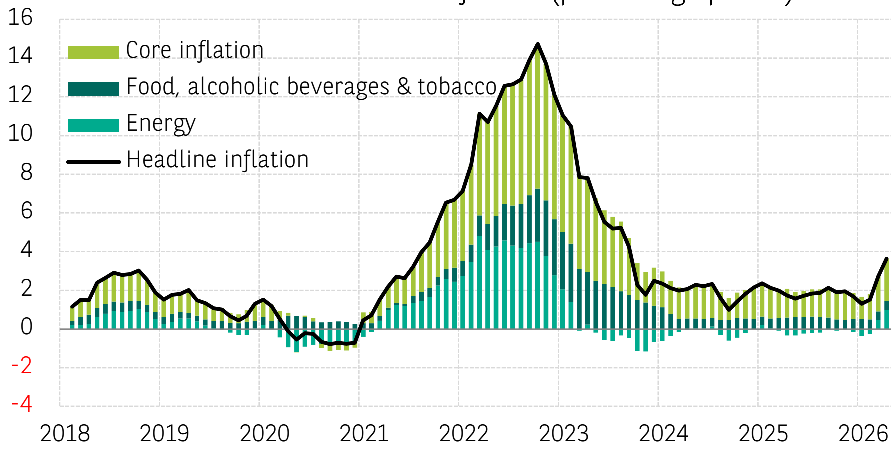
General dynamics of inflation: decomposition of inflation

US: contribution to inflation (percentage points)



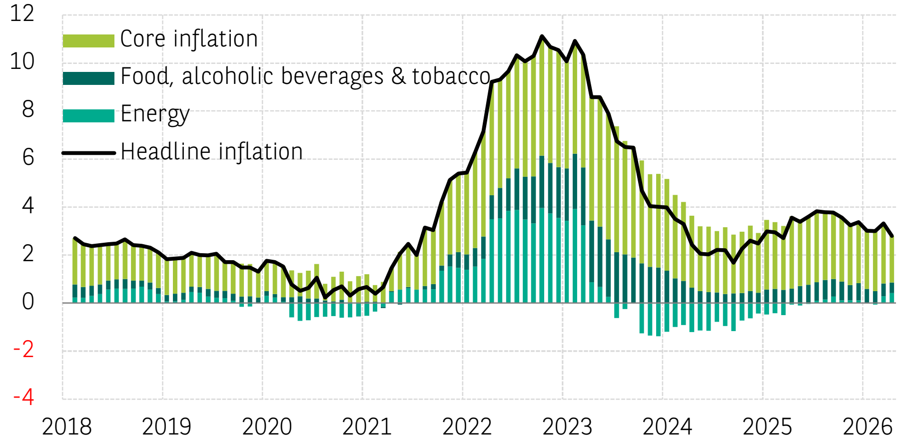
Source: BLS, BNP Paribas calculations

Eurozone: contribution to inflation (percentage points)



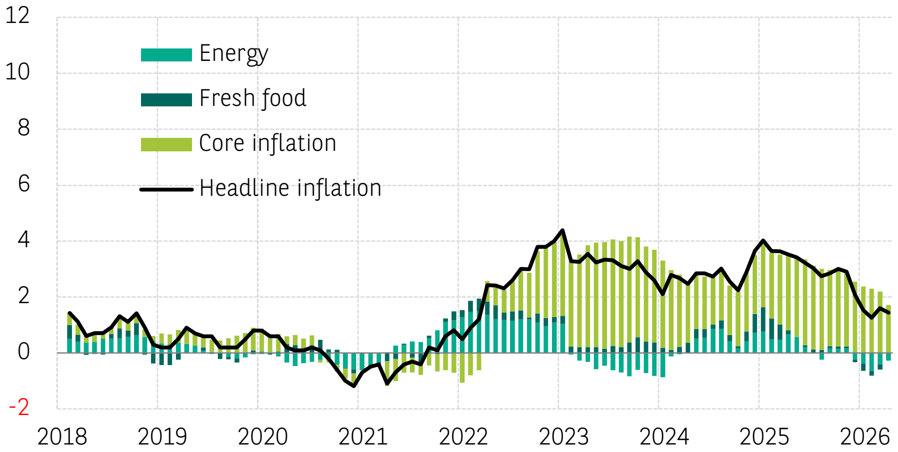
Source: Eurostat, BNP Paribas calculations

United Kingdom: contribution to inflation (percentage points)



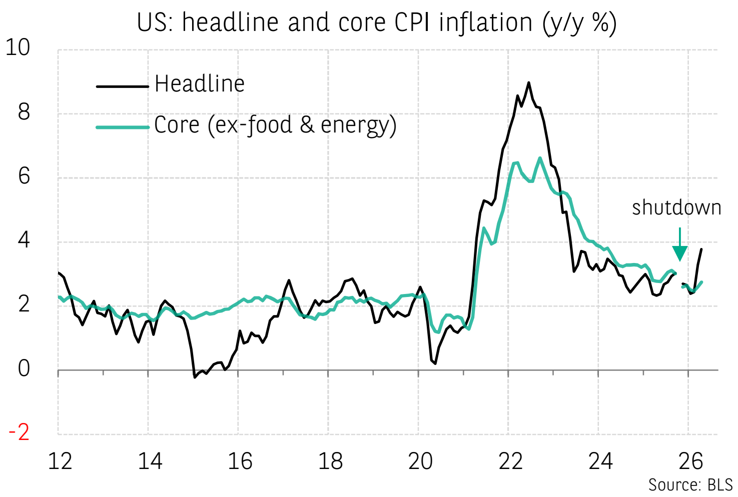
Source: ONS, BNP Paribas calculations

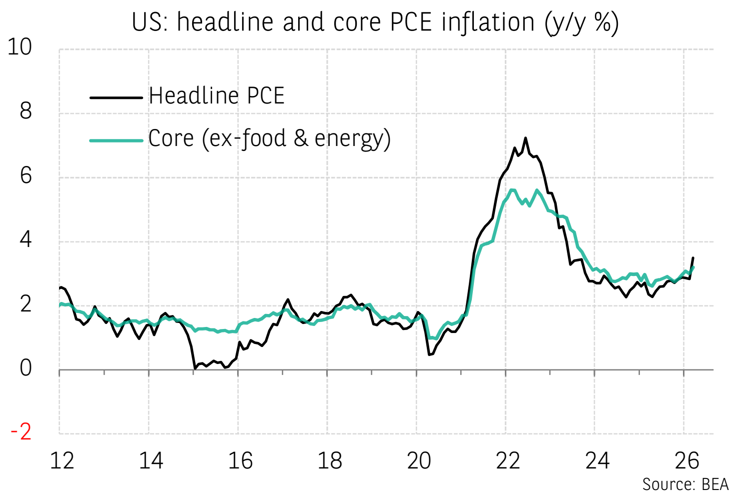
Japan: contribution to inflation (percentage points)

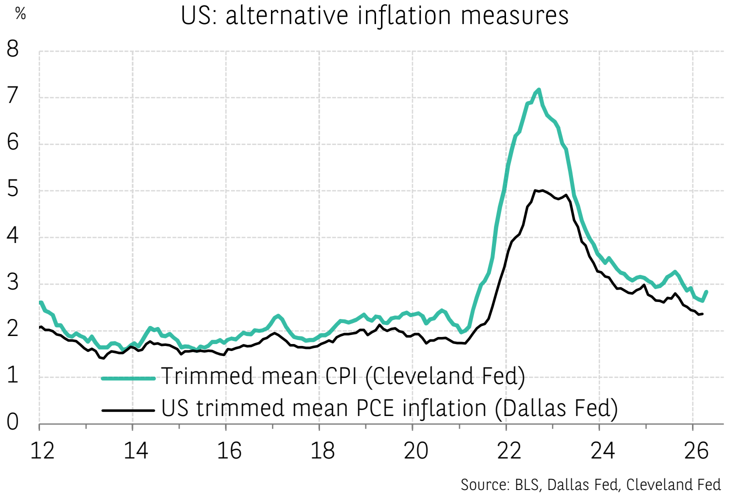


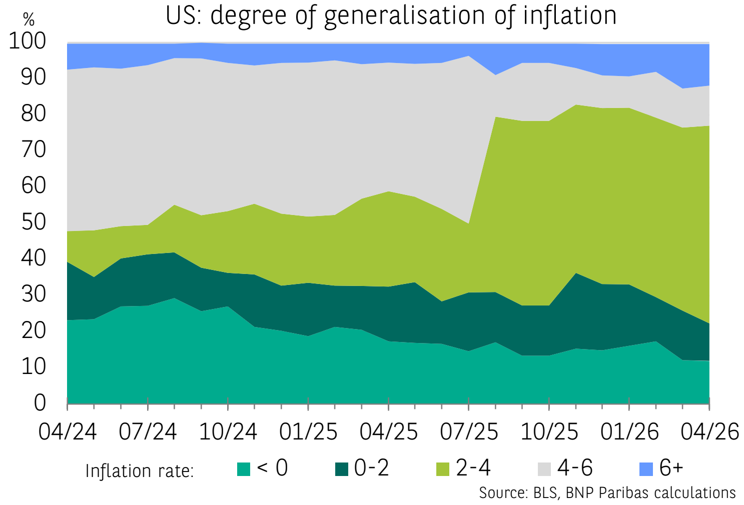
Source: Japan Statistics Bureau, BNP Paribas calculations

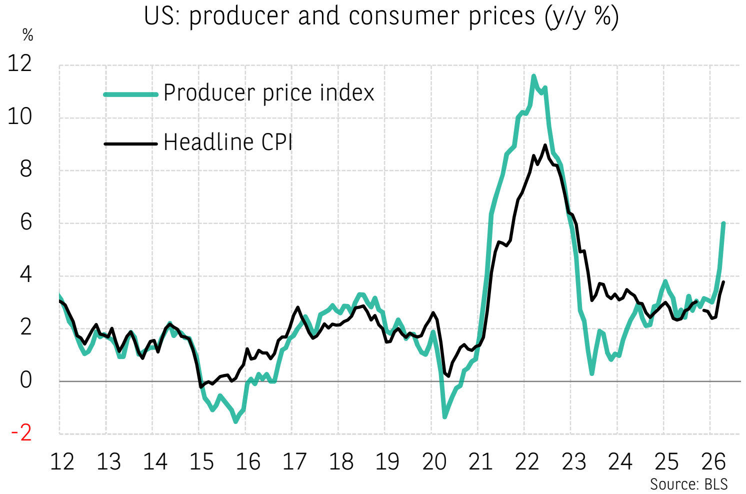
Inflation dynamics in the United States: different metrics and degree of generalisation



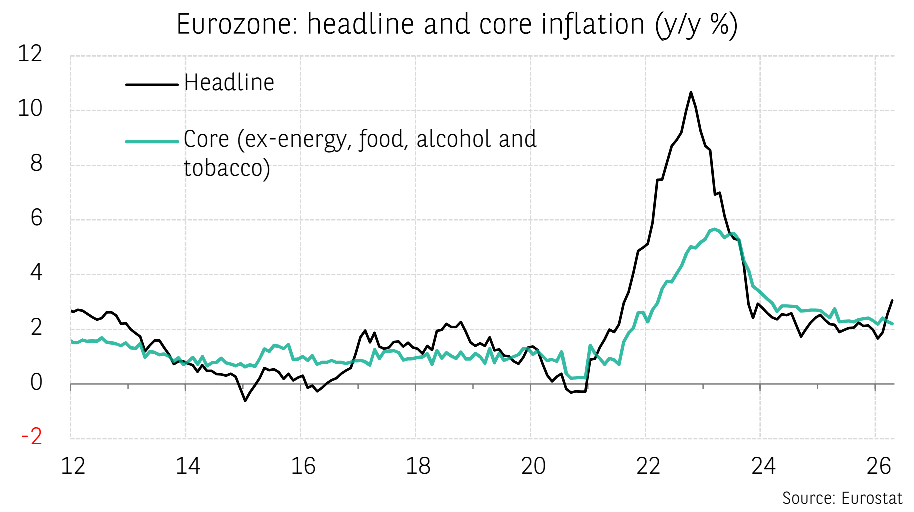


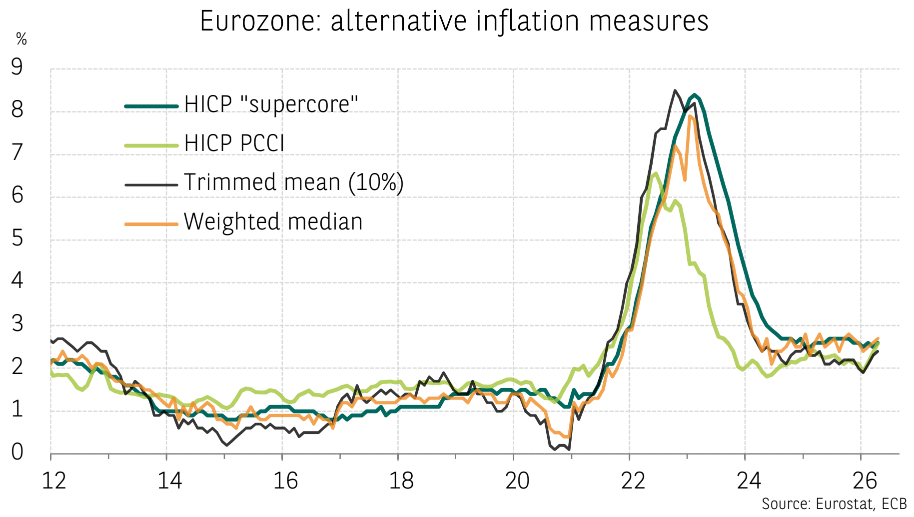


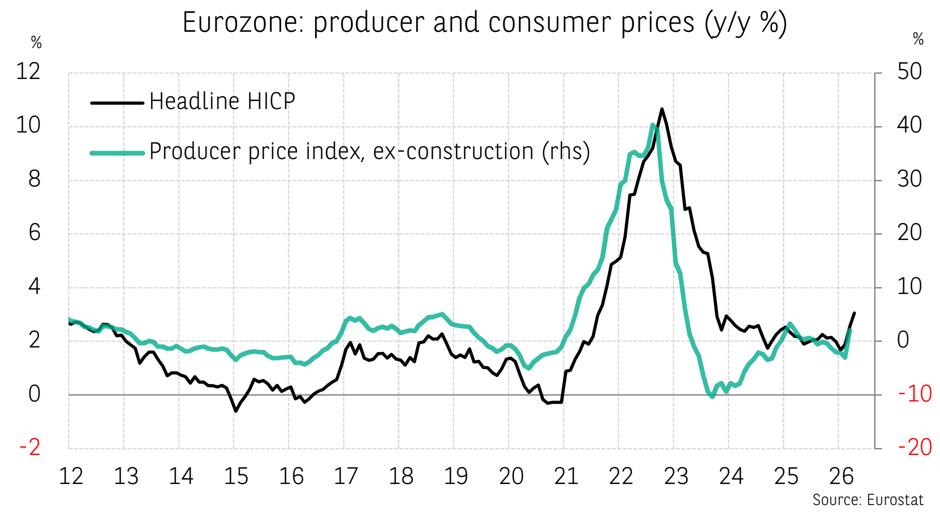


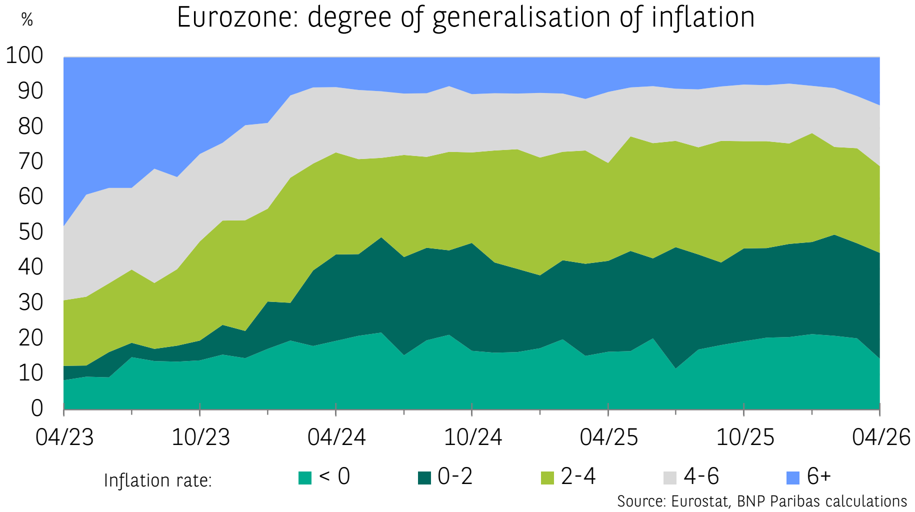


Inflation dynamics in the Eurozone: different metrics and degree of generalisation

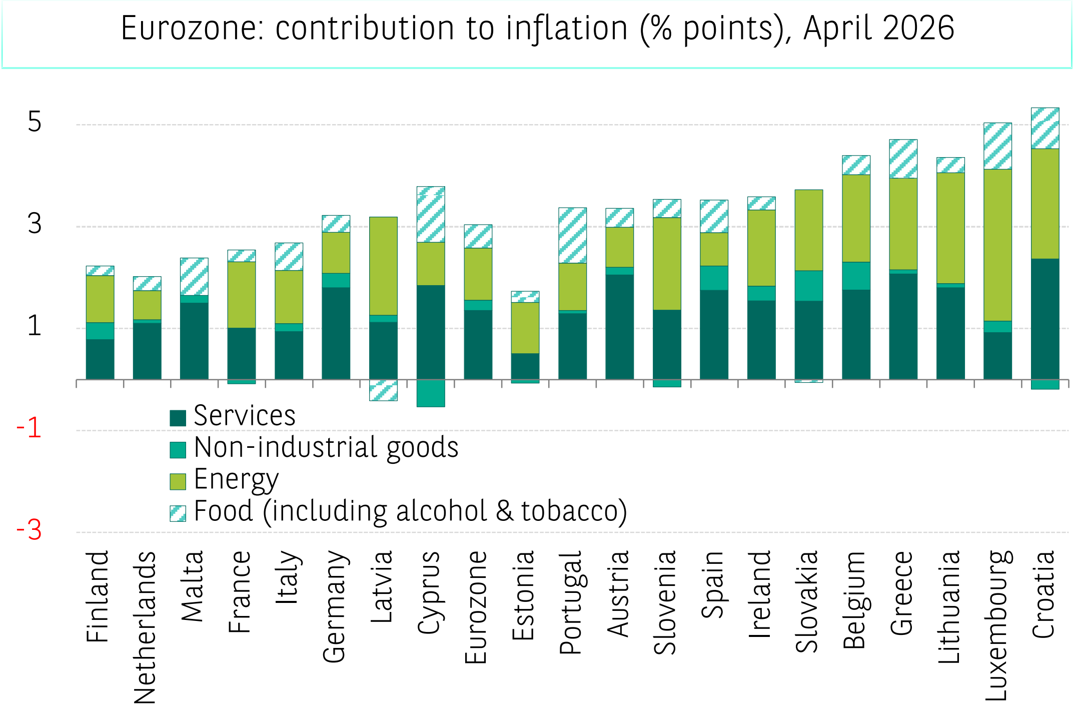




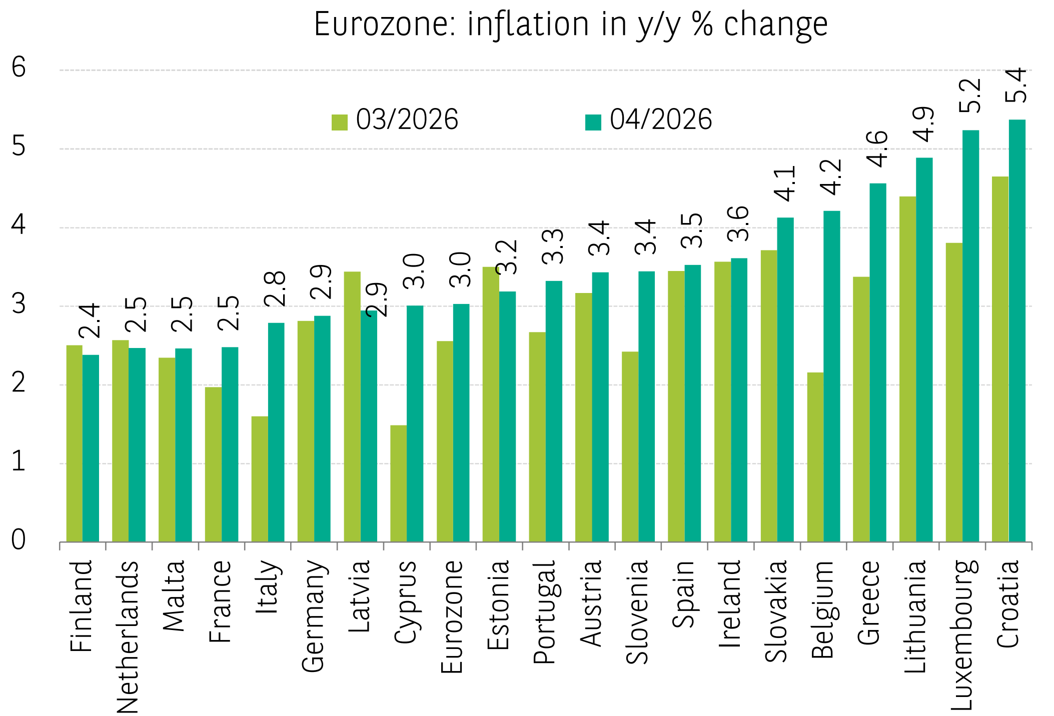




Inflation dynamics in the Eurozone by country (1)

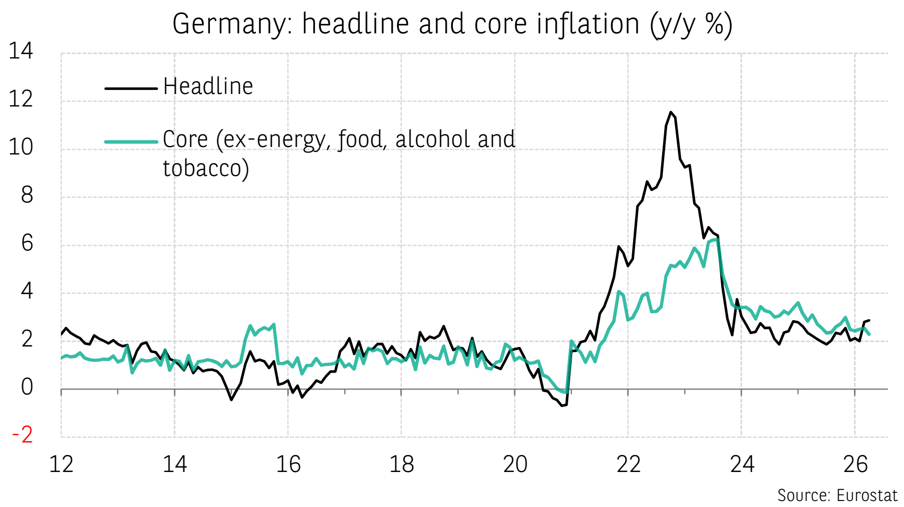


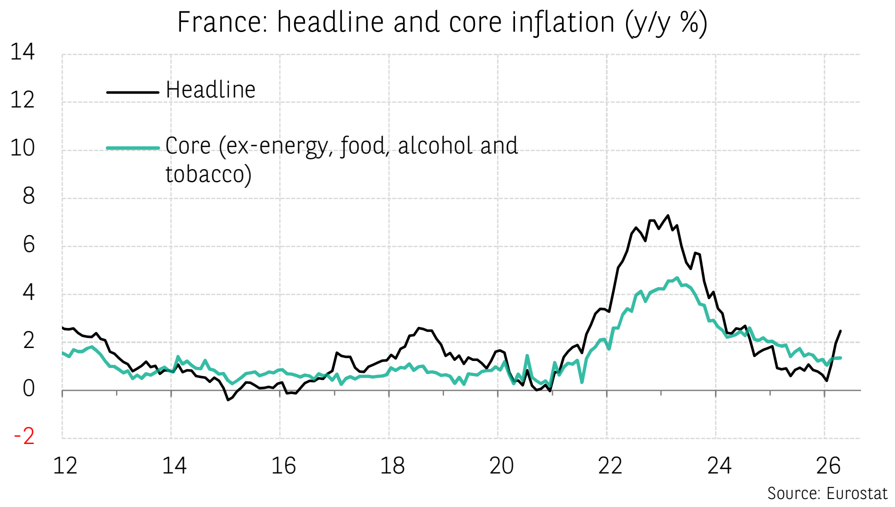
Source: Eurostat

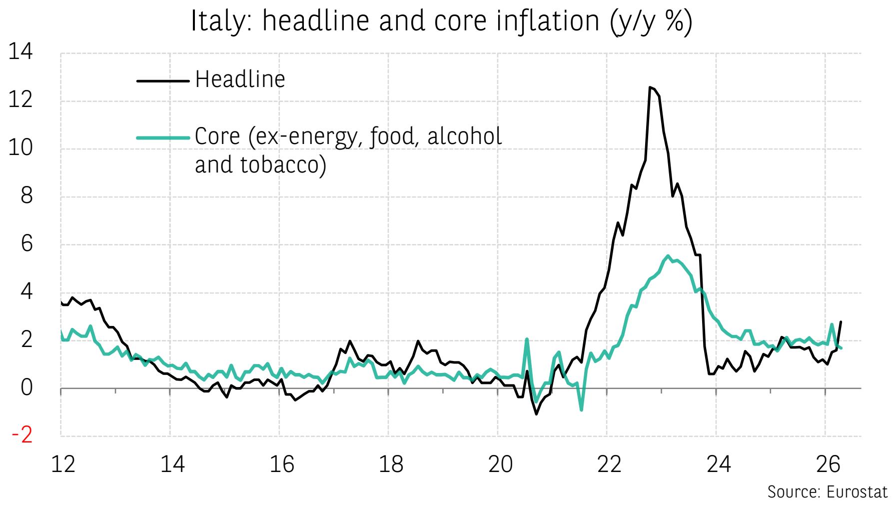


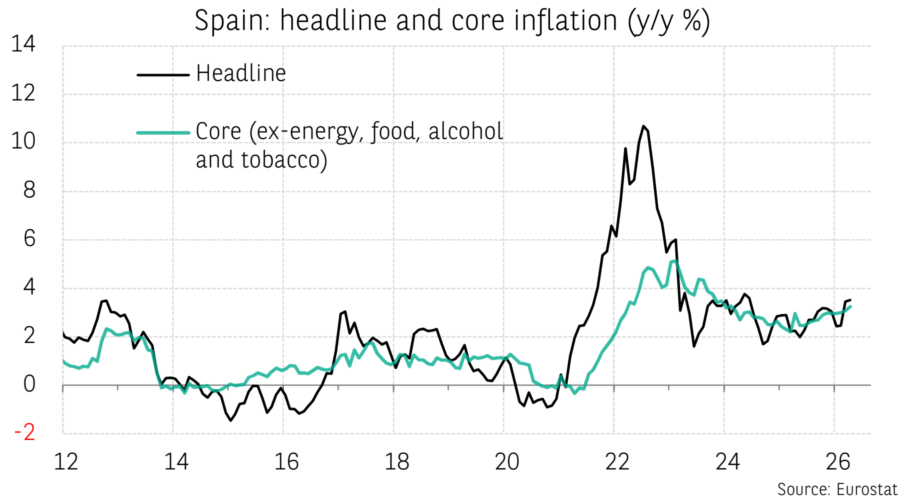
Source: Eurostat

Inflation dynamics in the Eurozone by country (2)

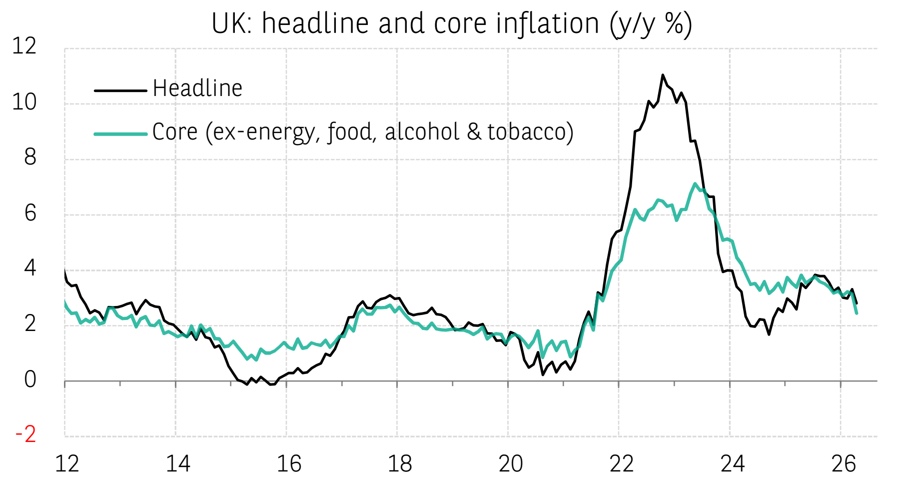




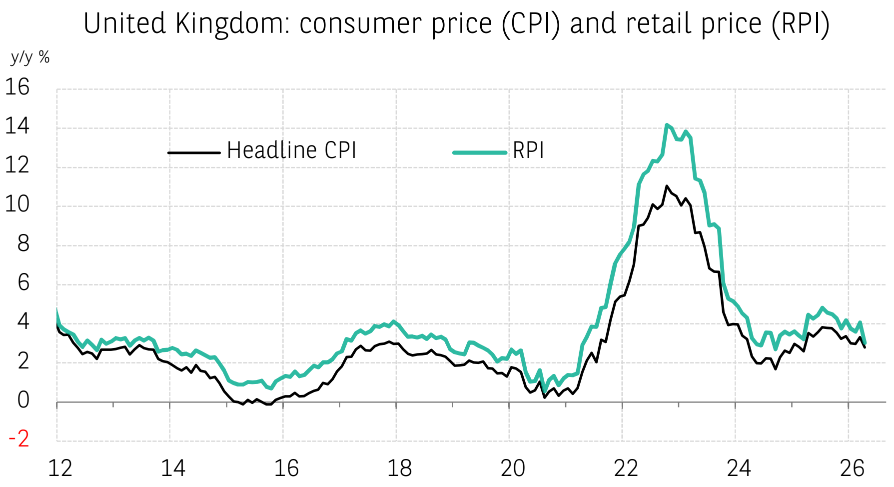




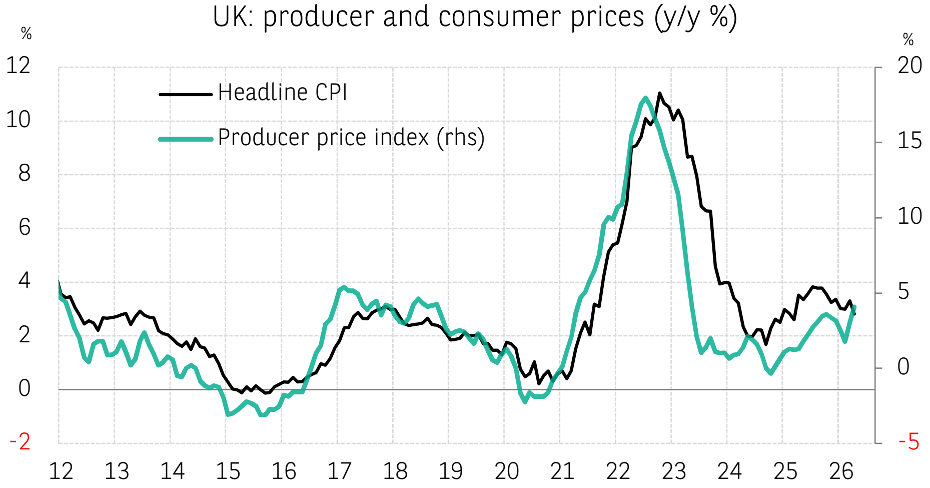
Inflation dynamics in the United Kingdom: different metrics and degree of generalisation



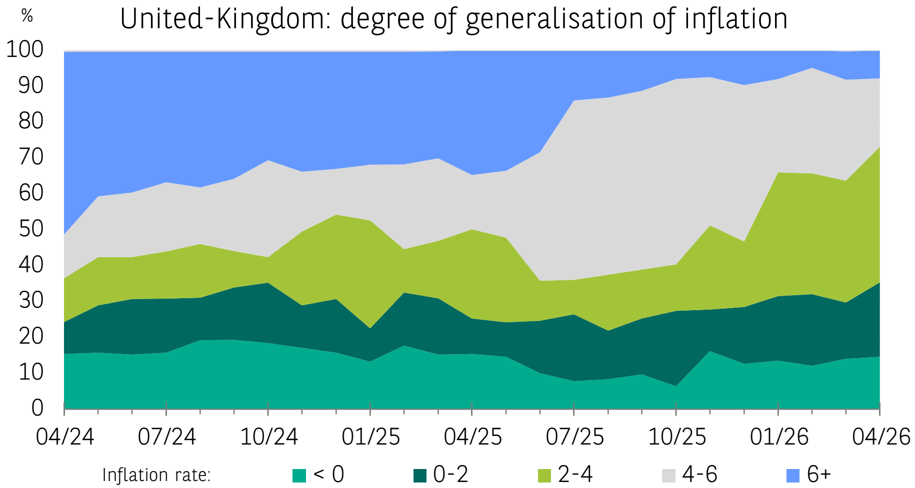
Source: ONS



Source: ONS



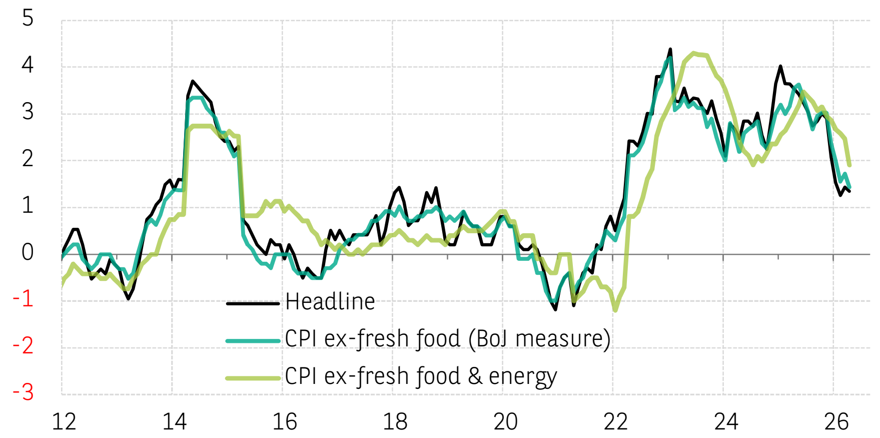
Source: ONS



Source: ONS, BNP Paribas calculations

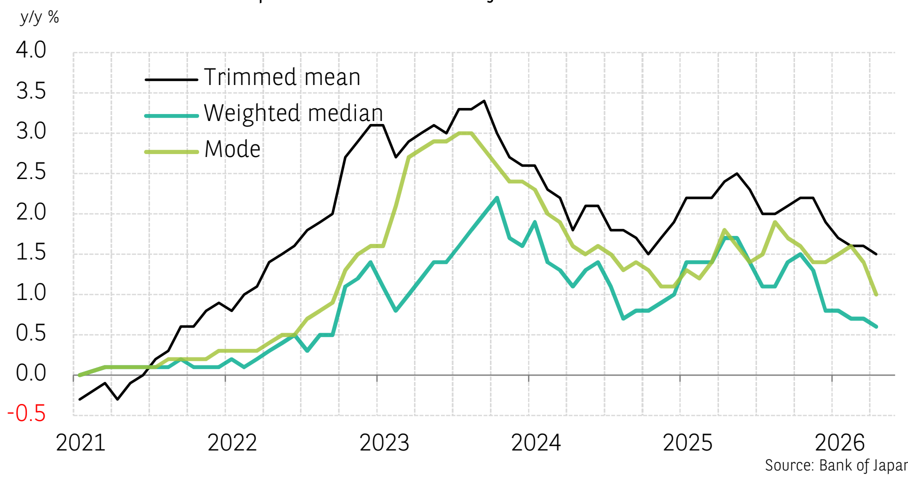
Inflation dynamics in Japan: different metrics and degree of generalisation

Japan: headline and core inflation (y/y %)



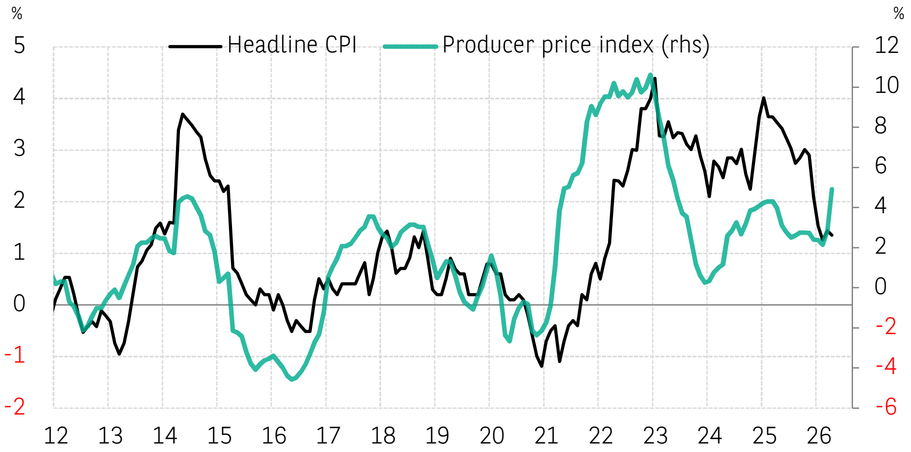
Source: Statistics Bureau of Japan

Japan: alternative inflation measures



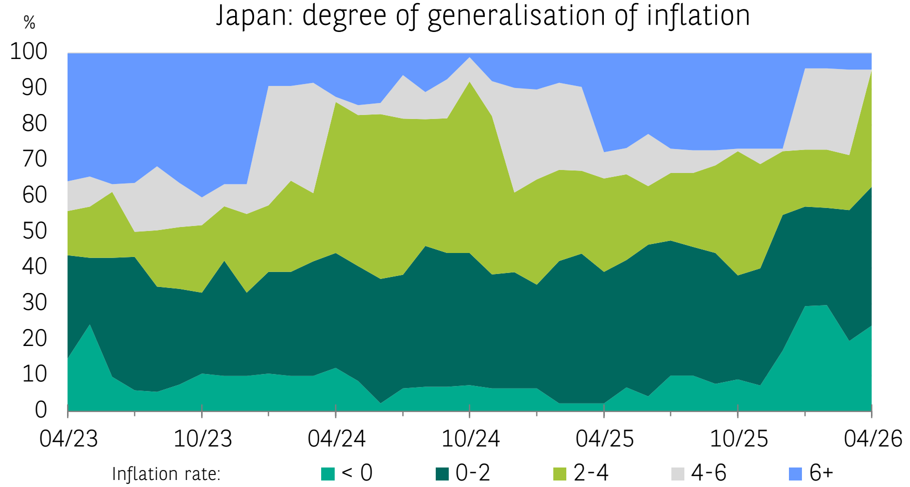
Source: Bank of Japan

Japan: producer and consumer prices (y/y %)



Source: Japan Statistics Bureau, BOJ

Japan: degree of generalisation of inflation

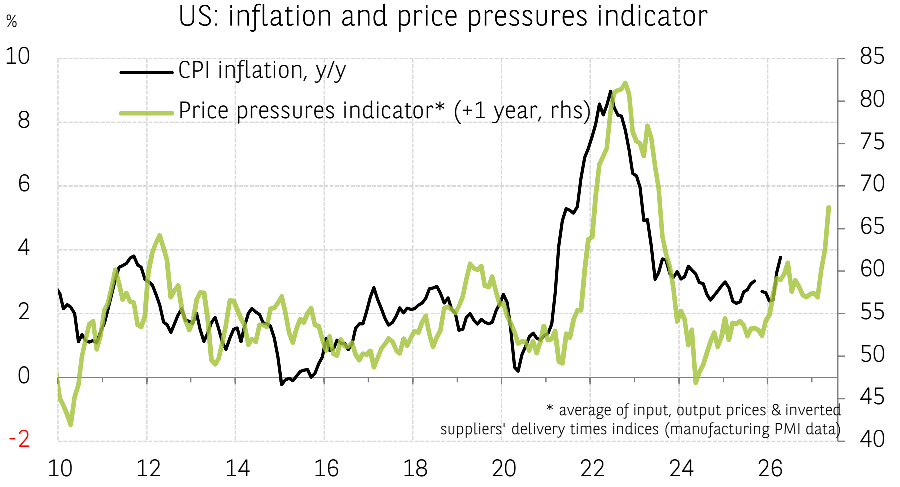


Source: Bureau des Statistiques du Japon, BNP Paribas calculations

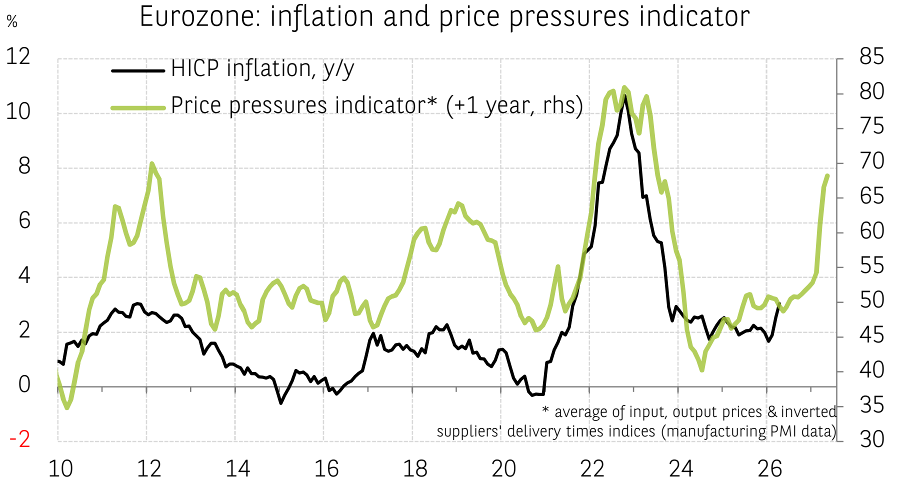
Inflation and survey data:

Indicators of price pressures continue to rise, with the increase being more pronounced on the input price side than on the output price side.

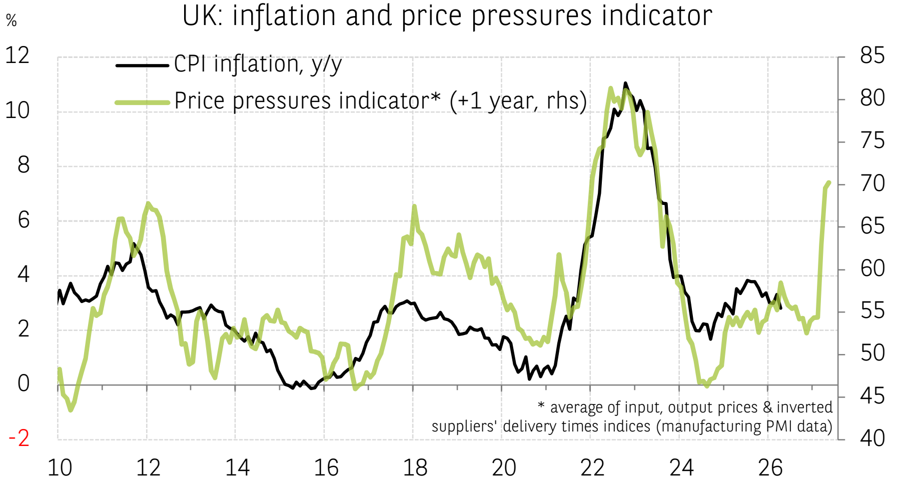
PMI surveys: an indication of inflationary pressures



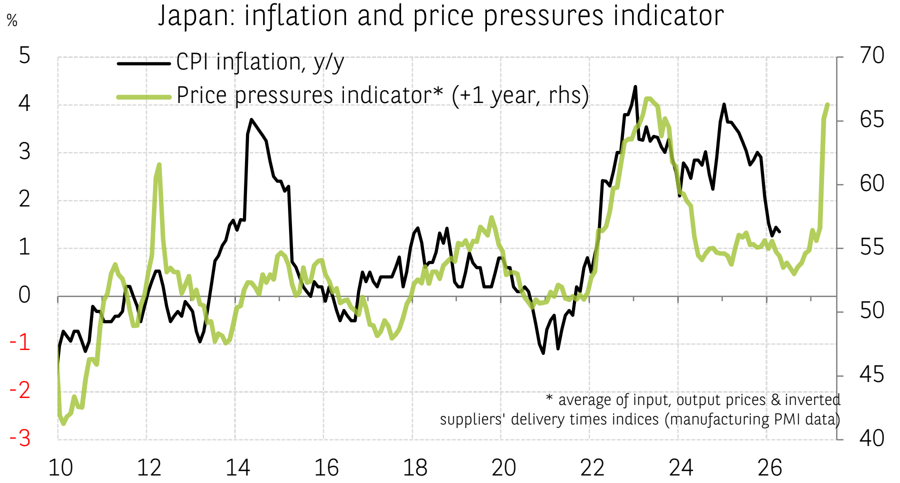
Source: BLS, S&P Global



Source: Eurostat, S&P Global



Source: ONS, S&P Global

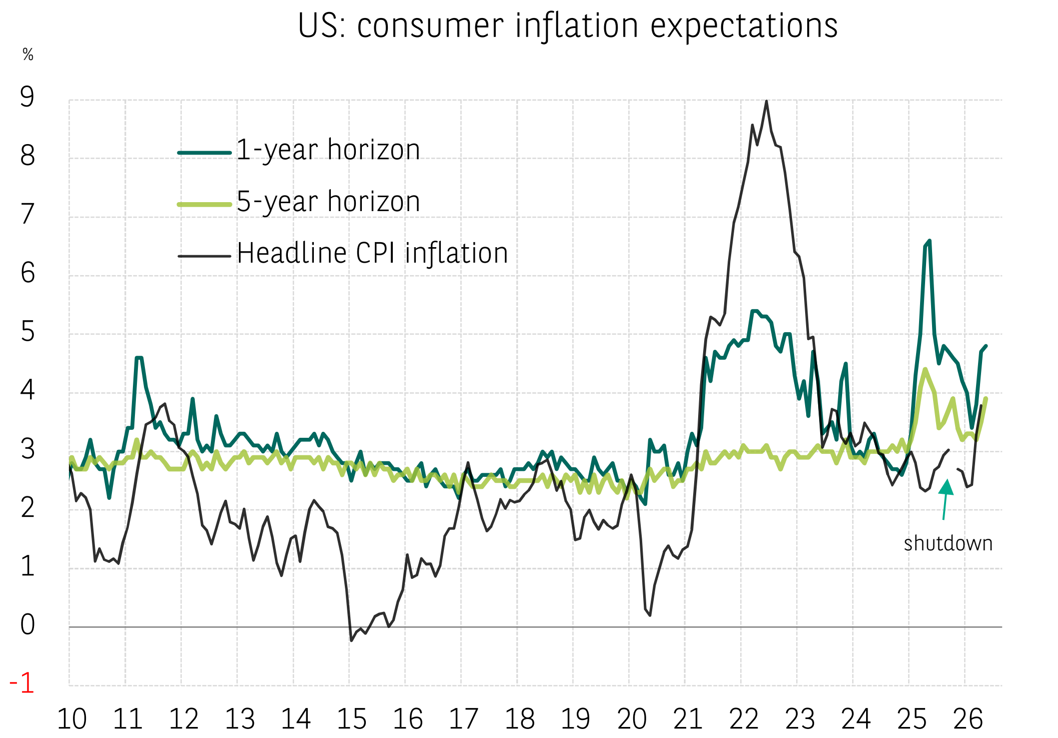


Source: Statistics Bureau of Japan, S&P Global

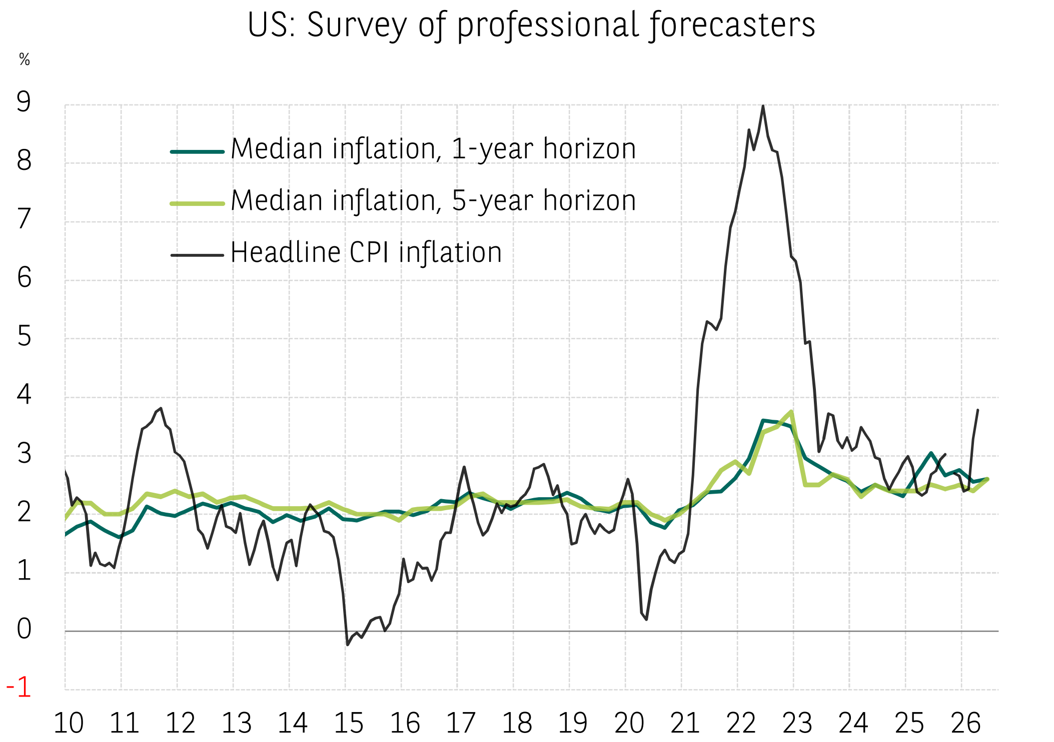
Inflation expectations (households, forecasters, markets):

Short-term inflation expectations continue to rise, whilst longer-term expectations remain stable.

Inflation expectations in the United States



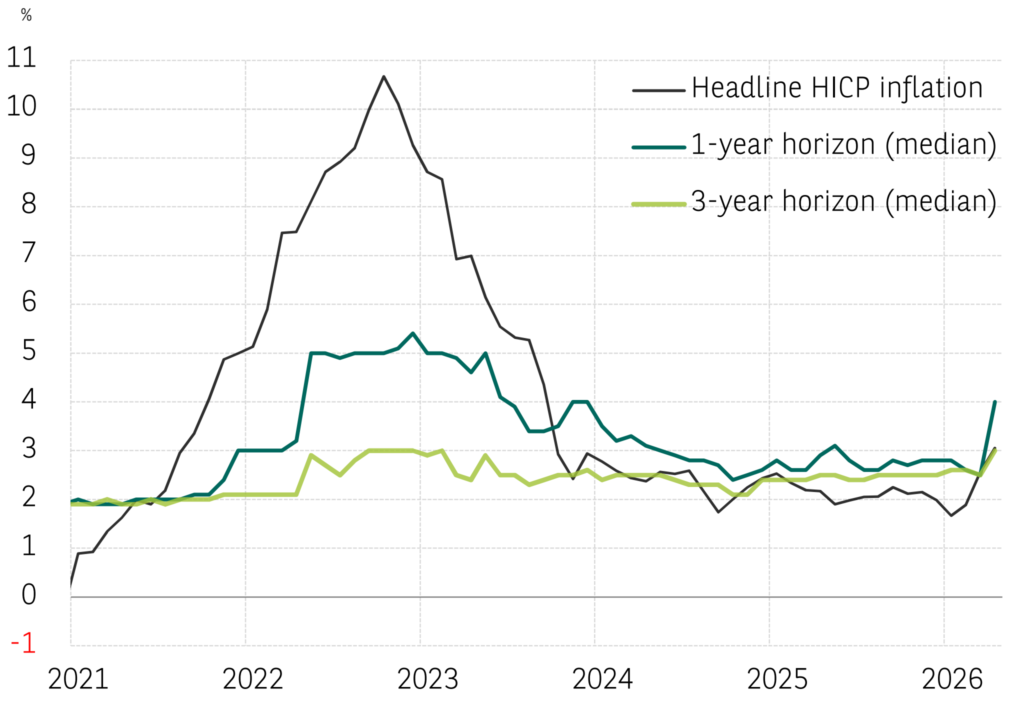
Source: University of Michigan, BLS



Source: Philadelphia Fed (SPF), BLS

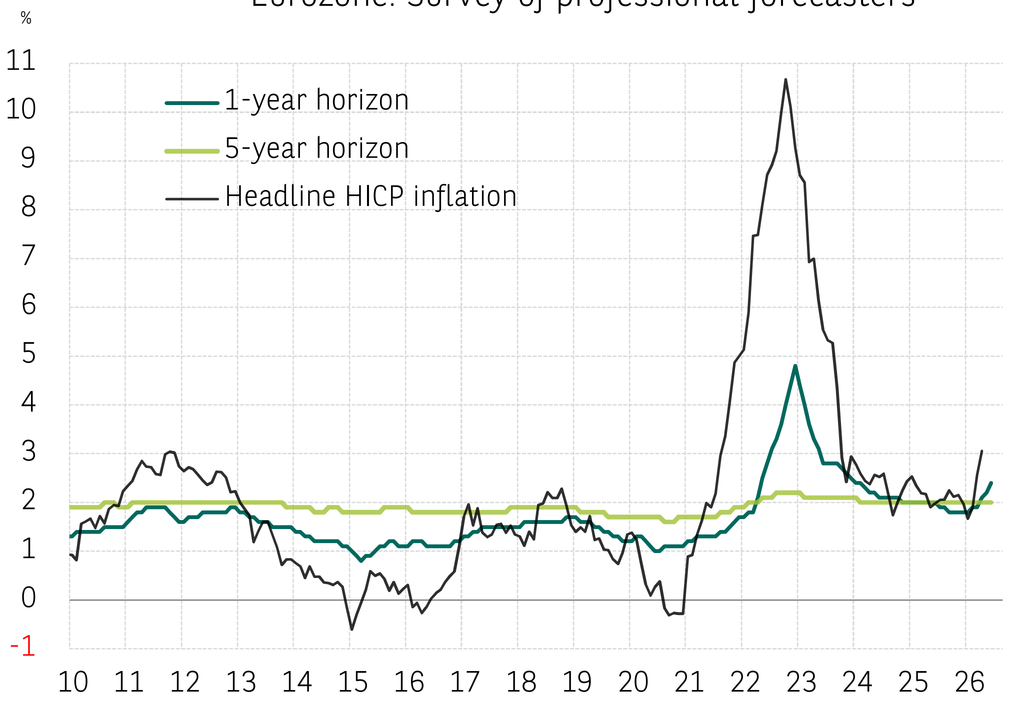
Inflation expectations in the Eurozone

Eurozone: consumer inflation expectations



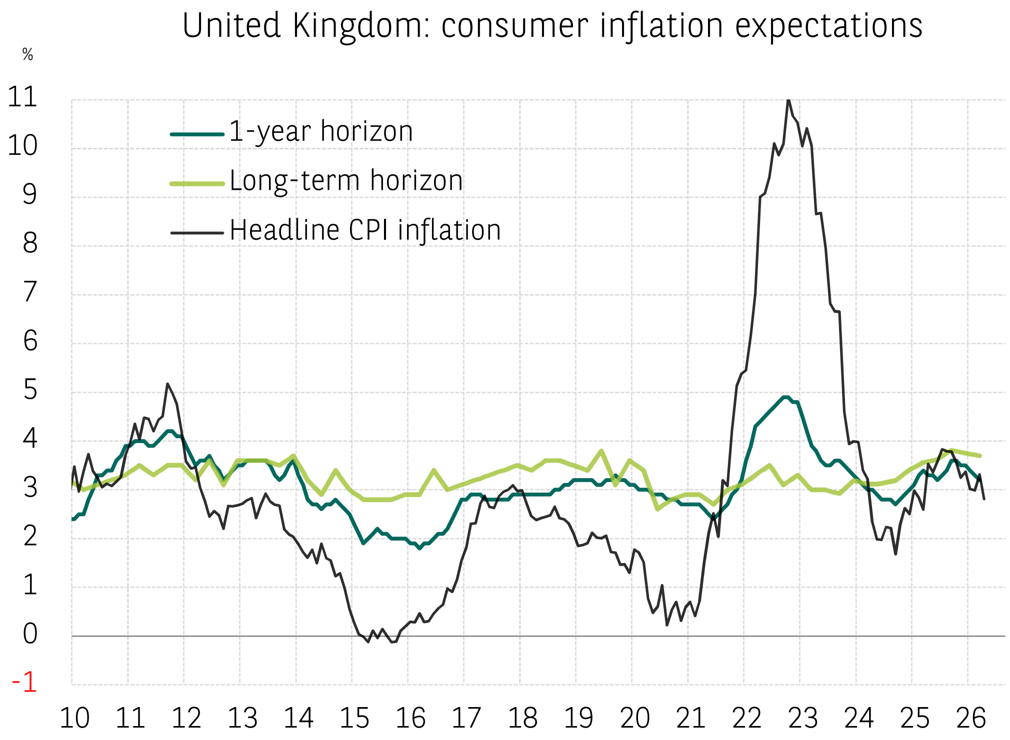
Source: Eurostat, ECB (CES survey)

Eurozone: Survey of professional forecasters

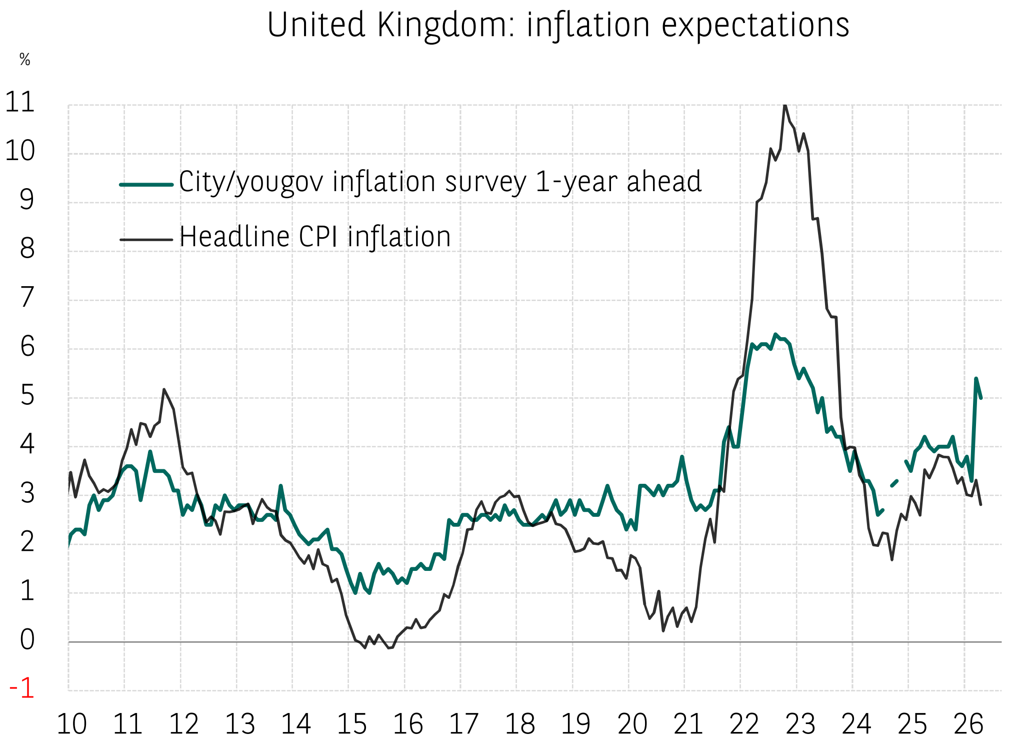


Source: ECB (SPF), Eurostat

Inflation expectations in the United Kingdom

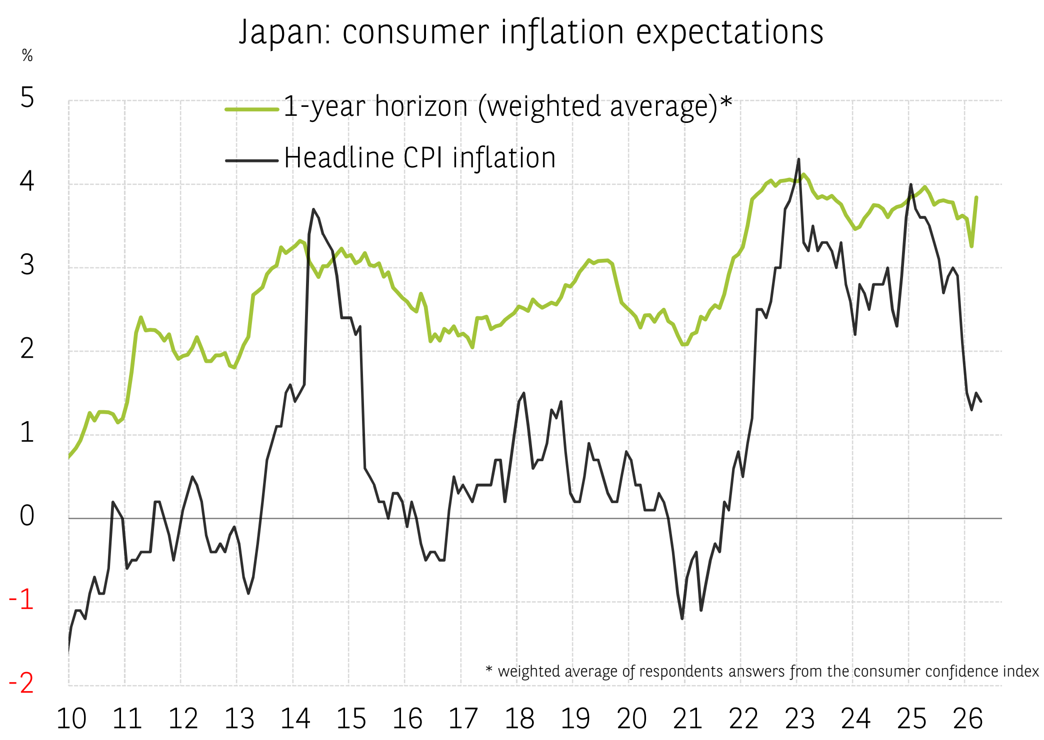


Source: BOE/NOP, ONS

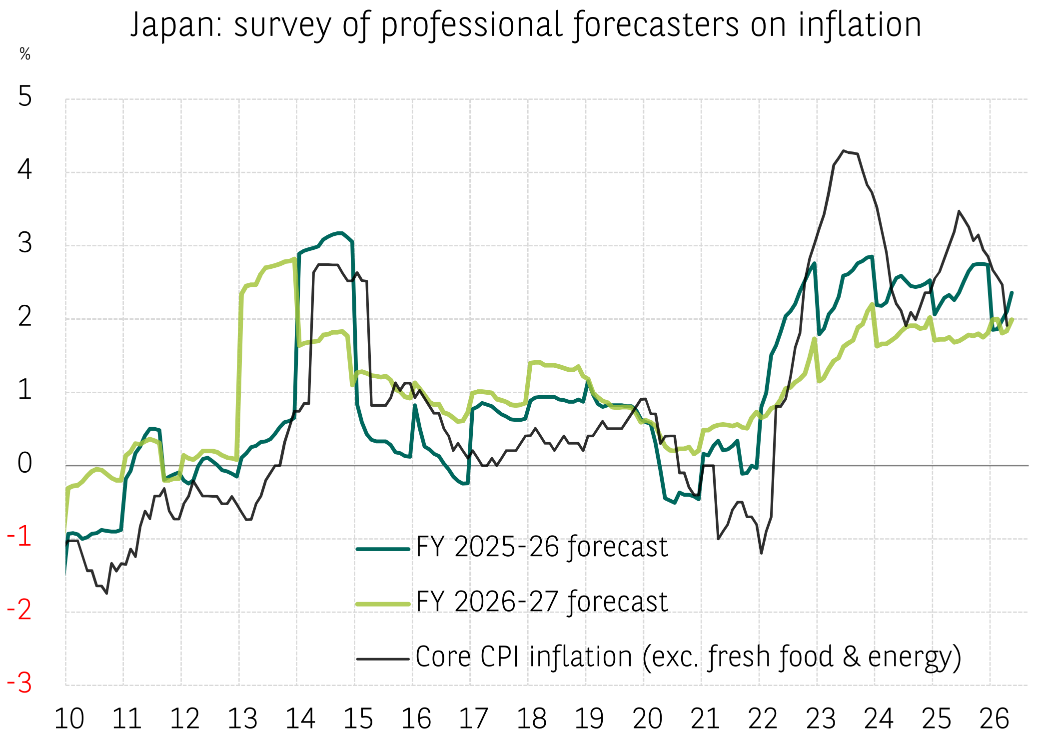


Source: YouGov/Citigroup, ONS

Inflation expectations in Japan



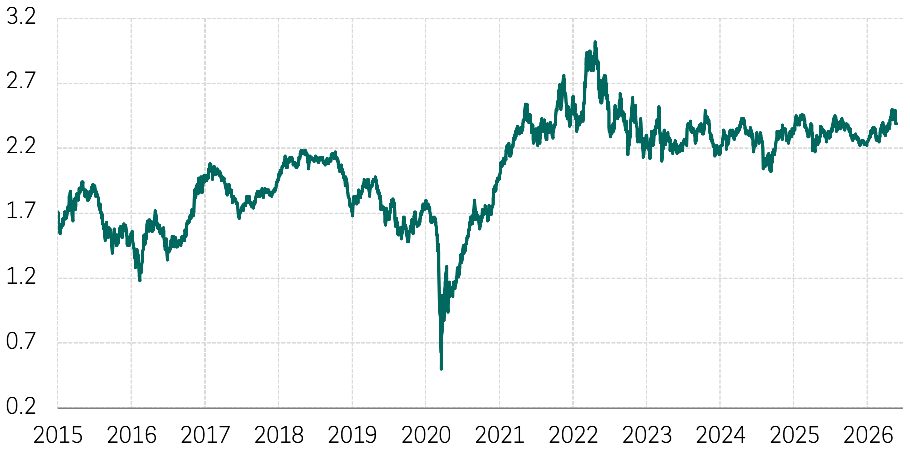
Source: Statistics Bureau of Japan, Cabinet Office



Source: Japan Center of Economic Research, Jaan Bureau of Statistics

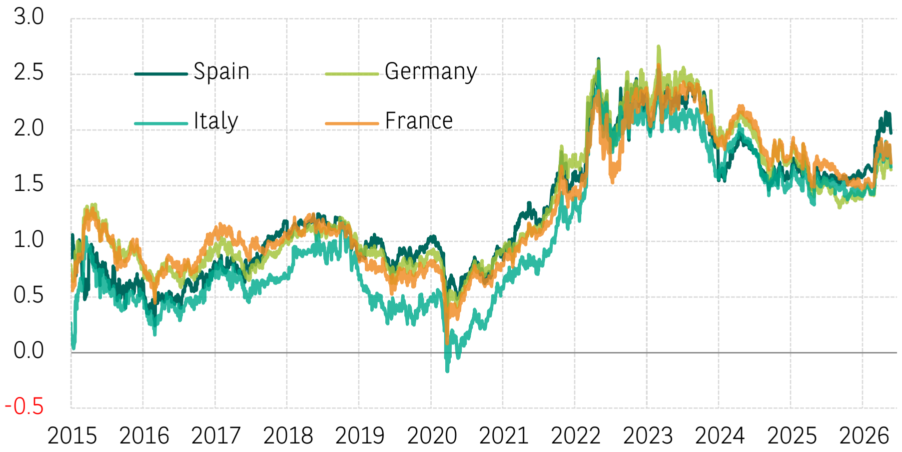
Market expectations: breakeven inflation rate

US breakeven rate (10-years Treasury note)



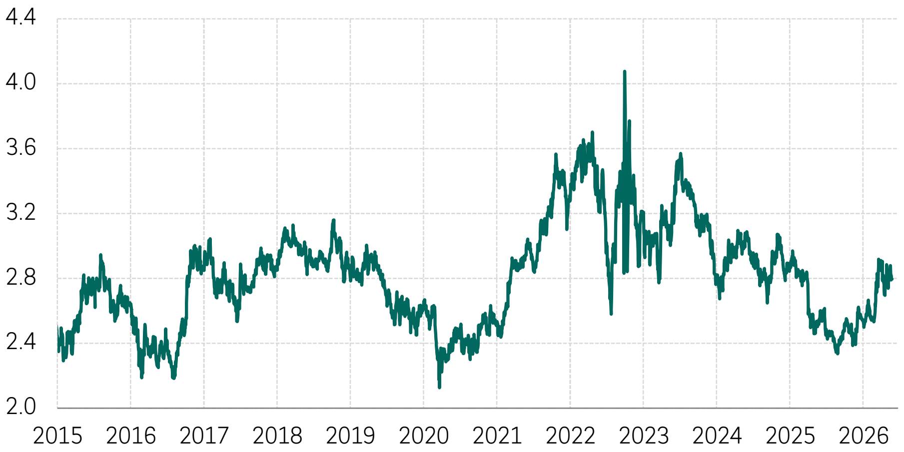
Source: Federal Reserve

Eurozone breakeven rate (10-years government bonds)



Source: Refinitiv, iBoxx

UK breakeven rate (10-year Gilts)

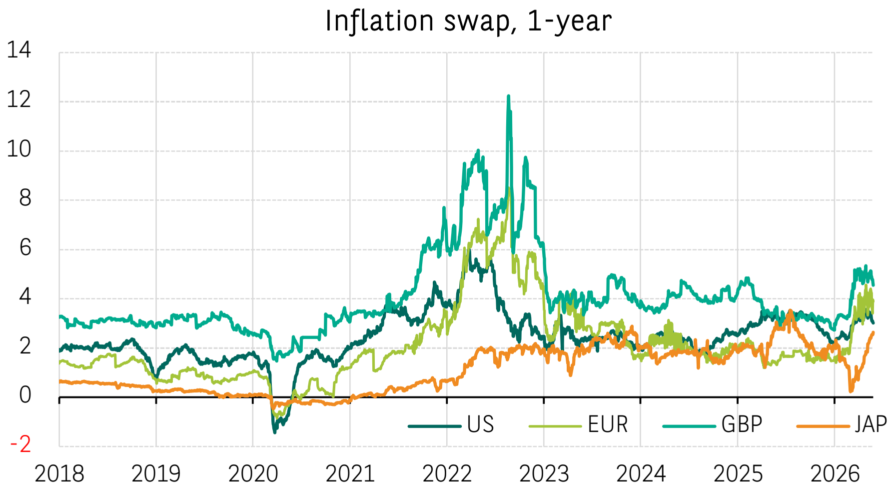


Source: Refinitiv, iBoxx

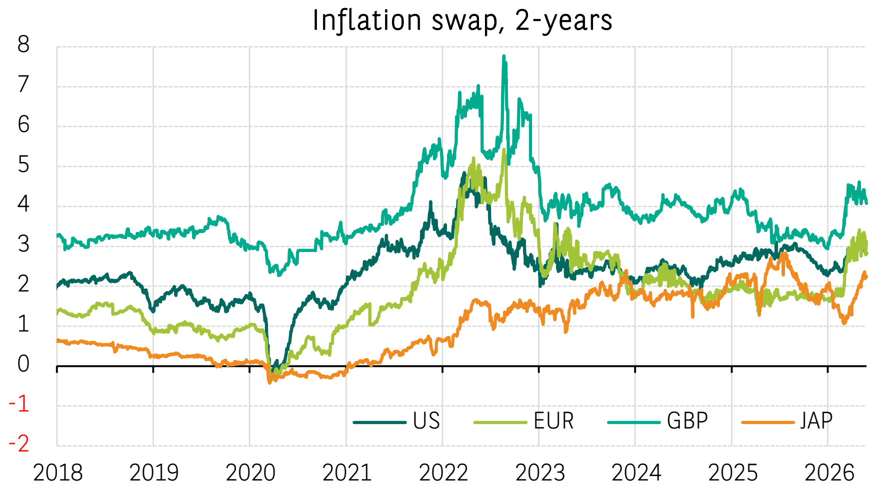
Japan breakeven rate (5-10-year JGBs)*

Source: Refinitiv, iBoxx

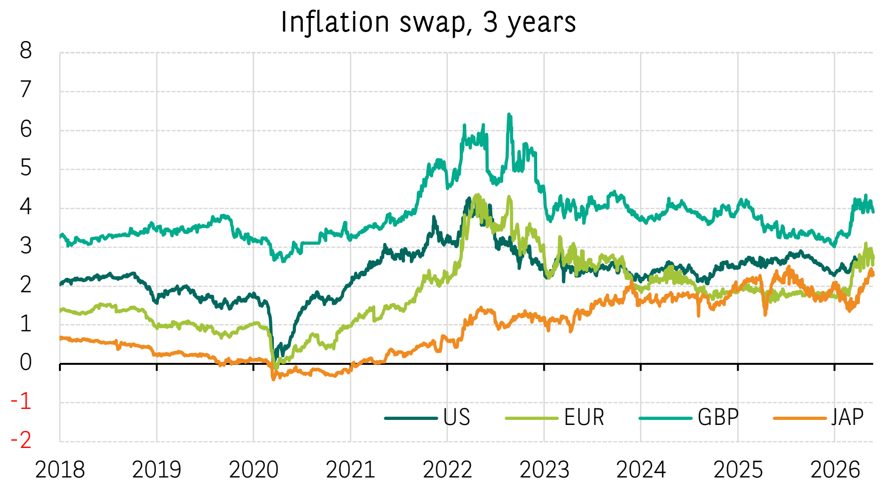
Market expectations: swap rate



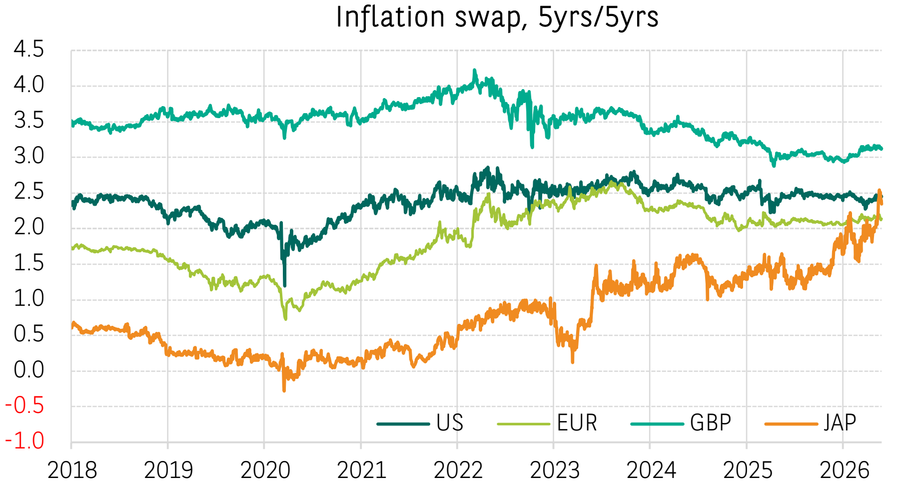
Sources : LSEG, BNP Paribas



Sources : LSEG, BNP Paribas



Sources : LSEG, BNP Paribas



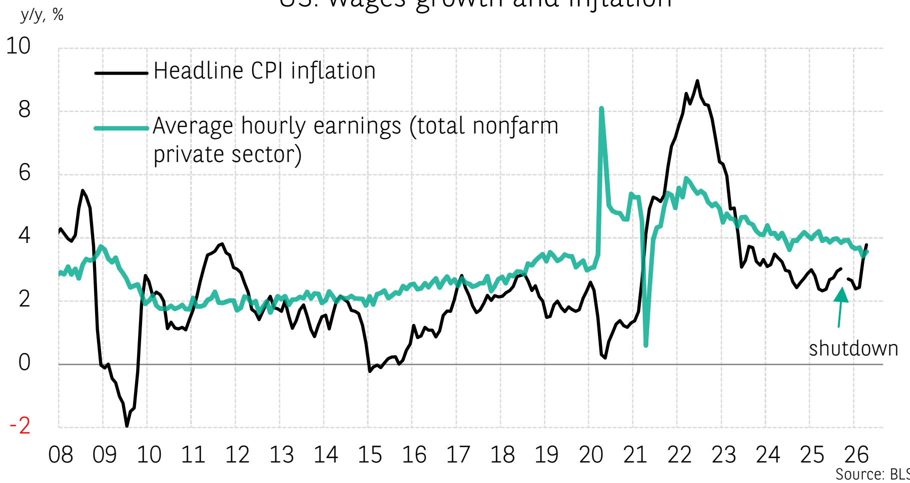
Sources : LSEG, BNP Paribas

Inflation-wage dynamics:

There are still no signs of a wage-price spiral taking hold.

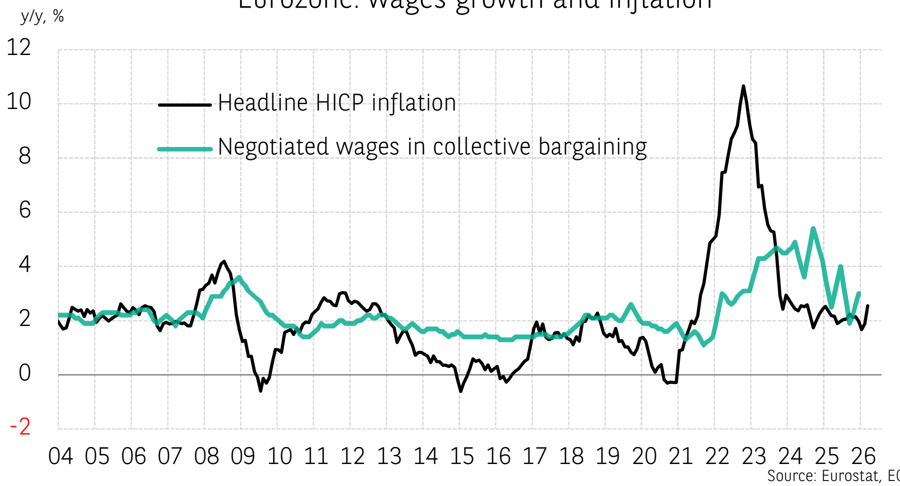
Inflation-wage dynamics

US: wages growth and inflation



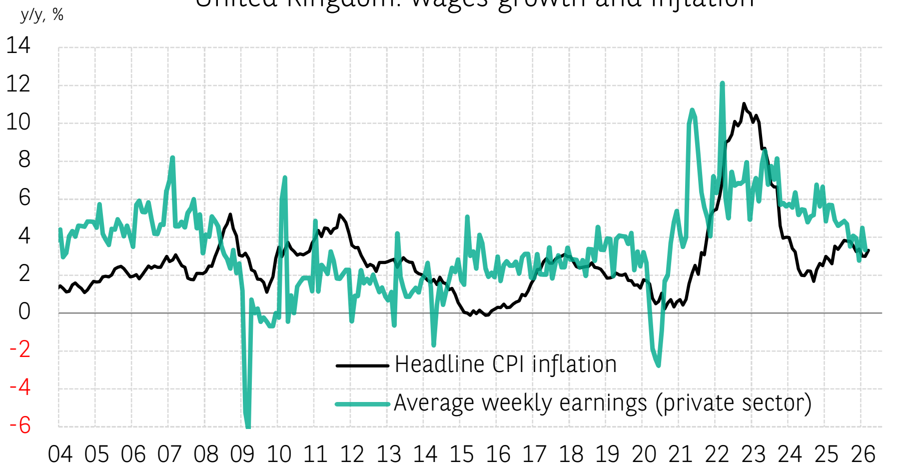
Source: BLS

Eurozone: wages growth and inflation



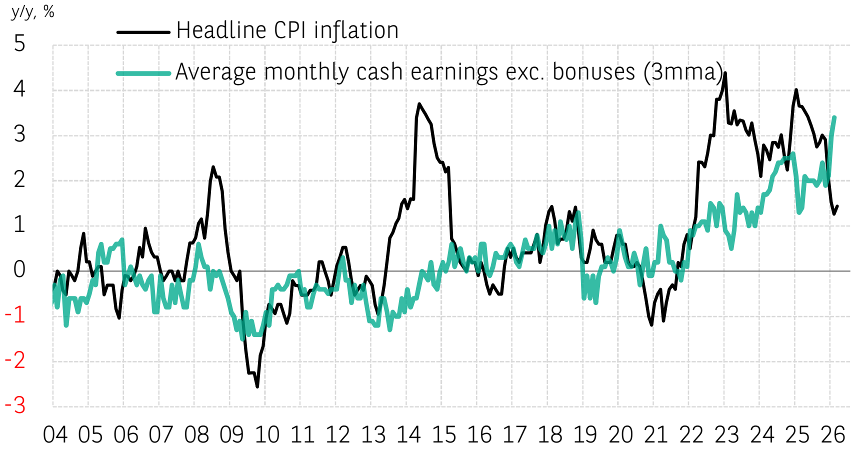
Source: Eurostat, ECB

United Kingdom: wages growth and inflation



Source: ONS

Japan: wages growth and inflation



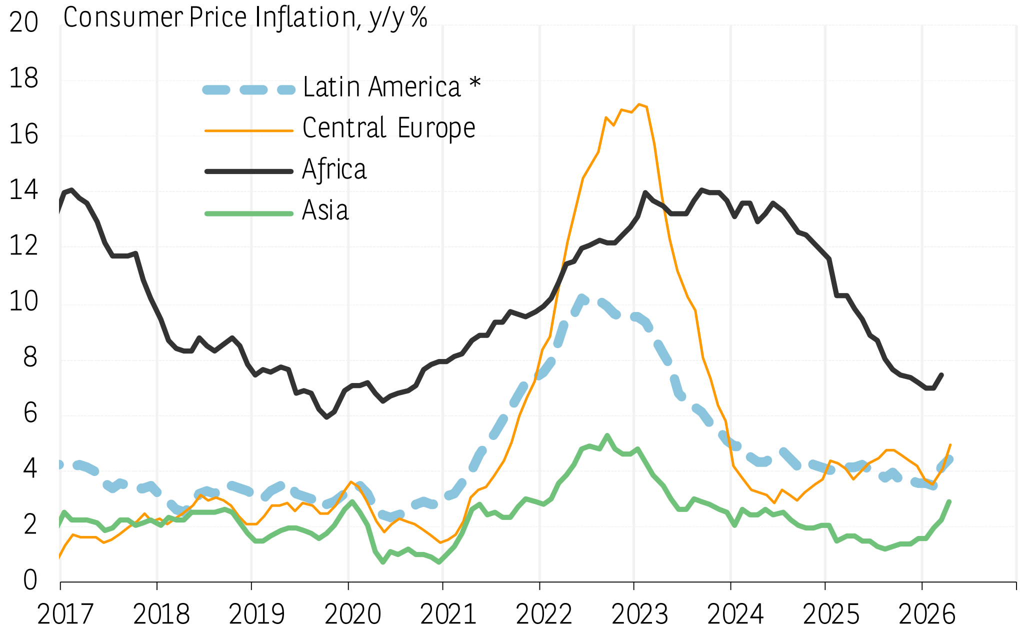
Source: Statistics Bureau of Japan, Ministry of Health, Labour & Welfare

Emerging Economies:

The inflationary impact of the energy shock is spreading rapidly, though still moderately, across emerging economies.

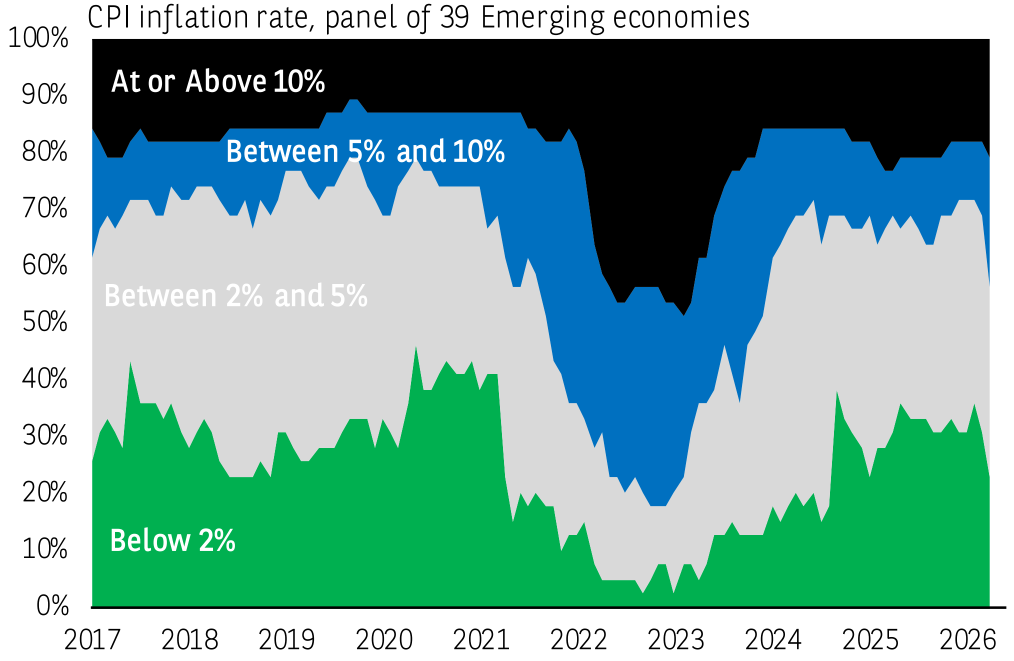
Inflation dynamics in emerging economies: degree of generalisation

Emerging countries: Average inflation rates by region



Source: Central banks, Macrobond, BNP Paribas

Emerging countries: Widespread increase in inflation pressures

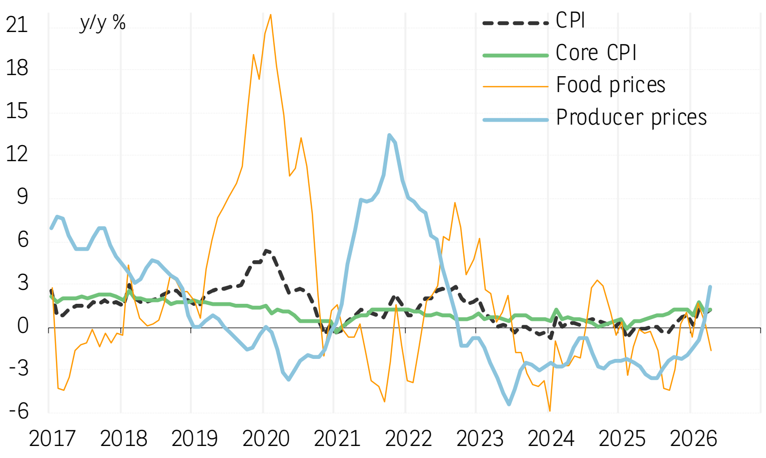


Source: Central banks, Macrobond, BNP Paribas

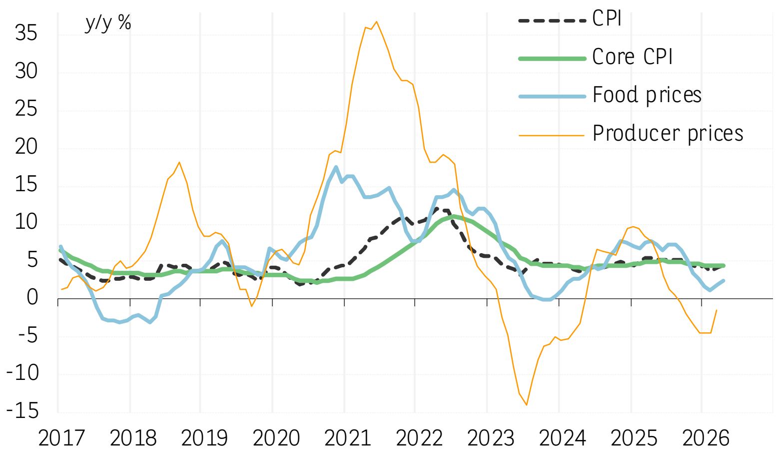
* Latin America: Brazil, Chile, Colombia, Mexico, Peru.
Central Europe: Bulgaria, Croatia, Czech Rep., Hungary, Poland, Romania, Slovakia.
Afrique: Algeria, Angola, Egypt, Kenya, Morocco, Nigeria, South Africa, Tunisia.
Asia: China, Hong Kong, India, Indonesia, Malaysia, Philippines, Singapore, South Korea, Taiwan, Thailand, Vietnam.

Dynamics and breakdown of inflation in six large emerging economies

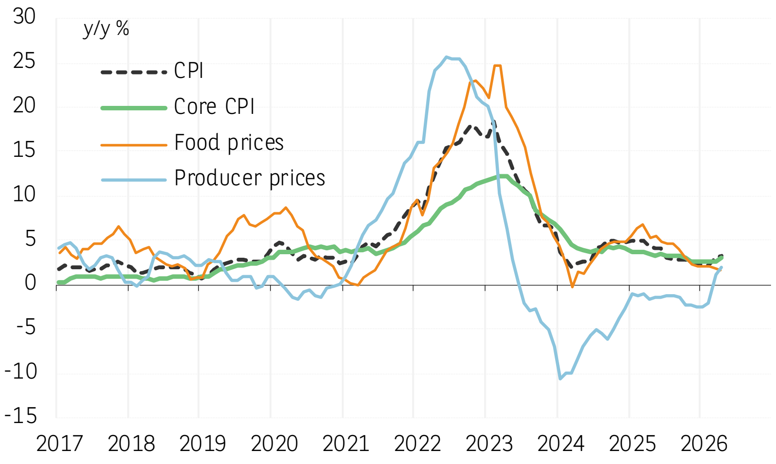
China



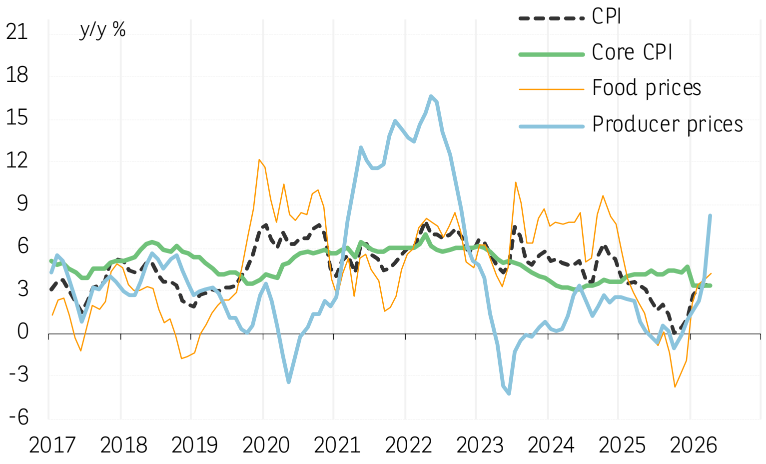
Brazil



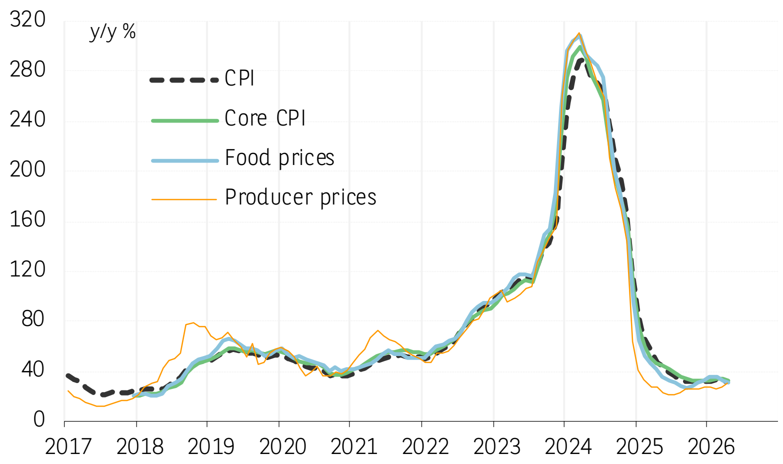
Poland



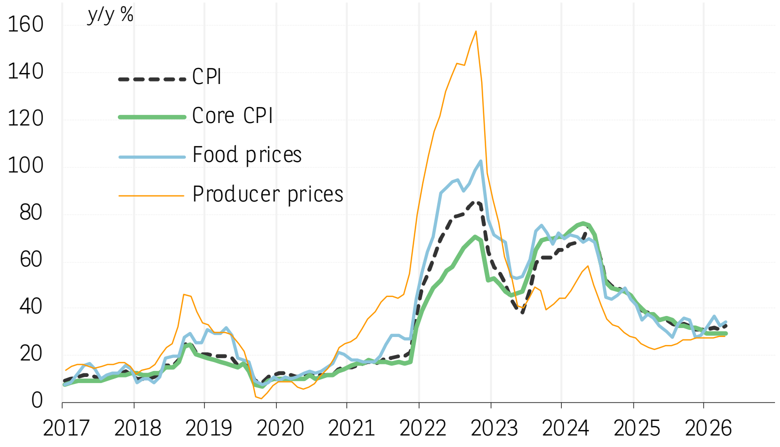
India



Argentina



Türkiye



Source: Central banks, Macrobond, BNP Paribas

Commodities:

Commodity prices remain high, but are stabilising.

Commodities

WTI crude oil price, USD/barrel

Source: Refinitiv

Natural gas price, USD/million BTU

Source: Nymex

S&P GSCI industrial metal spot price index

Source: Standard & Poors

S&P GSCI agriculture spot price index

Source: Standard & Poors

BNP PARIBAS ECONOMIC RESEARCH

Isabelle Mateos y Lago Group Chief Economist	+33 1 87 74 01 97	isabelle.mateosylago@bnpparibas.com
Hélène Baudchon Deputy Chief Economist, Head of Global Macroeconomic Research	+33 1 58 16 03 63	helene.baudchon@bnpparibas.com
Stéphane Alby Maghreb, Middle East	+33 1 42 98 02 04	stephane.alby@bnpparibas.com
Lucie Barette Europe, Germany, Italy, Spain	+33 1 87 74 02 08	lucie.barette@bnpparibas.com
Anis Bensaidani United States, Japan	+33 1 87 74 01 51	anis.bensaidani@bnpparibas.com
Céline Choulet Banking Economics	+33 1 43 16 95 54	celine.choulet@bnpparibas.com
Stéphane Colliac Head of Advanced Economies – France	+33 1 42 98 26 77	stephane.colliac@bnpparibas.com
Guillaume Derrien Europe, Eurozone – World Trade	+33 1 55 77 71 89	guillaume.a.derrien@bnpparibas.com
Pascal Devaux Middle East, Western Balkans – Energy	+33 1 43 16 95 51	pascal.devaux@bnpparibas.com
Hélène Drouot Latin America	+33 1 42 98 33 00	helene.drouot@bnpparibas.com
François Faure Head of Country Risk – Türkiye – Argentina	+33 1 42 98 79 82	francois.faure@bnpparibas.com
Salim Hammad Head of Data & Analytics – Brazil	+33 1 42 98 74 26	salim.hammad@bnpparibas.com
Thomas Humblot Banking Economics	+33 1 40 14 30 77	thomas.humblot@bnpparibas.com
Cynthia Kalasopatan Antoine Central Europe, Ukraine	+33 1 53 31 59 32	cynthia.kalasopatanantoine@bnpparibas.com
Johanna Melka Asia	+33 1 58 16 05 84	johanna.melka@bnpparibas.com
Marianne Mueller Europe, United Kingdom, Portugal, Greece	+33 1 40 14 48 11	marianne.mueller@bnpparibas.com
Christine Peltier Head of Emerging economies – Asia	+33 1 42 98 56 27	christine.peltier@bnpparibas.com
Lucas Plé Sub-saharan Africa, Colombia, Central America	+33 1 40 14 50 18	lucas.ple@bnpparibas.com
Jean-Luc Proutat Head of Economic Projections	+33 1 58 16 73 32	jean-luc.proutat@bnpparibas.com
Laurent Quignon Head of Banking Economics	+33 1 42 98 56 54	laurent.quignon@bnpparibas.com
Tarik Rharrab Data scientist	+33 1 43 16 95 56	tarik.rharrab@bnpparibas.com
Mickaëlle Fils Marie-Luce Media contact	+33 1 42 98 48 59	mickaelle.filsmarie-luce@bnpparibas.com

UNITED STATES: LABOUR PRODUCTIVITY GROWTH SET TO CONTINUE

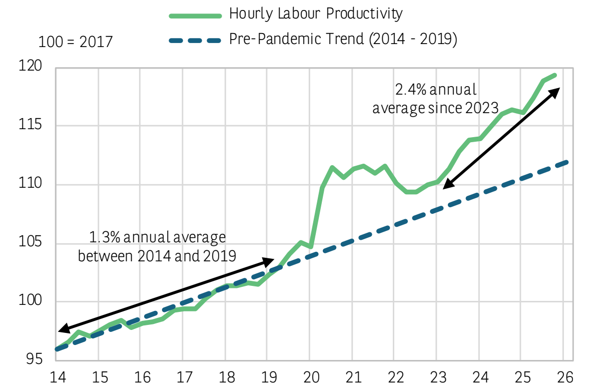
Anis Bensaidani

The outperformance of US growth is underpinned by productivity gains that are significantly higher than those of the previous decade. This acceleration is due more to the spillover effects of past investments and post-pandemic changes (such as remote working) than to artificial intelligence (AI). The roll-out of AI is too recent for productivity gains to have already made their mark at the macroeconomic level. In the medium term, however, AI is expected to support the upward trend.

Productivity is driving US growth

Since 2022, US growth has proved resilient in the face of a succession of shocks, including inflation, monetary tightening and tariffs. On an annual average basis, growth has consistently outperformed its long-term rate (1.8% according to the Congressional Budget Office [CBO] and the IMF). According to our forecasts, this strength is set to continue in 2026 and 2027 (see EcoPerspectives United States: Growth and Full Employment tested by Uncertainty), with strong productivity gains being the key driver. Following a temporary surge linked to the pandemic crisis (which is depicted as a "bump" on the chart before correction), hourly labour productivity growth reached an annual average of +2.4% between 2023 and 2025, compared with +1.3% between 2014 and 2019.

United States: sharp acceleration in productivity compared with the pre-Covid period



GRAPHIQUE

SOURCES : BEA, BNP PARIBAS

The delayed impacts of past investment are fuelling productivity gains

Investment in AI is a powerful driver of current US growth (see Chart of the Week United States: a "K-Shaped" investment). However, this momentum simply extends a trend from the previous decade, which was already driven by digital sectors. It is therefore likely that the current increase in hourly productivity is primarily the result of past investments. The IMF also notes a concentration of productivity gains in sectors with "the highest investment in intellectual property" (IMF).

The role of changes in the labour market

Changes in the labour market complete the picture. The first evolution is remote working: according to WFH Research, 27% of paid working days were carried out from home in 2025, compared with an average of 6.2% between 2016 and 2019. However, the Bureau of Labor Statistics (BLS) identifies a positive correlation between the adoption of remote working and productivity growth (Beyond the Numbers, 2024), which is linked to the aforementioned investment in digital technology. Indeed, Maria D. Tito (FEDS Notes, 2025) sees a link between the 'ability to work remotely' and 'technological trends' that have improved the remote working experience. Two further developments in the labour market are considered to be conducive to productivity: a marked increase in business start-ups and higher worker turnover' (IMF Working Paper, 2024).

Will AI sustain this trend in the long term?

Expectations of future productivity gains driven by AI underpin the current investment cycle. US institutions are showing a moderate level of optimism regarding the degree of support AI is expected to provide. The Fed has raised its median projection for long-term GDP growth to 2.0% in Q1 2026 (+0.2 percentage points, the highest increase since 2016). As for the CBO, it considers the adoption of generative AI to be a 'modest' contributor to productivity and growth in its 10-year outlook (CBO, 2026). These estimates focus primarily on the impact of AI on growth through the 'supply' channel and productivity gains. Additionally, we must consider the 'demand' channel already at work through current business investments and household consumption expenditure which are supporting growth.

Completed on 22 May 2026

Anis Bensaidani
anis.bensaidani@bnpparibas.com

GROUP ECONOMIC RESEARCH

ECOINSIGHT

Structural or thematic topics

ECOPERSPECTIVES

Analyses and forecasts with a focus on developed and emerging economies.

ECOFLASH

Data releases, major economic events

ECOWEEK

Recent economic and policy developments, data comments, economic calendar, forecasts

ECOCHARTS

Easy-to-read monthly overview of inflation dynamics

ECOATLAS

The key economic figures for France and major European economies

CHART OF THE WEEK

A weekly chart highlighting points of interest in the world economy

ECOTV

What is the key event of the month?
You will find the answer in our economy broadcast.

MACROWAVES

Our economic podcast

HOW TO RECEIVE OUR PUBLICATIONS

SUBSCRIBE ON OUR WEBSITE
see the Economic Research website

&

FOLLOW US ON LINKEDIN
see the Economic Research linkedin page

OR TWITTER
see the Economic Research Twitter page

Published by BNP PARIBAS Economic Research
Head office: 16 boulevard des Italiens – 75009 Paris France / Phone : +33 (0) 1.42.98.12.34
Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com
Head of publication : Jean Lemierre
Chief editor: Isabelle Mateos y Lago

Subscribe to our publications:
ECONOMIC RESEARCH

BNP PARIBAS

The bank
for a changing
world

CHART OF THE WEEK

20 May 2026

BLOCKADE OF THE STRAIT OF HORMUZ: THE OIL MARKET SOON TO RUN OUT OF OPTIONS

Pascal Devaux

Global oil market will soon have lost more than one billion barrels of crude and petroleum products

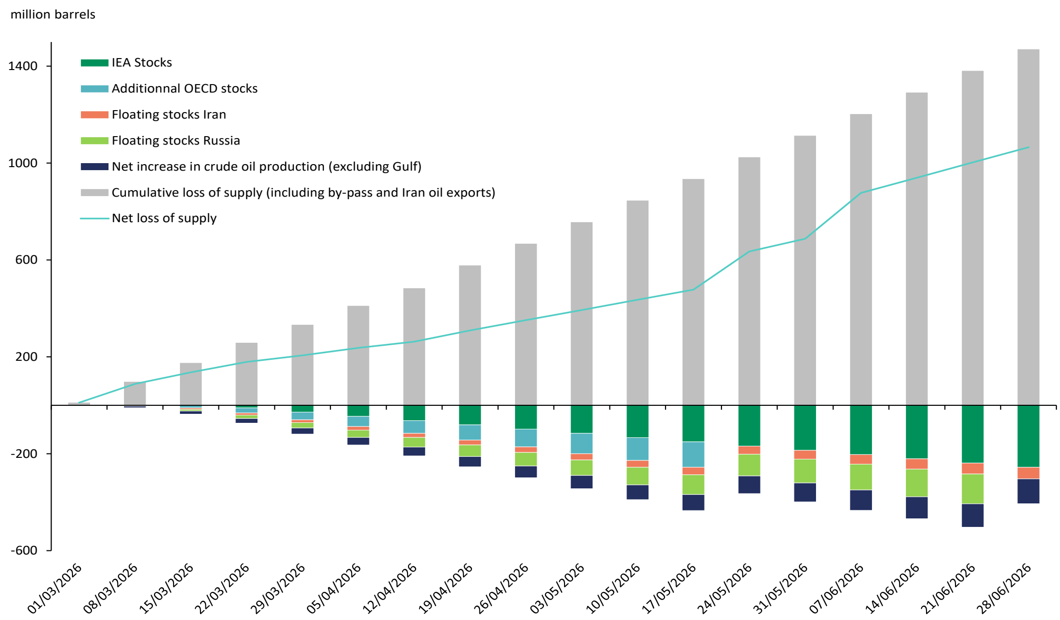


CHART 1 SOURCE: INTERNATIONAL ENERGY AGENCY (IEA), BNP PARIBAS

The blockade of the Strait of Hormuz over the past two and a half months has significantly reduced the amount of oil available globally. The use of regional bypass, and the release of commercial stocks and strategic reserves are only partial and temporary solutions. Without the restoration of oil flows through the strait, the growing shortfall in petroleum products will accelerate the rise in oil prices and destruction in global oil demand.

A considerable volume of oil is out of the market despite the use of alternative routes

Under normal circumstances, nearly 19.8 million barrels per day (mb/d) of crude oil and refined products pass through the Strait of Hormuz. Due to the blockade, part of this flow is being diverted through existing alternative transit infrastructures. Around 7 mb/d are thus being diverted through various bypass pipelines[1].

In addition, there were 2 to 3 mb/d of Iranian exports via the Strait until the US blockade was imposed on April 13th. Taking these bypass capacities into account, the volume of oil production absent from the market is estimated at around 9 mb/d, which remains considerable.

Massive stock drawdowns offer temporary relief

In response to this growing oil supply shortfall, the International Energy Agency (IEA) announced on March 11th the coordinated release of strategic stocks by member countries. Totaling a record 426 million barrels, these stocks consist of 70% crude oil and 30% refined products. Uncertainties remain regarding the pace at which these stocks will be released, but our assumption is at a rate of 2.5 million barrels per day. Added to these volumes are a further 100 million barrels of oil mobilised by other OECD member countries (Japan and South Korea). At the same time, the United States has temporarily eased certain sanctions on Russia's seaborne shipments (which may now be traded until the end of June) and Iranian shipments already in transit (thus allowing access to floating stocks). Finally, increased production in other oil-producing countries (the United States, Canada, Argentina, etc.) is also helping to ease global supply pressures.

Thus, the estimate of the net quantity of oil lost to the market takes into account the capacity to bypass the strait as well as the support measures implemented (*chart 1*).

1 The East-West pipeline from Saudi Arabia to the port of Yanbu on the Red Sea, the Habshan-Fujairah pipeline from the United Arab Emirates to the Gulf of Oman, and the Kirkuk pipeline used by Iraq to the port of Ceyhan in Türkiye.

Is the surge in US exports sustainable?

Other external factors are helping to limit, at least temporarily, the effects of the current market disruptions and to contain price rises to a certain extent.

i/ Firstly, market disruptions and rising prices are reducing global oil demand. According to the latest IEA report, it could contract by 2.4 mb/d during Q2 2026 and decrease by a total of 0.42 mb/d over the year 2026 compared to 2025, reaching 104 mb/d.

ii/ Secondly, the United States has significantly increased its exports of crude oil and refined products. These exports reached an all-time high of 14.2 mb/d during the week of April 24th, compared with an average of 10.7 mb/d in 2025, according to the US Energy Information Administration (EIA). However, the sustainability of this US effort is raising questions. Maintaining a high level of exports implies increased drawdowns on domestic stocks (*chart 2*), which are falling at a very high rate (an all-time high during the week of May 8th). This is unsustainable in the short term, and could fuel market concern.

Furthermore, according to the US EIA, the retail price of gasoline in the United States now exceeds USD 4.50 per gallon. However, this trend is economically costly, particularly as a seasonal rise in fuel consumption begins. Furthermore, it could also be costly from a political perspective as November mid-term elections approach, at a time when US households' purchasing power is already weakened by persistently high inflation. It is therefore uncertain whether the US will continue this policy of sharply increasing exports for more than a few weeks, particularly for refined products.

iii/ Finally, the decline in Chinese imports of oil is limiting upward pressure on global prices, without, however, drastically reducing China's commercial stocks and strategic reserves (estimated at 1.4 billion barrels). According to some estimates, China has reduced its crude oil imports by an average of 3.6 million barrels per day (they are now reportedly at 8.1 mb/d compared with 11.7 mb/d before the war). This is notably the result of a decline in activity in the petrochemical and refining sectors in April (year-on-year). This contraction is likely to be temporary.

Markets are taking stock of the shock

Markets now seem to be taking the full extent of the current supply shortfall more clearly: nearly a billion barrels are estimated to be missing since the closure of the strait. This is particularly reflected in the narrowing of the spread between the price of a barrel of 'physical' oil (dated Brent, the nearest physical delivery) and the Brent futures price on international markets (now less than USD5 per barrel). Furthermore, Brent futures prices (maturing in December 2026) are trending upwards and remain close to USD92 per barrel, having reached their highest level on 4 May (*chart 3*).

Temporary solutions are running out of steam, raising market concerns

Tensions in the global oil market will continue to rise to the point that the gap between supply and demand becomes too wide for temporary solutions to be sufficient to mitigate it. For the United States, the drawdown of strategic reserves (Strategic Petroleum Reserve) and commercial reserves held by private companies could heighten concerns from the end of Q2 onwards.

The European Union, for its part, could face an abrupt market adjustment for refined products in June (through supply disruptions). Around half of the barrels to be delivered via the oil stocks released by the IEA to supply the market remain available. Yet the seasonal rise in consumption of petroleum products during the summer in the northern hemisphere risks rapidly depleting them. Therefore, the possibility of bringing an additional volume of oil to the market could be evoked, but it would be at the risk of reducing stocks to an alarming low level (which is difficult to estimate at this stage) and could push the market even further towards extreme pricing.

Pascal Devaux, with the help of Clara Ngo Ba Do (intern)

pascal.devaux@bnpparibas.com

The massive US stock release will be difficult to maintain in the short run

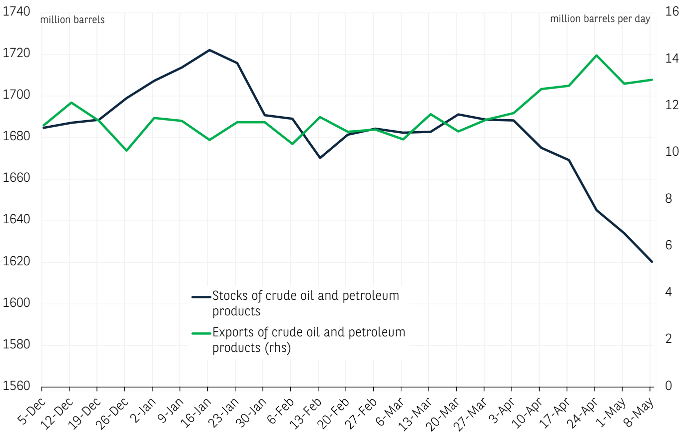


CHART 2 SOURCE: EIA, BNP PARIBAS

The energy shock is better priced by the market

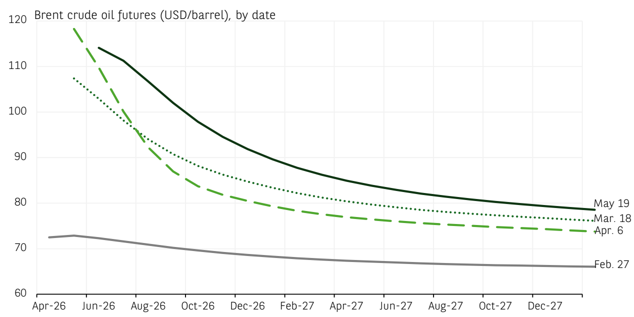


CHART 3 SOURCE: BLOOMBERG, BNP PARIBAS

GROUP ECONOMIC RESEARCH

ECOINSIGHT

Structural or thematic topics

ECOPERSPECTIVES

Analyses and forecasts with a focus on developed and emerging economies.

ECOFLASH

Data releases, major economic events

ECOWEEK

Recent economic and policy developments, data comments, economic calendar, forecasts

ECOCHARTS

Easy-to-read monthly overview of inflation dynamics

ECOATLAS

The key economic figures for France and major European economies

CHART OF THE WEEK

A weekly chart highlighting points of interest in the world economy

ECOTV

What is the key event of the month?
You will find the answer in our economy broadcast.

MACROWAVES

Our economic podcast

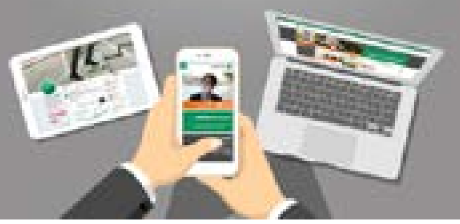
HOW TO RECEIVE OUR PUBLICATIONS

SUBSCRIBE ON OUR WEBSITE
see the Economic Research website

&

FOLLOW US ON LINKEDIN
see the Economic Research linkedin page

OR TWITTER
see the Economic Research Twitter page



Published by BNP PARIBAS Economic Research

Head office: 16 boulevard des Italiens – 75009 Paris France / Phone : +33 (0) 1.42.98.12.34
Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com

Head of publication : Jean Lemierre

Chief editor: Isabelle Mateos y Lago

Subscribe to our publications:

ECONOMIC RESEARCH

BNP PARIBAS

The bank
for a changing
world

ECOCHARTS

MAY 2026

Energy shock: Dashboard 2026 vs. 2022

Energy shock: Dashboard 2026 vs. 2022

Will the same causes produce the same effects? In other words, will the war in Iran and the resulting surge in oil and gas prices lead to an inflationary shock comparable to that seen in 2022? Will their negative effects on growth be the same as those for the war in Ukraine and the subsequent energy shock? Although there are similarities, there are many uncertainties.

The ongoing energy-led inflation rise should be less strong, as demand is less dynamic and supply is less constrained today compared with the situation in 2022. Conditions do not appear to be conducive to a significant propagation of the rise in energy prices. However this will need to be closely monitored as transmission lags matter, and the return to normal oil production flows will take time while the strait of Hormuz remains blocked.

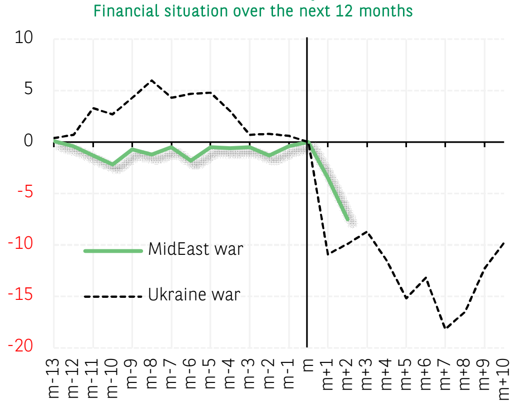
In addition, central banks have learned from the inflationary shock of 2021-2023. They are ready to react more quickly to counter any spillovers, second-round effects and spiral between price increases, inflation expectations and wages. Such second-round effects are not yet visible in the data, but central banks are on alert of any warning signs.

We have selected a set of indicators to track the impact of this new energy shock — caused by the war in the Middle East — on activity and prices in the Eurozone, the United States, oil and gas markets and emerging countries, and to see how much the current situation resembles that of 2022 at the outbreak of the conflict in Ukraine.

This dashboard featuring charts and comments will be updated on a monthly basis for as long as necessary.

Eurozone/US: Household confidence falters under the impact of rising energy prices

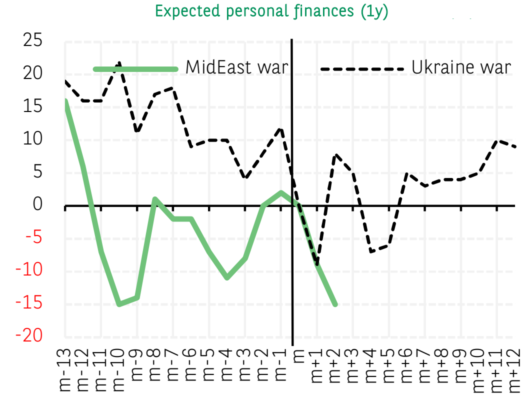
Eurozone consumer confidence:
Financial situation over the next 12 months



Change since m = 0 = February 2026 / February 2022

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

US consumer sentiment:
Expected personal finances (1y)



Change since m = 0 = February 2026 / February 2022

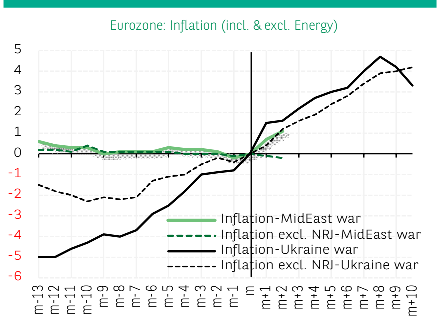
Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas

Eurozone: The inflation rise remains energy-driven, but pressures are mounting and consumer and services sector confidence is deteriorating sharply

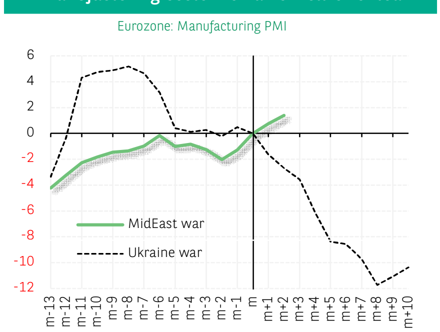
We have selected two inflation measures (with and without energy) and six survey indicators: business confidence, as measured by the PMIs in the manufacturing and services sectors; the “input prices” and “output prices" components of the composite PMI (in order to identify direct inflationary pressures); the “suppliers’ delivery times” component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); household confidence, as reflected in its “assessment of financial situation in the next 12 months” component (in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month m=0, corresponding to the start of the conflict, more or less during the year that follows and the year that precedes the event. Each line does not represent the level of the indicator but its cumulative variation compared to month m=0.

The assessment of the available data for April is more negative than in March. Inflation rose by 1.1 percentage points in two months, an increase that is however still solely driven by the "energy" component. Excluding energy as well as excluding “energy and food," inflation recorded a new slight decline in April. However inflationary pressures are mounting, through rising input prices and — new development in April — the beginning of an increase in output prices according to PMIs surveys. The lengthening of delivery times is not a good sign either. The good news, coming from confidence surveys, is the further improvement in the business climate in the manufacturing sector (driven by stockpiling in anticipation of price increases). But it is weakened by the new sharp deterioration of the business climate in services and by the further decline in consumer confidence.

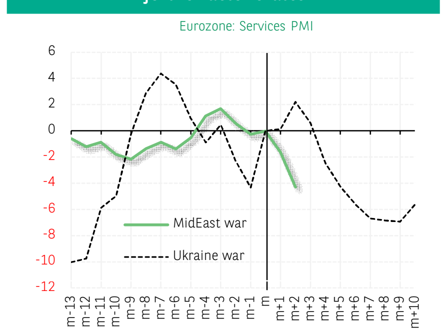
April 2026: The inflation rise remains energy-led



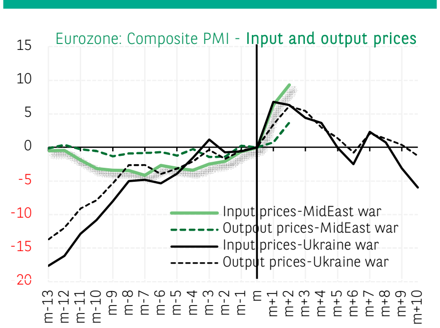
April 2026: Business confidence in the manufacturing sector remains well-oriented



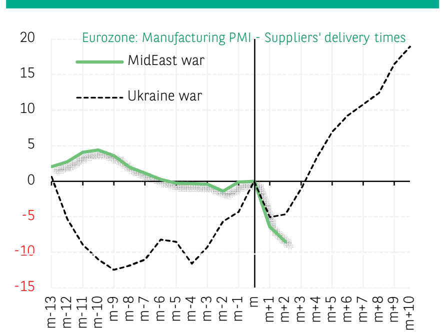
April 2026: Business confidence in services further deteriorates



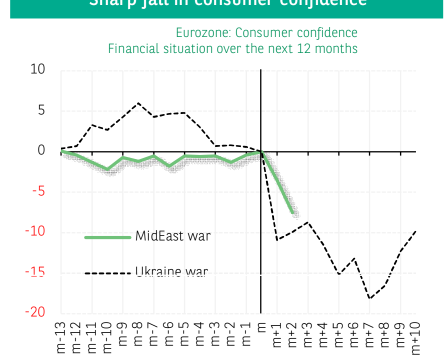
April 2026: Sharp rise in input prices and increase in output prices



April 2026: Further lengthening of delivery times, signaling rising tensions on supply



April 2026: Sharp fall in consumer confidence



Change since m = 0 = February 2026 / February 2022

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

United States: Iran war pushes inflation higher and sustains downward pressure on household sentiment

The Iran war delivered a quick, though relatively contained, negative impact to US activity data and surveys.

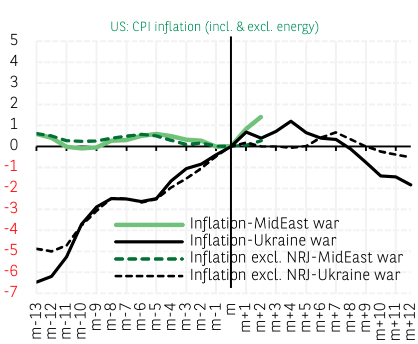
CPI inflation recorded its largest monthly increase since 2022 in March, before reaching 3.8% y/y in April (+1.4pp in two months and a highest since 2023) – almost entirely on the back of gasoline prices, with the non-energy index edging up only moderately.

Business sentiment, which was on an upward trajectory before the shock, stayed resilient but signaled a faster input-price growth (a leading indicator of inflation) and longer delivery times, both directly linked to Middle East turmoil and coming on top of the issue of tariffs.

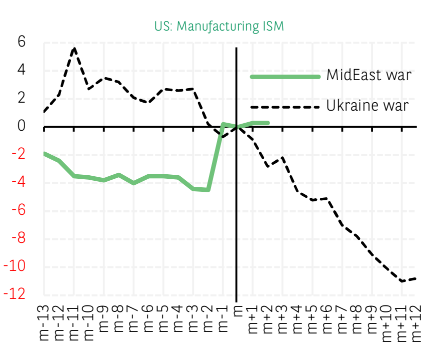
Meanwhile, the outlook of households, which were already low on optimism, has further deteriorated due to their sensibility to gasoline prices, while inflation expectations were rising.

However, macro conditions are significantly less inflationary than in 2022, and small businesses have not yet materially raised their price plans.

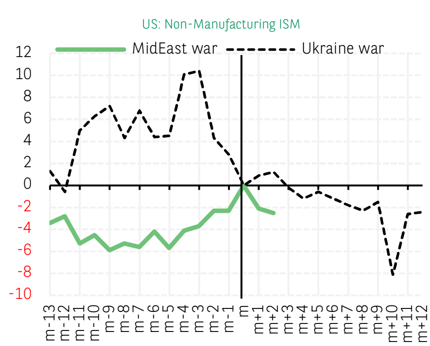
April 2026: Energy-related inflation bounce



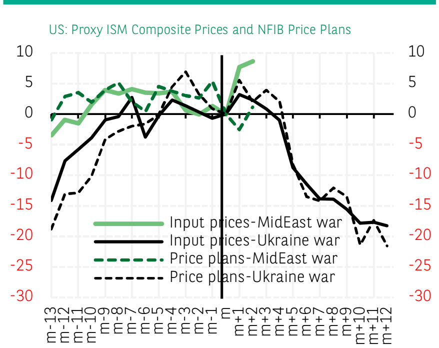
April 2026: Positive trend for manufacturing business sentiment



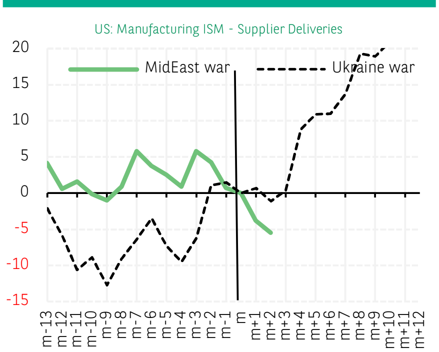
April 2026: Services business sentiment down but still buoyant



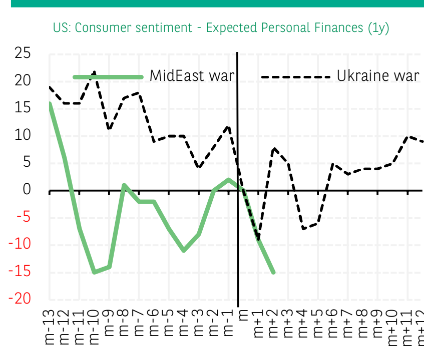
April 2026: Sharp rise in input prices, moderate rise in price plans



April 2026: Longer delivery times



May 2026: Growing concerns among households



Change since m = 0 = February 2026 / February 2022

Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas

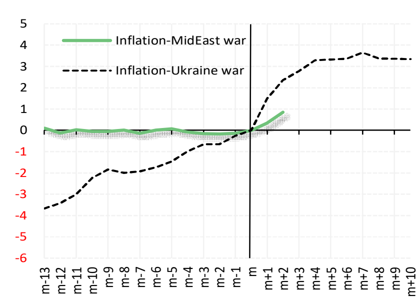
Emerging economies: Manufacturing activity seems to be holding up much better than in 2022 but the inflation shock is spreading

In April 2026, the inflationary impact of the oil price shock is spreading as the average CPI inflation rate for the main emerging economies reached 4.8% year-on-year, compared with 3.9% in February. The shock is still contained compared to 2022 due to limited spillover to agricultural and food prices. However, manufacturers' opinion on the trend in input & output prices have deteriorated significantly. The contagion of oil and gas prices to fertiliser and oil-derived input prices is being felt more acutely.

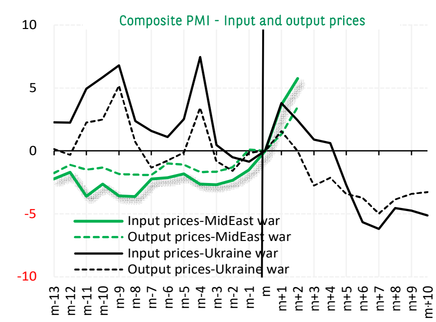
As anticipated in March, the impact on manufacturing activity is far less severe than in 2022, as the business climate has become less negative. By comparison, prior to the shock of 2022, the business climate had continued to deteriorate significantly.

According to estimates by the Institute of International Finance (IIF), non-resident portfolio investment in the main emerging markets rebounded (+USD 38.9 billion) following the massive outflows in March (-USD 85.7 billion), which were revised upwards from the first estimates. The return of foreign investors to the Chinese, Taiwanese and Korean markets accounts for most of the rebound. It should be noted, however, that investment outflows from Indian markets continued. At first sight, the oil shock has generated much higher volatility in portfolio investments flows than in 2022, but volatility was concentrated in a few markets.

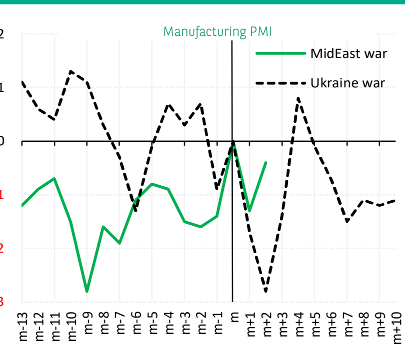
April 2026 :
A much less severe CPI inflation rebound ...



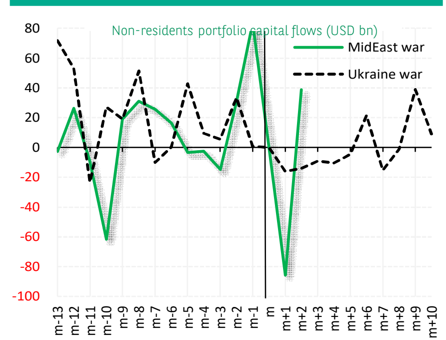
April 2026: ... but a stronger acceleration in input and output producer prices



April 2026 : Better business confidence after the March shock



April 2026 :
A marked rebound in portfolio investments



Change since m = 0 = February 2026 / February 2022

Source: National Statistical Offices, IIF, S&P Global, BNP Paribas

Oil & gas: The sharp rise in U.S. exports is providing temporary relief to the oil market, but prices remain very high

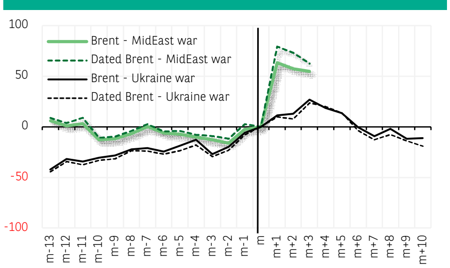
For now, European oil and gas prices appear to be reacting more strongly to the energy shock caused by the war in the Middle East than they did to the shock that followed Russia's invasion of Ukraine.

Oil: The growing loss of barrels available on the market due to the closure of the Strait of Hormuz, repeated attacks on production capacity in the Gulf, and restrictions on traffic through the Strait increase the risk of a physical oil shortage in the short term. This has led to a sharp reaction in the prices of physical barrels (dated Brent). In recent weeks, better pricing of this risk of shortage has caused the prices of futures (Brent) to converge with that of the physical barrel (dated Brent). Furthermore, the sharp rise in oil exports from the United States and, to a lesser extent, the decline in Chinese imports have eased tensions in the physical market and pushed prices lower.

Gas: The reaction of the spot gas price in Europe (TTF) has been more moderate than that of oil. This is due in particular to 1) European countries' limited direct dependence on gas from the Gulf, 2) the reduction in European demand as winter ends, and 3) the decline in Asian demand. Nevertheless, TTF prices remain high and have trended upward over the past month due to the ongoing blockade of the Strait and the start of the restocking period in Europe.

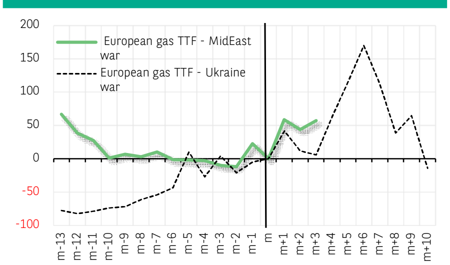
Electricity: Unlike 2022, wholesale electricity prices in Europe have been falling since the start of the conflict. Gas prices remain an important determinant of wholesale electricity prices, but progress in decarbonation of the electricity mix since 2022 and favorable weather conditions explain this recent development.

May 2026: Narrowing spread between the physical barrel price and futures price



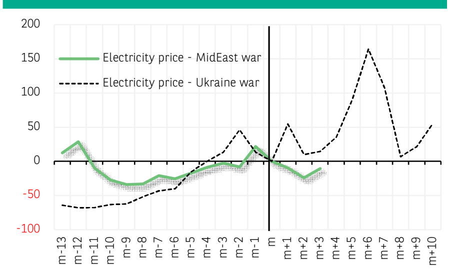
Note: change % since 02/27/2026 - 02/23/2022; last price 05/18/2026

May 2026: Rebound in LNG prices in Europe



Note: change % since 02/27/2026 - 02/23/2022; last price 05/18/2026

May 2026: Wholesale electricity prices in Europe have not reacted yet



Note: change % since 02/2026 - 02/2022

Source: Bloomberg, Ember, BNP Paribas

ECONOMIC RESEARCH

Isabelle Mateos y Lago Group Chief Economist	+33 1 87 74 01 97	isabelle.mateosylago@bnpparibas.com
Hélène Baudchon Deputy Chief Economist, Head of Global Macroeconomic Research	+33 1 58 16 03 63	helene.baudchon@bnpparibas.com
Stéphane Alby Maghreb, Middle East	+33 1 42 98 02 04	stephane.alby@bnpparibas.com
Lucie Barette Europe, Germany, Italy, Spain	+33 1 87 74 02 08	lucie.barette@bnpparibas.com
Anis Bensaidani United States, Japan	+33 1 87 74 01 51	anis.bensaidani@bnpparibas.com
Céline Choulet Banking Economics	+33 1 43 16 95 54	celine.choulet@bnpparibas.com
Stéphane Colliac Head of Advanced Economies - France	+33 1 42 98 26 77	stephane.colliac@bnpparibas.com
Guillaume Derrien Europe, Eurozone - World Trade	+33 1 55 77 71 89	guillaume.a.derrien@bnpparibas.com
Pascal Devaux Middle East, Western Balkans - Energy	+33 1 43 16 95 51	pascal.devaux@bnpparibas.com
Hélène Drouot Latin America	+33 1 42 98 33 00	helene.drouot@bnpparibas.com
François Faure Head of Country Risk - Türkiye - Argentina	+33 1 42 98 79 82	francois.faure@bnpparibas.com
Salim Hammad Head of Data & Analytics - Brazil	+33 1 42 98 74 26	salim.hammad@bnpparibas.com
Thomas Humblot Banking Economics	+33 1 40 14 30 77	thomas.humblot@bnpparibas.com
Cynthia Kalasopatan Antoine Central Europe, Ukraine	+33 1 53 31 59 32	cynthia.kalasopatanantoine@bnpparibas.com
Johanna Melka Asia	+33 1 58 16 05 84	johanna.melka@bnpparibas.com
Marianne Mueller Europe, United Kingdom, Portugal, Greece	+33 1 40 14 48 11	marianne.mueller@bnpparibas.com
Christine Peltier Head of Emerging economies - Asia	+33 1 42 98 56 27	christine.peltier@bnpparibas.com
Lucas Plé Sub-saharan Africa, Colombia, Central America	+33 1 40 14 50 18	lucas.ple@bnpparibas.com
Jean-Luc Proutat Head of Economic Projections	+33 1 58 16 73 32	jean-luc.proutat@bnpparibas.com
Laurent Quignon Head of Banking Economics	+33 1 42 98 56 54	laurent.quignon@bnpparibas.com
Tarik Rharrab Data scientist	+33 1 43 16 95 56	tarik.rharrab@bnpparibas.com
Mickaëlle Fils Marie-Luce Media contact	+33 1 42 98 48 59	mickaelle.filsmarie-luce@bnpparibas.com

The information and opinions contained in this document have been obtained from, or are based on, public sources believed to be reliable, but there is no guarantee of the accuracy, completeness or fitness for any particular purpose of such information and such information may not have been independently verified by BNPP or by any person. None of BNPP, any of its subsidiary undertakings or affiliates or its members, directors, officers, agents or employees accepts any responsibility or liability whatsoever or makes any representation or warranty, express or implied, as to the accuracy and completeness of the information or any opinions based thereon and contained in this document and it should not be relied upon as such. This document does not constitute research, as defined under MIFID II, or form any part of any offer to sell or issue and is not a solicitation of any offer to purchase any financial instrument, nor shall it or any part of it nor the fact of its distribution form the basis of, or be relied on, in connection with any contract or investment decision. Information and opinions contained in this document are published for the information of recipients, but are not to be relied upon as authoritative or taken in substitution for the exercise of judgment by any recipient, are subject to change without notice. In providing this document, BNPP does not offer investment, financial, legal, tax or any other type of advice to, nor has any fiduciary duties towards, recipients. Any reference to past performance is not indicative of future performance, which may be better or worse than prior results. Any hypothetical, past performance simulations are the result of estimates made by BNPP, as of a given moment, on the basis of parameters, market conditions, and historical data selected by BNPP, and should not be used as guidance, in any way, of future performance. To the fullest extent permitted by law, no BNPP group company accepts any liability whatsoever (including in negligence) for any direct or consequential loss arising from any use of or reliance on material contained in this document even when advised of the possibility of such losses. All estimates and opinions included in this document are made as of the date of this document. Unless otherwise indicated in this document there is no intention to update this document. BNPP may make a market in, or may, as principal or agent, buy or sell securities of any issuer or person mentioned in this document or derivatives thereon. Prices, yields and other similar information included in this document are included for information purposes however numerous factors will affect market pricing at any particular time, such information may be subject to rapid change and there is no certainty that transactions could be executed at any specified price. BNPP may have a financial interest in any issuer or person mentioned in this document, including a long or short position in their securities and/or options, futures or other derivative instruments based thereon, or vice versa. BNPP, including its officers and employees may serve or have served as an officer, director or in an advisory capacity for any person mentioned in this document. BNPP may, from time to time, solicit, perform or have performed investment banking, underwriting or other services (including acting as adviser, manager, underwriter or lender) within the last 12 months for any person referred to in this document. BNPP may be a party to an agreement with any person relating to the production of this document. BNPP may to the extent permitted by law, have acted upon or used the information contained herein or in the document, or the analysis on which it was based, before the document was published. BNPP may receive or intend to seek compensation for investment banking services in the next three months from or in relation to any person mentioned in this document. Any person mentioned in this document may have been provided with relevant sections of this document prior to its publication in order to verify its factual accuracy.

This document was produced by a BNPP group company. This document is for the use of intended recipients and may not be reproduced (in whole or in part) or delivered or transmitted to any other person without the prior written consent of BNPP. By accepting or accessing this document you agree to this.

BNP Paribas is a société anonyme incorporated in France, licensed and supervised as a credit institution by the European Central Bank (ECB) and as an investment services provider by the Autorité de contrôle prudentiel et de résolution (ACPR) and Autorité des marches financiers (AMF), and having its registered office at 16, boulevard des Italiens, 75009 Paris, France.

Some or all of the information contained in this document may already have been published on https://globalmarkets.bnpparibas.com.

For country-specific disclaimers (United States, Canada, United Kingdom, Germany, Belgium, Ireland, Italy, Netherlands, Portugal, Spain, Switzerland, Brazil, Turkey, Israel, Bahrain, South Africa, Australia, China, Hong Kong, India, Indonesia, Japan, Malaysia, Singapore, South Korea, Taiwan, Thailand, Vietnam) please type the following URL to access the applicable legal notices: https://globalmarkets.bnpparibas.com/gm/home/Markets_360_Country_Specific_Notices.pdf

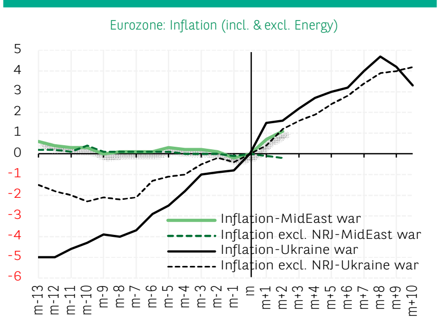
Subscribe to our publications:
ECONOMIC RESEARCH

Eurozone: The inflation rise remains energy-driven, but pressures are mounting and consumer and services sector confidence is deteriorating sharply

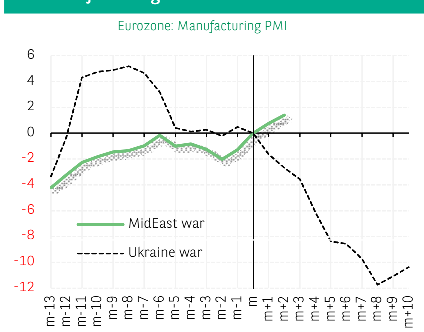
We have selected two inflation measures (with and without energy) and six survey indicators: business confidence, as measured by the PMIs in the manufacturing and services sectors; the “input prices” and “output prices" components of the composite PMI (in order to identify direct inflationary pressures); the “suppliers’ delivery times” component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); household confidence, as reflected in its “assessment of financial situation in the next 12 months” component (in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month m=0, corresponding to the start of the conflict, more or less during the year that follows and the year that precedes the event. Each line does not represent the level of the indicator but its cumulative variation compared to month m=0.

The assessment of the available data for April is more negative than in March. Inflation rose by 1.1 percentage points in two months, an increase that is however still solely driven by the "energy" component. Excluding energy as well as excluding “energy and food," inflation recorded a new slight decline in April. However inflationary pressures are mounting, through rising input prices and — new development in April — the beginning of an increase in output prices according to PMIs surveys. The lengthening of delivery times is not a good sign either. The good news, coming from confidence surveys, is the further improvement in the business climate in the manufacturing sector (driven by stockpiling in anticipation of price increases). But it is weakened by the new sharp deterioration of the business climate in services and by the further decline in consumer confidence.

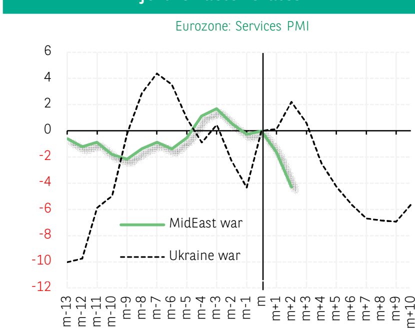
April 2026: The inflation rise remains energy-led



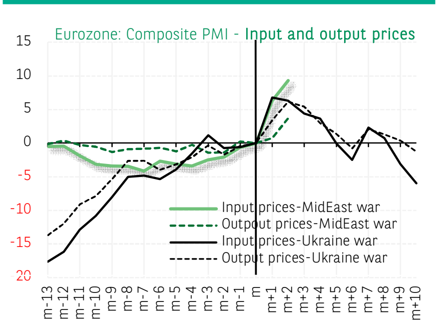
April 2026: Business confidence in the manufacturing sector remains well-oriented



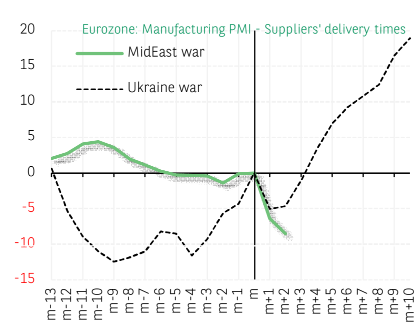
April 2026: Business confidence in services further deteriorates



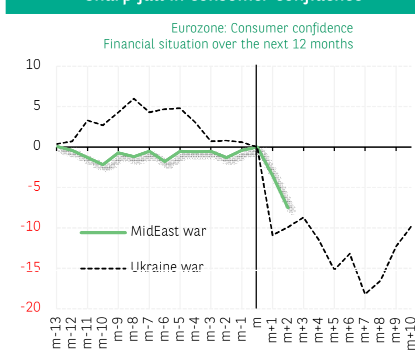
April 2026: Sharp rise in input prices and increase in output prices



April 2026: Further lengthening of delivery times, signaling rising tensions on supply



April 2026: Sharp fall in consumer confidence



Change since m = 0 = February 2026 / February 2022

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

United States: Iran war pushes inflation higher and sustains downward pressure on household sentiment

The Iran war delivered a quick, though relatively contained, negative impact to US activity data and surveys.

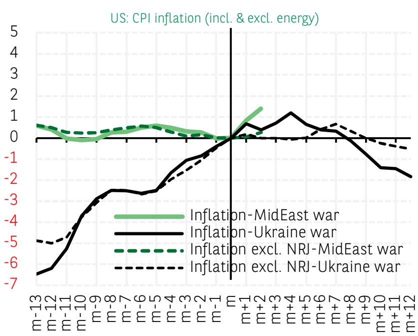
CPI inflation recorded its largest monthly increase since 2022 in March, before reaching 3.8% y/y in April (+1.4pp in two months and a highest since 2023) – almost entirely on the back of gasoline prices, with the non-energy index edging up only moderately.

Business sentiment, which was on an upward trajectory before the shock, stayed resilient but signaled a faster input-price growth (a leading indicator of inflation) and longer delivery times, both directly linked to Middle East turmoil and coming on top of the issue of tariffs.

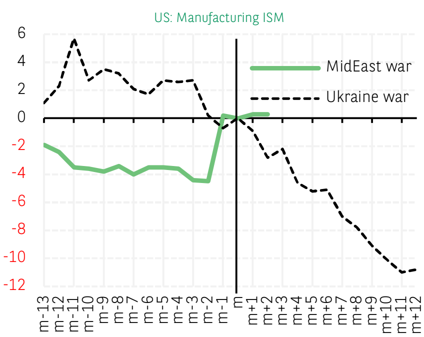
Meanwhile, the outlook of households, which were already low on optimism, has further deteriorated due to their sensibility to gasoline prices, while inflation expectations were rising.

However, macro conditions are significantly less inflationary than in 2022, and small businesses have not yet materially raised their price plans.

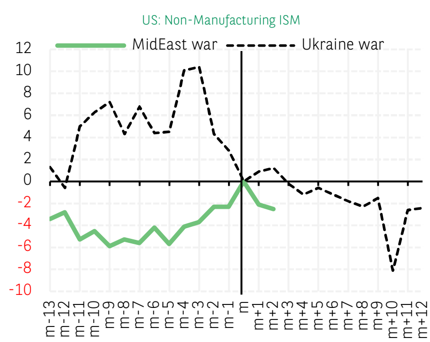
April 2026: Energy-related inflation bounce



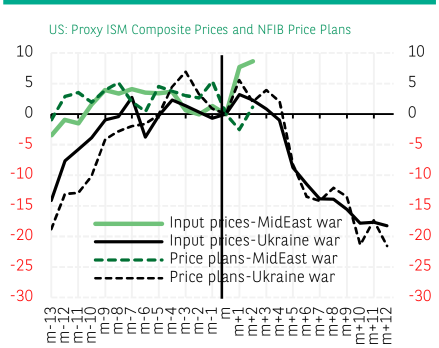
April 2026: Positive trend for manufacturing business sentiment



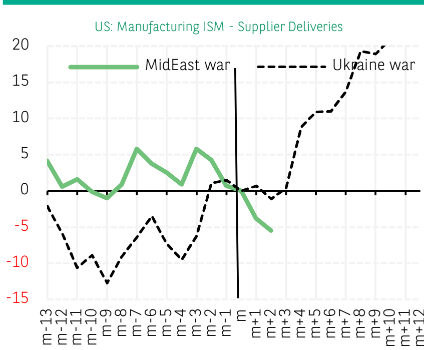
April 2026: Services business sentiment down but still buoyant



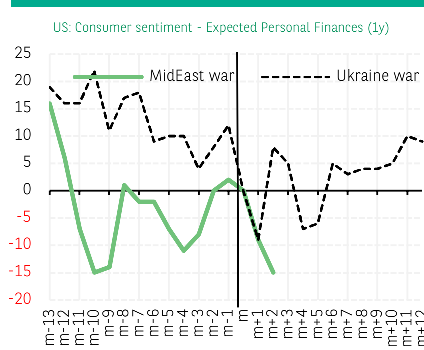
April 2026: Sharp rise in input prices, moderate rise in price plans



April 2026: Longer delivery times



May 2026: Growing concerns among households



Change since m = 0 = February 2026 / February 2022

Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas

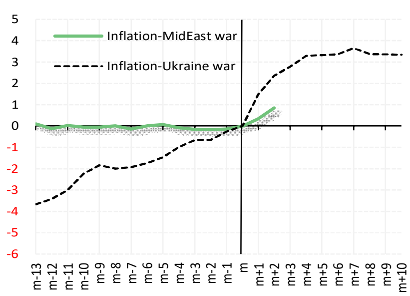
Emerging economies: Manufacturing activity seems to be holding up much better than in 2022 but the inflation shock is spreading

In April 2026, the inflationary impact of the oil price shock is spreading as the average CPI inflation rate for the main emerging economies reached 4.8% year-on-year, compared with 3.9% in February. The shock is still contained compared to 2022 due to limited spillover to agricultural and food prices. However, manufacturers' opinion on the trend in input & output prices have deteriorated significantly. The contagion of oil and gas prices to fertiliser and oil-derived input prices is being felt more acutely.

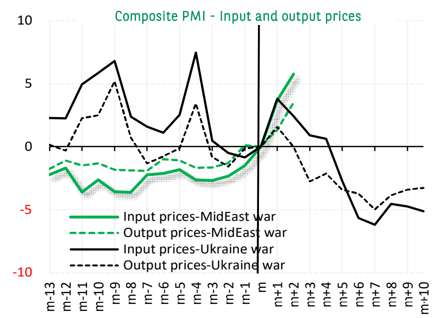
As anticipated in March, the impact on manufacturing activity is far less severe than in 2022, as the business climate has become less negative. By comparison, prior to the shock of 2022, the business climate had continued to deteriorate significantly.

According to estimates by the Institute of International Finance (IIF), non-resident portfolio investment in the main emerging markets rebounded (+USD 38.9 billion) following the massive outflows in March (-USD 85.7 billion), which were revised upwards from the first estimates. The return of foreign investors to the Chinese, Taiwanese and Korean markets accounts for most of the rebound. It should be noted, however, that investment outflows from Indian markets continued. At first sight, the oil shock has generated much higher volatility in portfolio investments flows than in 2022, but volatility was concentrated in a few markets.

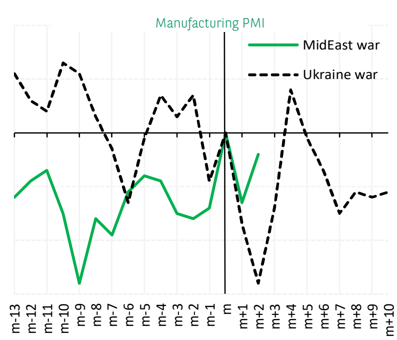
April 2026 :
A much less severe CPI inflation rebound ...



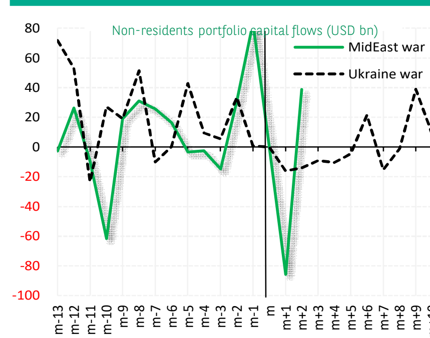
April 2026: ... but a stronger acceleration in input and output producer prices



April 2026 : Better business confidence after the March shock



April 2026 :
A marked rebound in portfolio investments



Change since m = 0 = February 2026 / February 2022

Source: National Statistical Offices, IIF, S&P Global, BNP Paribas